

EQUITYMULTIPLE 40, LLC

A Private Offering of Units at $5,000 per Unit

Investor Packet

October 2017

EquityMultiple
41 Madison Avenue
New York, NY 10010

INVESTOR PACKET FOR INVESTORS IN EQUITYMULTIPLE 40, LLC

Your investor packet includes the following documents:

- **OFFERING LISTING SUMMARY:** This document provides an overview of certain key terms and details of an investment in EQUITYMULTIPLE 40, LLC (the "Company") and the project in which the Company will invest (the "Target Investment").

- **RISK FACTORS:** This document provides a summary of certain risk factors associated with a high-risk investment in the Company.

- **ACCREDITED INVESTOR DEFINITION:** This is the definition of an accredited investor as defined by the U.S. Securities and Exchange Commission in Rule 501 of Regulation D.

- **SUBSCRIPTION AGREEMENT:** This Agreement contains important terms relating to your subscription to purchase units in the Company, including representations and warranties you are making therewith. Your investment will not be final until your subscription agreement has been executed and accepted, and funds have been received.

- **COMPANY LLC AGREEMENT:** This is the governing agreement of the limited liability company into which you will invest and become a member.

- **FORM W-9:** In order to complete your investment, you will be required to complete and sign IRS Form W-9. Your tax identification number will be used to issue tax documents as required by law and the Company LLC Agreement.

We may request additional documentation necessary to complete our review of your subscription. If you do not provide the requested documentation, this may delay or preclude our acceptance of your subscription. The privacy and personal information of current and prospective individual investors is handled with precaution, as detailed further in the agreements below and in the EquityMultiple Privacy Policy.

NOTICE TO ALL INVESTORS

IN MAKING AN INVESTMENT DECISION INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF THE COMPANY, THE TARGET INVESTMENT AND THE TERMS OF THE OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED.

THESE SECURITIES HAVE NOT BEEN RECOMMENDED BY ANY UNITED STATES FEDERAL OR STATE SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT CONFIRMED THE ACCURACY OR DETERMINED THE ADEQUACY OF THE OFFERING MATERIALS. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

THESE SECURITIES ARE SUBJECT TO SIGNIFICANT RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE COMPANY LLC AGREEMENT AND THE SECURITIES ACT, AND APPLICABLE STATE SECURITIES LAWS, OR PURSUANT TO REGISTRATION OR EXEMPTION THEREFROM.

INVESTORS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE FINANCIAL RISKS OF THEIR INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

NOTICE TO FLORIDA RESIDENTS

IF THE SECURITIES REFERRED TO HEREIN ARE SOLD TO, AND ACQUIRED BY, FIVE (5) OR MORE FLORIDA RESIDENTS IN A TRANSACTION EXEMPT UNDER SECTION 517.061 OF THE FLORIDA SECURITIES ACT, EACH FLORIDA INVESTOR MAY HAVE THE RIGHT TO WITHDRAW ITS, HIS OR HER INVESTMENT WITHIN THREE (3) DAYS AFTER THE FIRST TENDER OF CONSIDERATION MADE BY SUCH INVESTOR, OR WITHIN THREE (3) DAYS AFTER THE AVAILABILITY OF THIS PRIVILEGE IS COMMUNICATED TO SUCH INVESTOR, WHICHEVER OCCURS LATER.

OFFERING LISTING SUMMARY

PART 1: SUMMARY OF INVESTMENT IN EQUITYMULTIPLE 40, LLC
PART 2: SUMMARY OF INVESTMENT IN TARGET
PART 3: OFFERING OVERVIEW

PART 1

SUMMARY OF INVESTMENT IN EQUITYMULTIPLE 40, LLC

This summary is not a complete description of the terms applicable to an investment in the Company and is qualified in its entirety by reference to the terms of the Company LLC Agreement and Subscription Agreement. Each prospective investor should carefully read the Company LLC Agreement and Subscription Agreement and consult with legal and tax advisers as necessary before making a decision to invest.

Investment Structure	Equity - Membership Units in EQUITYMULTIPLE 40, LLC
Investment Purpose	Preferred Equity Investment in Lamberton Lake MHC, LLC
Total Amount offered	$0 | Minimum Offering Amount $1,050,000 | Maximum Offering Amount
Offering Closing Date	October 27, 2017; subject to two 30-day extension
Minimum Investment Amount	$10,000
Investment Increments	$5,000
Preferred Return	13% per annum, cumulative, preferred return, divided as follows: • Current: 10% per annum, cumulative, paid monthly; • Accrued: 3% per annum, cumulative, paid when the property is sold or refinanced. Note that the Sponsor may opt to pay the accrued return currently if property level cash-flow permits.
Investment Term – Initial	2 years from the date of closing of the Target Investment.
Investment Term – Extensions	The investment is subject to two 1-year extensions, based on extension of the Target Investment.
Payment Schedule	Monthly, following December, 2017.
Management	The Company shall be Managed by EM Manager, LLC, an affiliate of EquityMultiple.

Contingent Payments	No payments shall be payable unless the Company has received payments under the corresponding Target Investment, and then only to the extent of the amount of such payments received by the Company.
EquityMultiple Listing ID #	00040

* This investment has a high degree of risk: projections found in the offering listing on the Platform are based on Sponsor-provided projections only and are not guaranteed. There are many factors which can cause actual returns to be different from projections. See the Risk Factors section below and other information available on the Company's offering page at www.equitymultiple.com.

PART 2

SUMMARY OF INVESTMENT IN TARGET

This summary of the Company's investment in the target property is not a complete description of the Target, the Sponsor or the terms of the Company's investment in the Target. Each prospective investor should carefully review the more detailed information about the Property provided by Sponsor and contained on the Company's offering page at www.equitymultiple.com and consult with legal and tax advisers as necessary before making a decision to invest.

Sponsor	Bedrock Group (the "Sponsor"). Charles Clinton and Marious Sjulsen will act as co-general partners.
Sponsor Background	Bedrock Group is a vertically-integrated real estate investment firm focused exclusively on manufactured workforce housing communities (MHCs) across the U.S. The firm currently owns and manages 18 MHCs comprising nearly 1,600 lots. Bedrock's portfolio has a current occupancy of 75% and a total value of over $30M.
Target	Lamberton Lake MHC, LLC, the Property-owning entity.
Property	The Property is located 1525 Lamberton Lake Drive Northeast, Grand Rapids, MI
Ownership Structure	Company intends to make a preferred equity investment in the Target, which owns the Property.
Real Estate Project Type	Manufactured workforce housing community (MHC)
Real Estate Strategy	Value Add
Term	2 years, with two 1-year extension options
Total Preferred Return	14%
Loan-to-Cost Ratio	N/A – the Property will be owned debt free.
Property Size	52 lots on 4.92 acres
Total capitalization of project**	$1,327,500
Proposed Target Capital Structure Following Investment*	Sponsor Equity: $277,500 minimum EquityMultiple Equity: $0 - $1,050,000 Senior Debt: $0
Property Management Fee (annual)***	5.00% of effective gross revenue
Acquisition Fee***	$11,000
Development Fee (one time)***	N/A
Refinance Fee (one time anticipated)***	N/A
Asset Management Fee (annual)***	N/A
Disposition Fee***	N/A
Placement Fee payable to Growth Capital Services and employee(s) of EquityMultiple***	3.00% of invested capital

*Based on current sponsor projections and subject to revision up until the timing of closing.

**Depending on final size of EquityMultiple investment.
***These fees are paid out of the total capitalization of the project, not directly by investors.

PART 3

OFFERING OVERVIEW

Structure of Offering

Investors will purchase membership units (the "Units") in EQUITYMULTIPLE 40, LLC (the "Company") pursuant to a Subscription Agreement (the "Subscription Agreement"). Units are governed by the Company's Limited Liability Company Operating Agreement (the "Company LLC Agreement"). Each investor whose subscription is accepted will become an "Investor Member" in the Company.

The Company & Related Entities

The Company, EQUITYMULTIPLE 40, LLC, is a Delaware limited liability company that was formed for purposes of making the investment in Target. If the investment is consummated, it will own only interests in Target.

EM Manager, LLC is a Delaware limited liability company and the Managing Member of the Company. It is a wholly-owned subsidiary of Equity Multiple, Inc., a Delaware corporation ("EquityMultiple"). EquityMultiple is a financial technology company that provides an online platform to facilitate the financing of and investment in real estate, including investments in the Company (the "Platform").

The Company may be contacted c/o EquityMultiple, Floor 35, 41 Madison Avenue, New York 10010 or at legal@equitymultiple.com.

The Company's Business

The purpose of the Company is effectuate a preferred equity investment in Lamberton Lake MHC, LLC ("Target"), which will be managed by Bedrock Group (the "Sponsor"). Target is purchasing the Property located at 1525 Lamberton Lake Drive Northeast, Grand Rapids, MI (the "Property").

By reason of its ownership in Target, the Company expects to receive distributions of current cash flows generated by the Property to the extent such cash flows are available for distribution. When the Property is subject to a refinance, sale or other disposition, the Company will be entitled to a return of its initial investment, and any accrued and unpaid preferred returns, from the net proceeds of the transaction. The Company expects to distribute amounts received to its members in accordance with the terms of the Offering Listing Summary and LLC Agreement.

Information about the Property and Target has been provided in this Offering Listing Summary and on an offering listing corresponding to the Company and the Target on the Platform. The financial success of an investment in the Company is contingent upon the financial success of the Target and the success of the Target's management in managing the Property. Investors subscribing to the offering should read the Target information carefully, perform their own due diligence and discuss it with appropriate advisers before deciding to invest in the Company.

Management

Management of EquityMultiple

Information regarding EquityMultiple's management team may be found on its website at www.equitymultiple.com/about-us/

Management of the Company

Day-to-day servicing of the Company will be provided by EM Manager, LLC, a wholly-owned subsidiary of EquityMultiple (the "Managing Member"). Services provided by the Managing Member will be performed by key personnel of EquityMultiple, including the aforementioned management team and other employees and service providers.

Management of Target

Target is managed by the Sponsor: Bedrock Group and its principals, Austin Berk and Ridaa Murad. Charles Clinton and Marious Sjulsen will act as co-general partners, alongside Bedrock Group.

***Note Regarding Forward-Looking Statements*:**

This Offering Listing Summary and certain materials related to the offering on the Platform contain "forward-looking statements". These forward-looking statements involve risks and uncertainties and can be identified by their use of terms and phrases such as "believe," "anticipate," "could," "estimate," "intend," "may," "plan," "expect," "project" or the negative of these words, or other similar words or terms, including references to assumptions. These statements relate to analyses and other information that are based on forecasts, estimates and assumptions. These statements may also relate to the Company's or Target's future prospects, developments and business strategies. We caution investors that forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause the Company's actual results, performance or achievements to be materially different from the results, performance or achievements expressed or implied by these forward-looking statements.

Information presented in this Offering Listing Summary and the Company's offering page at www.equitymultiple includes factual information provided by Sponsor. While the Company has taken steps to verify information provided to it, the Company, the Managing Member, and EquityMultiple can make no guarantee or assurances about the veracity of such information and make no warranties with respect thereto.

Except as otherwise required by law, none of the Company, the Managing Member, EquityMultiple, Sponsor or Target nor any other person, is under any obligation to, and expressly disclaims any obligation to, update or revise any forward looking statements contained in or incorporated by reference into the Offering Listing Summary or any supplemental information, whether as a result of new information, future events or otherwise.

RISK FACTORS

An investment in the Company involves a high degree of risk. Accordingly, prospective investors should consider carefully the following risk factors, together with the other information provided in connection with the offering. If any of the risks discussed below occur, the Company may be negatively and adversely impacted and investors could lose all or part of their investment. Accordingly, prospective investors should consider carefully the actual and potential risks described and consult their appropriate advisors. Defined terms have the meanings provided in the Offering Listing Summary, available on the Company's offering page at www.equitymultiple.com.

LIQUIDITY RISKS

Restrictions on Transfer and Withdrawal.

Units in the Company are not transferable without the prior written consent the Managing Member, which may be withheld in its sole discretion. Even with such consent, Units are not transferable unless an Investor Member complies with provisions of the Company LLC Agreement relating to restrictions on transfers of Units. Investors may not withdraw capital from the Company and are required to represent that they are acquiring the Units for investment purposes and not with a view to resale or distribution. Further, Units cannot be resold unless they are subsequently registered under the Securities Act of 1933 (the "Securities Act") or an exemption form such registration is available. The Company has no intention of registering the Units under the Securities Act and thus no public market for the Units in the Company or of any interest in Target is ever expected to exist. Accordingly, an investment in the Company requires a long-term commitment, with no certainty of return and each Investor Member must be prepared to bear the economic risk of its investment for an indefinite period.

No Guaranteed Distributions.

Under the terms of its investment in Target, distributions to the Company will be made solely in the discretion of the Target managers. As a result, it is possible that Company may not receive distributions from Target for many years (if at all) and Investors will not be able to rely on distributions from the Company according to any fixed schedule.

Liability for Return of Distributions.

Investors in the Company may be obligated to return their pro rata share of distributions previously received by them to the extent such distributions were to be deemed to have been wrongfully paid to them. In addition, if the Company were to become insolvent, an Investor Member of the Company may be liable under applicable federal and state bankruptcy or insolvency laws to return a distribution made during the Company's insolvency. The liability to return distributions would reduce the return of capital to such Investor Member.

There will be no registrations under securities laws.

The Company intends to conduct its activities so that it will not be subject to the registration and other obligations under the Investment Company Act. Further, the offering of Units will not be registered under the Securities Act and the Company will not be a reporting company under the Securities Exchange Act of 1934 (the "Exchange Act"). As a result, Investor Members will not be entitled to the protections and benefits of those laws, and the rules and regulations promulgated under those laws.

RISKS RELATED TO THE COMPANY AND THE BUSINESS OF REAL ESTATE

The Company will invest only in Target and will have very limited oversight of the management of Target.

The Company will be invested only in Target and does not provide any diversity of investment. If the Target is adversely affected by any event or condition, the Company will be adversely affected. Decisions with respect to the management of the Target will be made solely by the Target Managers. Investors will have no say in the management of the Target and the Company only has the ability to influence the management of the Target in very limited circumstances.

Past performance is not a forecast of future results.

The past performance of the Target, or any other investment by any affiliate of the Company or EquityMultiple, or any other investments managed by the Sponsor does not necessarily predict or imply any level of future performance of the Target or the Company. The performance of both is dependent on future events and is inherently uncertain. Past performance cannot be relied upon to predict future events for a variety of reasons, including, without limitation, differing business strategies and objectives, differing local and regional economic conditions and demographics, varying degrees of competition, varying circumstances pertaining to capital and lending markets and different entity structures.

Investors in the Company must rely upon the Managing Member for the management of the Company

Decisions with respect to the management of the Company are made by the Managing Member. Investor Members have no opportunity to control the day-to-day operation of the Company or take part in the management of the Company and are not able to make any decisions for the Company. Investor Members additionally have very limited abilities to remove or replace the Managing Member. Accordingly, the success of the Company depends significantly on the abilities of the Managing Member and the EquityMultiple personnel managing it. There can be no assurance that the Company will achieve success in its investment.

Adverse economic and geopolitical conditions could have a material adverse effect on the Company's results of operations, financial condition and the Company's ability to make distributions to its Investor Members.

The Company is invested only in the Target. That investment may be affected by the continued volatility in the financial and credit markets, the ongoing recovery in the global economy, and

other market or economic challenges experienced by the U.S. economy, the local economy, the real estate industry as a whole or the real estate market in which the Property sits. Moreover, the impact of the government's legislative and administrative efforts aimed at restoring liquidity to credit markets remains unclear, both as it pertains to the economy as a whole, as well as the demand for commercial leasing. If economic conditions again deteriorate, then the Target's results of operations, financial condition, financial results and ability to service current debt and to pay distributions to the Company may be adversely affected by the following, among other potential conditions:

- significant job losses in the industries present in the Property's market may occur, which may decrease demand for the Property's type of space, causing market rental rates and property values to be negatively impacted;

- Target's ability to borrow on terms and conditions that Target finds acceptable, or at all, may be limited, which could reduce Target's ability to complete development opportunities and refinance existing debt;

- reduced values for real estate may limit Target's ability to dispose of its investment at attractive prices or to obtain debt financing secured by the Property and may reduce the availability of unsecured loans;

- reduced liquidity in debt markets and increased credit risk premiums for certain market participants may impair the Target's ability to access capital; and

- one or more lenders under the Target's financing could refuse or be unable to fund their financing commitment to the Target and Target may not be able to replace the financing commitment of any such lenders on favorable terms, or at all.

These conditions, which could have a material adverse effect on the Company's results of operations, financial condition and ability to pay distributions, may continue or worsen in the future.

Real estate related investments are subject to a high degree of risk.

Real property investments are subject to varying degrees of risk. The yields available from equity investments in real estate depend on the amount of income generated and expenses incurred. Moreover, certain significant expenditures associated with each equity investment in real estate (such as mortgage payments, if any, real estate taxes, insurance and maintenance costs) are generally not reduced when circumstances cause a reduction in income from the investment. If the Target does not generate revenues sufficient to meet operating expenses, including debt service and capital expenditures, the Target's cash flow and ability to make distributions to the Company and its other investors will be adversely affected, and returns to the Company's Investor Members will be similarly adversely affected. The revenues and value of either investment may be adversely affected by a number of factors, including:

- The national economic climate;

- The perceptions by prospective tenants of the safety, convenience and attractiveness of the area in which the Property is located;

- The ability of the Company to provide adequate management, maintenance and insurance; and

- Increased operating costs (including real estate taxes and utilities, and cost of compliance with government regulation, including zoning and tax laws).

Long-term nature of investment.

Partial or complete sales, transfers, or other dispositions of the Property by Target which may result in a return of capital or the realization of gains, if any, are generally not expected to occur for a number of years after the Company makes the Investment. Accordingly, an investment in the Company requires a long-term commitment, with no certainty of return.

Potential for dilution or interest charges.

The Company is not obliged to make any additional contributions of capital to the Target; however, Target has the ability to raise additional capital and in the event that the Company does not participate, its interest in Target will be diluted. Amounts that the manager or other members of the Target advance on behalf of the Company will be deemed to be either an additional capital contribution, in which case the Company's interest in Target or will be diluted, or as a loan, which will be repaid from distributions otherwise payable to the Company. Similarly, no Investor Member is required to contribute additional capital to the Company; however the Company's Managing Member has the ability to request additional capital to fund the Company's cash needs. In the event that the Managing Member seeks additional capital for the Company, and in the event that an Investor Member does not contribute, its interest in the Company may be diluted.

Valuation models used in determining whether to make an investment in the Target may be inaccurate and increase the risk of default.

The process of valuing real estate is an inexact process. Appraisals or opinions of value and underlying projections may prove to be insufficiently supported, and the value of the underlying property may be based on information that is incorrect or opinions that are overly optimistic. In such situations, the risk of returns not meeting expectations and the corresponding risk of loss to Investor Members will be greater.

Increases in property taxes may adversely impact the Company.

The Property may be subject to real property and, in certain instances, personal property taxes and assessments. The real property and personal property taxes on the Property may increase or decrease as property tax rates change and as the Property is assessed or reassessed by taxing authorities. Property taxes do not necessarily decrease with decreases in occupancy or rental rates which could result in Target's costs of operations exceeding income. If property taxes on the Property increase, the Company's cash available for distribution to Investor Members may be materially and adversely affected.

Insurance may not be adequate to cover losses.

The Company expects that Target will maintain insurance on the Property, including liability and fire and extended coverage, in amounts sufficient to permit the replacement of such asset in the event of a total loss, subject to applicable deductibles, and that Target will endeavor to obtain coverage of the type and in the amount customarily obtained by owners of similar real properties. There are certain types of losses, however, generally of a catastrophic nature, including, without limitation, earthquakes, floods, hurricanes, and acts of war or terrorism that may be uninsurable or not economically insurable. Inflation, changes in building codes and ordinances, environmental considerations, and other factors may also make it infeasible to use insurance proceeds received by Target or the amount of insurance proceeds might not be adequate to restore the economic position of Target with respect to the affected investment. In addition, it may not be possible for Target to obtain all of the desired insurance coverage or to obtain such coverage at commercially reasonable rates.

The Property may subject the Target or the Company to known and unknown liabilities.

The Property may be or become subject to known and unknown liabilities for which the Target would have no recourse, or only limited recourse, to the former owners of the Property. As a result, if a liability were asserted against the Target or the Company based upon direct or indirect ownership of the Property, the Target or the Company might be required to pay significant sums to settle it, either of which could adversely affect the Company's investment returns. Unknown liabilities relating to acquired properties could include:

- liabilities for cleanup of pre-existing disclosed or undisclosed environmental contamination;

- claims by tenants, vendors or other persons arising on account of actions or omissions of the former owners of the properties; and

- liabilities incurred in the ordinary course of business.

The Target may incur liability from environmental conditions.

Under various Federal, state and local environmental laws, a current or previous owner or operator of real estate may be required (typically regardless of knowledge or responsibility) to investigate and cleanup hazardous or toxic substances or petroleum product releases at such property and may be held liable to a governmental entity or to third parties for property damages and for investigation and cleanup costs incurred by such parties in connection with the contamination, which costs may be substantial. The presence of such substances (or the failure to properly remediate the contamination) may adversely affect the Target's ability to borrow or refinance existing borrowings against, sell or rent such property. Furthermore, changes in environmental laws or in the environmental condition of the Property may create liabilities that did not exist and could not have been foreseen at the time of acquisition of such investment.

No assurance can be given that:

- all potential environmental liabilities have been identified to the Company;

- no prior owner created any material environmental condition not currently known;

- no environmental liabilities may have developed since any environmental assessments may have been prepared;

- the condition of land or operations in the vicinity of the Property (such as the presence of underground storage tanks) will not affect the environmental condition of the Property; or

- future uses or conditions (including, without limitation, changes in applicable environmental laws and regulations) will not result in imposition of environmental liability.

Target may experience increased operating costs, which could reduce its profitability.

The Property may be subject to increases in operating expenses such as for cleaning, electricity, heating, ventilation and air conditioning, administrative costs and other costs associated with security, landscaping and repairs and maintenance of such properties. If operating expenses increase, the availability of other comparable rental space in the Property's geographic markets might limit the Target's ability to increase rents; if operating expenses increase without a corresponding increase in revenues, the Target's profitability could diminish and limit its ability to make distributions to the Company.

Development and redevelopment project investments involve additional risks.

The Target plans may involve developing or redeveloping the Property for new use or rehabilitate for an existing use. In such situations, a number of additional and particular risks are involved, including, among other things, the timeliness of the project's completion, the integrity of appraisal values and post-development rental projections, whether or not the completed property can be sold or refinanced for the amount anticipated, and the ultimate length of development, leasing and sale processes. If construction work is not completed (due to contractor abandonment, unsatisfactory work performance, failure to obtain necessary governmental or agency approvals or various other factors) and all of the Target's funds have already been expended, then additional funds may be required to complete the construction work, leading to potentially significant losses.

The Target may be unable to find suitable tenants for vacant space or renew leases or re-lease space as leases expire; certain leases may expire early.

For vacant space, the Target's managers may not be able to find suitable tenants to lease space at the projected market rates. If the Property's tenants do not renew their leases upon expiration, the Target may be unable to re-lease the space. Even if the tenants do renew their leases or if the Target can re-lease the space, the terms of renewal or re-leasing (including the cost of required renovations) may be less favorable than the current lease terms. Certain leases likely grant the tenants an early termination right upon payment of a termination penalty or if the Target fails to comply with certain material lease terms. The Target's inability to renew or release spaces and the early termination of certain leases could affect its ability to make distributions to the Company and thus adversely affect the Company's ability to make distributions to its Investor Members.

Real estate related investments are illiquid.

Real estate investments are illiquid. The Target's ability to dispose of real estate related investments in a timely manner, or the Company's ability to realize any gain or recover its investment capital, may be limited. The Property may be subject to legal, contractual or other restrictions on resale or transfer that could interfere with the disposition of such investment or adversely impact the terms that could be obtained upon such disposition.

Use of leverage will increase risk.

The Target has borrowed against the Property. Leverage increases financial risks by increasing the impact of a reduction in property cash flow on operating income. The use of leverage could adversely affect the amount of proceeds available for distribution to the Company, as well as the timing and ability to make such distributions.

If Target has insufficient cash flow to pay required debt service, lenders to Target could foreclose on the collateral securing the debt, i.e. the Property.

The rights of any lenders making loans to the Target to secure payments of interest and repayments of principal will be senior to the rights of the Company. The terms of any borrowings may contain provisions that limit distributions to Investor Members. Payments of interest and fees incurred in connection with the borrowings will reduce any income the Target would otherwise have available for distributions to the Company. The Target's performance will be adversely affected if the Target is not able to repay borrowings or if Target is forced to sell the Property upon disadvantageous terms in order to repay borrowings.

The Target may not be able to refinance the Property.

Target may decide to refinance the Property and may have difficulty refinancing all or a portion of the Property. If Target were unable to complete such a refinancing, the Target may have a larger equity position in the investment than expected, thereby reducing opportunity for diversification within the Target's overall portfolio. Such inability to refinance could also cause the Target to dispose of the Property on disadvantageous terms.

The Company relies on third parties and/or local entities for management of the Property.

The Target and the Property are not managed by the Managing Member or its affiliates. Management responsibility for the Property is vested, or will be vested, in persons who are not affiliated with EquityMultiple and over whom the Managing Member exercises little or no control. In such cases, the success and the investment return on the Property will be dependent on the efforts of such unaffiliated third parties.

Changes in the law may adversely affect the Target's cash flow.

The Property may also be subject to various regulatory requirements, such as those relating to the environment, fire and safety, failure to comply with which could result in the imposition of fines and damage awards and could result in a default under some of the tenant leases. Moreover, the costs to comply with any new or different regulations could adversely affect the Target's cash flow

and its ability to make distributions. The Company cannot assure Investor Members that all information about any non-compliance was made available to it or that these requirements will not change or that newly imposed requirements will not require significant expenditures in order to be compliant.

Americans with Disabilities Act compliance could be costly.

The Americans with Disabilities Act of 1990, as amended ("ADA"), requires that all public accommodations and commercial facilities meet certain federal requirements related to access and use by disabled persons. Compliance with ADA requirements could involve the removal of structural barriers from certain disabled persons' entrances which could adversely affect the financial condition and results of operations of the Target. Other federal, state and local laws may require modifications to or restrict further renovations of the Property with respect to such accesses. The Company cannot assure Investor Members that all information about any non-compliance was made available to it or that, noncompliance with the ADA or similar or related laws or regulations could result in the United States government imposing fines or private litigants being awarded damages against the Target. In addition, changes to existing requirements or enactments of new requirements could require significant expenditures. Such costs may adversely affect the Target's cash flow and ability to make distributions to the Company.

Risks associated with climate change regulations could increase cost.

Growing concerns about the change in the climate have resulted in new laws and regulations that are intended to limit the amount of carbon emission into the atmosphere. The Company believes that the proposal and enactment of such laws and regulations could increase operating costs of the Property, including energy costs for electricity, heating and cooling as well as increased cost of waste removal at its properties.

RISKS RELATED TO EQUITYMULTIPLE AND THE PLATFORM

EquityMultiple, EM Manager LLC and the Company have limited operating histories. As companies in the early stages of development all face increased risks, uncertainties, expenses and difficulties.

Each of EquityMultiple, the Managing Member and the Company has a limited operating history. EquityMultiple began operations in February 2015 and the Managing Member was created in June 2015 and the company was formed shortly before the offering was launched. For EquityMultiple to be successful, the number of financings originated through the Platform and the number of eligible investors using the Platform will need to increase, which will require EquityMultiple to hire additional personnel and grow its infrastructure to accommodate the greater obligations and demands on the Platform. EquityMultiple also expects to constantly update its website and technology, expand its customer support services and retain an appropriate number of employees to maintain the operations of the Platform. If EquityMultiple is unable to increase financing originations and investor interest and maintain the necessary infrastructure, Investor Members may experience delays in receipt of payments and periodic downtime of EquityMultiple systems. In the event that EquityMultiple is unable to continue its operations, EM Manager, LLC (a wholly owned

subsidiary) may be unable to continue to effectively manage the Company, which could have a material negative impact on the performance of the Company.

If the security of investors' confidential information stored in EquityMultiple's systems is breached or otherwise subjected to unauthorized access, secure information may be stolen.

The Platform is designed to store investors' bank information and other personally-identifiable sensitive data. The Platform is hosted in data centers that are compliant with payment card industry security standards. However, any accidental or willful security breach or other unauthorized access could cause otherwise secure information to be stolen and used for criminal purposes, and investors could be subject to increased risk of fraud or identity theft. Because techniques used to obtain unauthorized access or to sabotage systems change frequently and generally are not recognized until they are launched against a target, EquityMultiple and its third-party hosting facilities may be unable to anticipate these techniques or to implement adequate preventative measures. In addition, many states have enacted laws requiring companies to notify individuals of data security breaches involving their personal data. These mandatory disclosures regarding a security breach are costly to implement and often lead to widespread negative publicity, which may cause investors and real estate companies to lose confidence in the effectiveness of EquityMultiple's data security measures. Any security breach, whether actual or perceived, would harm EquityMultiple's reputation, could diminish investor interest, and the value of an investment in the Company could be adversely affected.

Any significant disruption in service on the EquityMultiple Platform or in its computer systems could reduce the attractiveness of the EquityMultiple Platform and result in a loss of users.

If a catastrophic event resulted in a platform outage and physical data loss, EquityMultiple's ability to perform its obligations would be materially and adversely affected. The satisfactory performance, reliability, and availability of EquityMultiple's technology and its underlying hosting services infrastructure are critical to EquityMultiple's operations, level of customer service, reputation and ability to attract new users and retain existing users. EquityMultiple's hosting services infrastructure is provided by a third party hosting provider (the "Hosting Provider"). EquityMultiple also maintains a backup system at a separate location that is owned and operated by a third party. The Hosting Provider does not guarantee that users' access to the EquityMultiple Platform will be uninterrupted, error-free or secure. EquityMultiple's operations depend on the Hosting Provider's ability to protect its and EquityMultiple's systems in its facilities against damage or interruption from natural disasters, power or telecommunications failures, air quality, temperature, humidity and other environmental concerns, computer viruses or other attempts to harm EquityMultiple systems, criminal acts and similar events. If EquityMultiple's arrangement with the Hosting Provider is terminated, or there is a lapse of service or damage to its facilities, EquityMultiple could experience interruptions in its service as well as delays and additional expense in arranging new facilities. Any interruptions or delays in EquityMultiple's service, whether as a result of an error by the Hosting Provider or other third-party error, EquityMultiple's own error, natural disasters or security breaches, whether accidental or willful, could harm EquityMultiple or the Managing Member's abilities to perform any services for corresponding project investments or maintain accurate accounts, and could harm EquityMultiple's relationships with its users and EquityMultiple's reputation. Additionally, in the event of damage or interruption, EquityMultiple's insurance policies may not adequately

compensate EquityMultiple for any losses that it may incur. EquityMultiple's disaster recovery plan has not been tested under actual disaster conditions, and it may not have sufficient capacity to recover all data and services in the event of an outage at a facility operated by the Hosting Provider. These factors could prevent us from processing or posting payments on the corresponding project investment or the Notes, damage EquityMultiple's brand and reputation, divert its employees' attention, and cause users to abandon EquityMultiple's Platform.

RISKS RELATED TO CONFLICTS OF INTEREST

The Company is subject to a number of actual and potential conflicts of interests that prospective investors should consider. The EM Affiliates are actively involved in the real estate industry and they may engage in activities where their interests may conflict with the interests of the Company and the Investor Members. These activities include, without limitation, investing in, developing and operating real estate. By purchasing Units, each Investor Member will be deemed to have acknowledged the existence of such conflicts and to have waived any claim with respect to any liability arising from the existence of any such conflict of interest. Certain of these actual or potential conflicts of interest are discussed below.

EM Affiliates may have competing interests with the Company.

Certain EM Affiliates may invest in the Company as Investor Members pursuant to the terms of this offering or otherwise invest in Target, which could give rise to potential conflicts of interest between the Company and those EM Affiliates.

The EM Affiliates, and their senior management and key personnel, are entitled to and do engage in other business activities, including performing management activities for related entities. They have relationships with, and provide investment services to, real estate investment companies and funds and perform services for a significant number of entities. These entities are actively involved in the real estate industry and may make real estate investments similar to, or in competition with, the Company. The Managing Member, its key personnel and all other employees of the EM Affiliates are not prohibited from engaging in activities in real estate which may be competitive with the Company. The terms of the Company LLC Agreement do not prohibit the EM Affiliates from entering into or forming other investment relationships, or from engaging in other business activities, even though such activities may be in competition with the Company and/or may involve substantial time and resources of the EM Affiliates. None of the EM Affiliates is obligated to refer opportunities to the Company or offer any interest in its other activities to the Company. Accordingly, EquityMultiple, the Managing Member and their respective key personnel who are involved with the Company may experience conflicts of interest with respect to the allocation of management time and services among the Company and other projects. In establishing and continuing an investment relationship with other entities, the EM Affiliates may face conflicts of interest with respect to investments in connection with such other entities, on the one hand, and the Company, on the other hand. In addition, in determining whether to take a particular action with respect to the investment in Target (such as voting its interest in Target on any matter submitted to Target's members for a vote), the Managing Member and other EM Affiliates may consider and may be influenced by their other investment relationships.

The Managing Member or other EM Affiliates may also face conflicts of interest in connection with management or purchase or sale transaction related activities with another entity in which they have an interest. For example, the EM Affiliates may own and invest in properties in the same geographic area as the Property, and such properties may compete with the Property for buyers, tenants or financing. Consequently, these competing interests could lead directly to a diminished pool of buyers, tenants, or available financing for the Target, thus adversely affecting, among other things, the timing and ability to make distributions to Investor Members, the overall proceeds available for distribution to Investor Members, the Target's ability to attract a desirable tenant mix and the Target's ability to finance attractive investment opportunities.

The EM Affiliates may provide financial, operational and strategic planning advice with respect to properties or investments in which the Company has not made an investment, for separate fees that inure to their sole benefit. In addition, the EM Affiliates may enter into contracts to provide property management services, to arrange for the leasing of space if necessary, and act as brokers or co-brokers in connection with the sale of the properties, each of which activities generate separate fees for such affiliates. The EM Affiliates also receive, for their sole benefit, property management fees, leasing fees and brokerage fees derived from activities independent of the Company and in which the Company and its Investor Members do not participate.

EM Affiliates direct the management of multiple Entities that will be party to the investment.

In addition to their role in providing this investment through Growth Capital Services and managing the investment through the Managing Member, certain EM Affiliates, including Charles Clinton and Marious Sjulsen, may also participate in the management of other Entities investing in Target. In addition, the Managing Member may serve as Managing Member for other Entities investing in the Target. This could give rise to potential conflicts of interest between the Company, EM Affiliates and/or other Entities managed by the Managing Member.

Certain key personnel of EquityMultiple are registered representatives of the Broker-Dealer offering securities of the Company.

The securities being offered are offered through Growth Capital Services, Inc. ("Growth Capital Services") a registered broker/dealer and member FINRA/SIPC. Growth Capital Services is paid a flat quarterly fee by the Managing Member for its broker-dealer services in connection with offering the securities of EM Affiliates managed by the Managing Member in the amount of $5,000, in addition to any commission listed in the Offering Listing Summary. Several officers and employees of EquityMultiple are, were or may become registered representatives of Growth Capital Services and pay Growth Capital Services. As such, one or more employees of EquityMultiple may be entitled to a percentage of the commission paid to Growth Capital Services. In connection with this particular offering, Charles Clinton or other EquityMultiple employees may receive compensation for their brokerage related services in connection with the offering as a registered representative of Growth Capital Services, in an amount to be determined according to the foregoing.

EquityMultiple is separately paid by the registered representative or representatives out of the commissions earned by such representative or representatives for EquityMultiple's due diligence, technology, reporting, communications, and administrative efforts that are provided to the

representatives, Managing Member and the Company. Thus, each of EquityMultiple, and those of its officers and employees that are registered representatives of Growth Capital Services, will directly or indirectly realize compensation through Growth Capital Services as a result of the offering.

Fees may be waived at the Managing Member's Discretion.

The Managing Member may, in its sole discretion, waive fees due to it with respect to specific Investor Members and allocate distributions otherwise receivable by it to certain Investor Members. In the event that an Investor Member receiving such a fee waiver or allocation was an EM Affiliate, this could give rise to conflicts of interest between the Company and those EM Affiliates.

The Company may have limited access to personnel of EM Affiliates.

The Company expects to have access to the key officers and employees of the EM Affiliates; however, such individuals are expected to devote material portions of their professional time to matters unrelated to the Company and may at any given time be unable to assist with matters related to the business of the Company.

CERTAIN REGULATORY AND LEGAL RISKS

Limited regulatory review, disclosure and audits.

None of EquityMultiple, the Managing Member or the Company is a registered investment adviser under the Advisers Act and none of them intends to become one unless required by law. Thus, none of EquityMultiple, the Managing Member or the Company is subject to reporting obligations, audits and a higher level of regulatory scrutiny by the Securities and Exchange Commission ("SEC") than would be the case if they were so registered, but would become so if they were required to register.

If required to register, EquityMultiple, the Managing Member or the Company would be required to disclose to the SEC information about the Company and its operations and potentially about its Investor Members. Some or all of such information may be publicly available.

If the Company or an EM Affiliate is required to register under the Investment Company Act or became subject to the SEC's regulations governing broker-dealers, its ability to conduct its business could be materially and adversely affected.

The SEC heavily regulates the manner in which "investment companies" and "broker- dealers" are permitted to conduct their business activities. The Company believes it, the Managing Member, and EquityMultiple have conducted their businesses in a manner that does not result in any of them being characterized as an investment company or broker-dealer, as it believes that none are engaged in any of the activities described under Section 3(a)(1) of the Investment Company Act or any similar provisions under state law, or in the business of (i) effecting transactions in securities for the account of others as described under Section 3(a)(4)(A) of the Exchange Act or any similar provisions under state law or (ii) in buying and selling securities for its own account, through a

broker or otherwise as described under Section 3(a)(5)(A) of the Exchange Act or any similar provisions under state law.

Currently, the Company offers securities through Growth Capital Services, which is a broker/dealer registered with the SEC and a member of the Financial Industry Regulatory Authority. Individual personnel of EquityMultiple are registered representatives of Growth Capital Services. EquityMultiple and/or its affiliated issuer entities pay Growth Capital Services certain fees in connection with Growth Capital Services' brokerage services. The EM Affiliates intend to continue to conduct the EquityMultiple business in such manner. If, however, the Company or an EM Affiliate is deemed to be an investment company or a broker-dealer, it may be required to institute burdensome compliance requirements and its activities may be restricted, which would affect its business to a material degree.

Material, Nonpublic Information

From time to time, certain Managing Member personnel may come into possession of material, nonpublic information that would limit the ability to buy and sell investments. The Company's flexibility to interact with respect to the Target may be constrained as a consequence of the Managing Member's inability to take certain actions because of such information. The Company may experience losses if it is unable to sell its investment that it holds because certain personnel of the Managing Member have obtained material, nonpublic information about such investment. The Managing Member will implement, as it deems appropriate, various information barriers and confidentiality policies in order to minimize the circumstances in which it would be limited by any such information

TAX RISKS

If the Company is not treated as a partnership for Federal income tax purposes, an investor's individual tax treatment will be affected.

The Company has been organized and structured with the intention that the Company will be taxed as a partnership for Federal income tax purposes. Assuming that the Company is treated as a partnership for income tax purposes, each Investor Member will be required to report its allocable share of the Company's net income, gain, or loss for each taxable year, as determined under the Company LLC Agreement, on its income tax return.

Neither the Company nor the Managing Member has sought or will be seeking rulings from the IRS that the Company will be taxed as a partnership for Federal income tax purposes. In the unexpected event that the Company instead were treated for Federal income tax purposes as an association taxable as a corporation, the Company would be subject to Federal income tax on any taxable income at regular corporate tax rates, reducing the amount of cash available for distributions to the Investor Members. Furthermore, distributions to Investor Members would be taxable to them as dividend income to the extent of current and accumulated earnings and profits. Finally, if the loss of partnership status were to occur at a time when the Company's total liabilities exceeded the aggregate tax basis of its assets, the IRS might take the position that a constructive incorporation had occurred and the Company and, therefore, the Investor Members, had realized

gain under the Internal Revenue Code of 1986, as amended (the "Code"). The gain would be measured by the difference between such liabilities and the aggregate tax basis of such assets.

Investors may be required to pay taxes on Company income allocated to them without the benefit of distributions of cash from the Company.

Because proceeds of, and earnings on, investments of the Company may be reinvested by the Managing Member, in its sole and absolute discretion, rather than distributed to Investor Members, Investor Members may have significant income allocated to them on which they are required to pay taxes regardless of whether they receive distributions from the Company. The Managing Member has no present intention of making minimum distributions to Investor Members on an annual or any other regular basis in amounts sufficient to enable Investor Members to satisfy their respective Federal and state tax liabilities with respect to investments in the Company.

Tax exempt Investors may have UBTI

An allocable share of a tax-exempt Investor Members income may be "unrelated business taxable income" ("UBTI"). A tax-exempt Investor Member should consider in particular the extent to which it will be deemed to have "unrelated debt-financed income" by reason of any borrowing done by the Target to finance the acquisition or development of the Property.

Changes in tax laws may affect investment returns

The tax laws may change with regard to tax rates, deduction limitations, or other items.

GENERAL RISKS

EquityMultiple and its affiliated entities are not providing investment advice

The Company presents the investment opportunity set forth in the Offering Listing Summary without recommendation or endorsement and relies on each Investor Member to make its own independent decision whether or not to invest in the Company. None of EquityMultiple, the Managing Member or the Company or any of their affiliates (collectively, the "EM Affiliates") is providing (and none intends to provide) any investment advice to any Investor Member. Each Investor Member must make its own investment decision and is encouraged to seek advice of legal and financial advisors in connection with its decision whether to invest in the Company.

No Counsel to Investor Members.

Counsel for EquityMultiple, the Managing Member and the Company does not represent the Investor Members and no such counsel has been engaged on behalf of the Investor Members. Each Investor Member is strongly encouraged to seek its own legal and financial advice with respect to an investment in the Company.

The Managing Member and its affiliates may engage in other activities.

The Managing Member, EquityMultiple and their respective key personnel are required only to devote such time to the Company and its investment in the Target as may be necessary in for the

operation of the Company. They engage in many other business activities, including performing management activities for other investment entities and are not prohibited from engaging in activities in real estate which may be competitive with Target or which involve a substantial amount of their time and resources.

No Assurance of Investment Return.

There can be no assurance that the objective of this investment will be achieved or that an investor will receive any return on its investment. An investment should only be considered by persons who can afford a loss of their entire investment. Past activities of investment entities sponsored by the Sponsor and other investment vehicles raised by EquityMultiple or its partners or affiliates provide no assurance of future results.

EACH PROSPECTIVE INVESTOR MUST CONSULT HIS, HER OR ITS OWN TAX ADVISER REGARDING THE TAX TREATMENT OF THE COMPANY AND THE U.S. FEDERAL, STATE, LOCAL AND FOREIGN TAX CONSEQUENCES OF PURCHASING, HOLDING OR SELLING ANY CLASS A UNITS OF THE COMPANY.

The foregoing list of risk factors does not purport to be a complete enumeration or explanation of the risks involved in an investment in the Company. Prospective investors are urged to consult their own advisers before deciding to invest in the Company. No assurance can be made that profits will be achieved or that substantial losses will not be incurred.

ACCREDITED INVESTOR DEFINITION

Accredited investor as defined by the U.S. Securities and Exchange Commission in Rule 501 of Regulation D.

Definitions and terms used in Regulation D.

(a) *Accredited investor*. *Accredited investor* shall mean any person who comes within any of the following categories, or who the issuer reasonably believes comes within any of the following categories, at the time of the sale of the securities to that person:

(1) Any bank as defined in section 3(a)(2) of the Act, or any savings and loan association or other institution as defined in section 3(a)(5)(A) of the Act whether acting in its individual or fiduciary capacity; any broker or dealer registered pursuant to section 15 of the Securities Exchange Act of 1934; any insurance company as defined in section 2(a)(13) of the Act; any investment company registered under the Investment Company Act of 1940 or a business development company as defined in section 2(a)(48) of that Act; any Small Business Investment Company licensed by the U.S. Small Business Administration under section 301(c) or (d) of the Small Business Investment Act of 1958; any plan established and maintained by a state, its political subdivisions, or any agency or instrumentality of a state or its political subdivisions, for the benefit of its employees, if such plan has total assets in excess of $5,000,000; any employee benefit plan within the meaning of the Employee Retirement Income Security Act of 1974 if the investment decision is made by a plan fiduciary, as defined in section 3(21) of such act, which is either a bank, savings and loan association, insurance company, or registered investment adviser, or if the employee benefit plan has total assets in excess of $5,000,000 or, if a self-directed plan, with investment decisions made solely by persons that are accredited investors;

(2) Any private business development company as defined in section 202(a)(22) of the Investment Advisers Act of 1940;

(3) Any organization described in section 501(c)(3) of the Internal Revenue Code, corporation, Massachusetts or similar business trust, or partnership, not formed for the specific purpose of acquiring the securities offered, with total assets in excess of $5,000,000;

(4) Any director, executive officer, or general partner of the issuer of the securities being offered or sold, or any director, executive officer, or general partner of a general partner of that issuer;

(5) Any natural person whose individual net worth, or joint net worth with that person's spouse, exceeds $1,000,000.

(i) Except as provided in paragraph (a)(5)(ii) of this section, for purposes of calculating net worth under this paragraph (a)(5):

(A) The person's primary residence shall not be included as an asset;

(B) Indebtedness that is secured by the person's primary residence, up to the estimated fair market value of the primary residence at the time of the sale of securities, shall not be included as a liability

(except that if the amount of such indebtedness outstanding at the time of sale of securities exceeds the amount outstanding 60 days before such time, other than as a result of the acquisition of the primary residence, the amount of such excess shall be included as a liability); and

(C) Indebtedness that is secured by the person's primary residence in excess of the estimated fair market value of the primary residence at the time of the sale of securities shall be included as a liability;

(ii) Paragraph (a)(5)(i) of this section will not apply to any calculation of a person's net worth made in connection with a purchase of securities in accordance with a right to purchase such securities, provided that:

(A) Such right was held by the person on July 20, 2010;

(B) The person qualified as an accredited investor on the basis of net worth at the time the person acquired such right; and

(C) The person held securities of the same issuer, other than such right, on July 20, 2010.

(6) Any natural person who had an individual income in excess of $200,000 in each of the two most recent years or joint income with that person's spouse in excess of $300,000 in each of those years and has a reasonable expectation of reaching the same income level in the current year;

(7) Any trust, with total assets in excess of $5,000,000, not formed for the specific purpose of acquiring the securities offered, whose purchase is directed by a sophisticated person as described in §230.506(b)(2)(ii); and

(8) Any entity in which all of the equity owners are accredited investors.

(b) *Affiliate.* An *affiliate* of, or person *affiliated* with, a specified person shall mean a person that directly, or indirectly through one or more intermediaries, controls or is controlled by, or is under common control with, the person specified.

(c) *Aggregate offering price. Aggregate offering price* shall mean the sum of all cash, services, property, notes, cancellation of debt, or other consideration to be received by an issuer for issuance of its securities. Where securities are being offered for both cash and non-cash consideration, the aggregate offering price shall be based on the price at which the securities are offered for cash. Any portion of the aggregate offering price attributable to cash received in a foreign currency shall be translated into United States currency at the currency exchange rate in effect at a reasonable time prior to or on the date of the sale of the securities. If securities are not offered for cash, the aggregate offering price shall be based on the value of the consideration as established by bona fide sales of that consideration made within a reasonable time, or, in the absence of sales, on the fair value as determined by an accepted standard. Such valuations of non-cash consideration must be reasonable at the time made.

(d) *Business combination. Business combination* shall mean any transaction of the type specified in paragraph (a) of Rule 145 under the Act (17 CFR 230.145) and any transaction involving the acquisition by one issuer, in exchange for all or a part of its own or its parent's stock, of stock of another issuer if, immediately after the acquisition, the acquiring issuer has control of the other issuer (whether or not it had control before the acquisition).

(e) *Calculation of number of purchasers.* For purposes of calculating the number of purchasers under §§230.505(b) and 230.506(b) only, the following shall apply:

(1) The following purchasers shall be excluded:

(i) Any relative, spouse or relative of the spouse of a purchaser who has the same primary residence as the purchaser;

(ii) Any trust or estate in which a purchaser and any of the persons related to him as specified in paragraph (e)(1)(i) or (e)(1)(iii) of this section collectively have more than 50 percent of the beneficial interest (excluding contingent interests);

(iii) Any corporation or other organization of which a purchaser and any of the persons related to him as specified in paragraph (e)(1)(i) or (e)(1)(ii) of this section collectively are beneficial owners of more than 50 percent of the equity securities (excluding directors' qualifying shares) or equity interests; and

(iv) Any accredited investor.

(2) A corporation, partnership or other entity shall be counted as one purchaser. If, however, that entity is organized for the specific purpose of acquiring the securities offered and is not an accredited investor under paragraph (a)(8) of this section, then each beneficial owner of equity securities or equity interests in the entity shall count as a separate purchaser for all provisions of Regulation D (§§230.501-230.508), except to the extent provided in paragraph (e)(1) of this section.

(3) A non-contributory employee benefit plan within the meaning of Title I of the Employee Retirement Income Security Act of 1974 shall be counted as one purchaser where the trustee makes all investment decisions for the plan.

Note: The issuer must satisfy all the other provisions of Regulation D for all purchasers whether or not they are included in calculating the number of purchasers. Clients of an investment adviser or customers of a broker or dealer shall be considered the “purchasers” under Regulation D regardless of the amount of discretion given to the investment adviser or broker or dealer to act on behalf of the client or customer.

(f) *Executive officer. Executive officer* shall mean the president, any vice president in charge of a principal business unit, division or function (such as sales, administration or finance), any other officer who performs a policy making function, or any other person who performs similar policy making functions for the issuer. Executive officers of subsidiaries may be deemed executive officers of the issuer if they perform such policy making functions for the issuer.

(g) *Final order. Final order* shall mean a written directive or declaratory statement issued by a federal or state agency described in §230.506(d)(1)(iii) under applicable statutory authority that provides for notice and an opportunity for hearing, which constitutes a final disposition or action by that federal or state agency.

(h) *Issuer.* The definition of the term *issuer* in section 2(a)(4) of the Act shall apply, except that in the case of a proceeding under the Federal Bankruptcy Code (11 U.S.C. 101 *et seq.*), the trustee or debtor in possession shall be considered the issuer in an offering under a plan or reorganization, if the securities are to be issued under the plan.

(i) *Purchaser representative. Purchaser representative* shall mean any person who satisfies all of the following conditions or who the issuer reasonably believes satisfies all of the following conditions:

(1) Is not an affiliate, director, officer or other employee of the issuer, or beneficial owner of 10 percent or more of any class of the equity securities or 10 percent or more of the equity interest in the issuer, except where the purchaser is:

(i) A relative of the purchaser representative by blood, marriage or adoption and not more remote than a first cousin;

(ii) A trust or estate in which the purchaser representative and any persons related to him as specified in paragraph (h)(1)(i) or (h)(1)(iii) of this section collectively have more than 50 percent of the beneficial interest (excluding contingent interest) or of which the purchaser representative serves as trustee, executor, or in any similar capacity; or

(iii) A corporation or other organization of which the purchaser representative and any persons related to him as specified in paragraph (h)(1)(i) or (h)(1)(ii) of this section collectively are the beneficial owners of more than 50 percent of the equity securities (excluding directors' qualifying shares) or equity interests;

(2) Has such knowledge and experience in financial and business matters that he is capable of evaluating, alone, or together with other purchaser representatives of the purchaser, or together with the purchaser, the merits and risks of the prospective investment;

(3) Is acknowledged by the purchaser in writing, during the course of the transaction, to be his purchaser representative in connection with evaluating the merits and risks of the prospective investment; and

(4) Discloses to the purchaser in writing a reasonable time prior to the sale of securities to that purchaser any material relationship between himself or his affiliates and the issuer or its affiliates that then exists, that is mutually understood to be contemplated, or that has existed at any time during the previous two years, and any compensation received or to be received as a result of such relationship.

Note 1 to §230.501: A person acting as a purchaser representative should consider the applicability of the registration and antifraud provisions relating to brokers and dealers under the Securities Exchange Act of 1934 (*Exchange Act*) (15 U.S.C. 78a *et seq.,* as amended) and relating to investment advisers under the Investment Advisers Act of 1940.

Note 2 to §230.501: The acknowledgment required by paragraph (h)(3) and the disclosure required by paragraph (h)(4) of this section must be made with specific reference to each prospective investment. Advance blanket acknowledgment, such as for *all securities transactions* or *all private placements,* is not sufficient.

Note 3 to §230.501: Disclosure of any material relationships between the purchaser representative or his affiliates and the issuer or its affiliates does not relieve the purchaser representative of his obligation to act in the interest of the purchaser.

SUBSCRIPTION AGREEMENT TO EQUITYMULTIPLE 40, LLC

EQUITYMULTIPLE 40, LLC

UNIT SUBSCRIPTION AGREEMENT

THE SECURITIES REFERRED TO IN THIS SUBSCRIPTION AGREEMENT HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE "SECURITIES ACT"), AND MAY NOT BE SOLD, TRANSFERRED, ASSIGNED OR HYPOTHECATED UNLESS (I) THERE IS AN EFFECTIVE REGISTRATION STATEMENT UNDER THE SECURITIES ACT COVERING SUCH SECURITIES OR THE MANAGING MEMBER RECEIVES AN OPINION OF COUNSEL FOR THE INVESTOR REASONABLY SATISFACTORY TO THE MANAGING MEMBER STATING THAT SUCH SALE, TRANSFER, ASSIGNMENT OR HYPOTHECATION IS EXEMPT FROM THE REGISTRATION AND PROSPECTUS DELIVERY REQUIREMENTS OF THE SECURITIES ACT AND (II) SUCH SALE, TRANSFER, ASSIGNMENT OR HYPOTHECATION COMPLIES WITH ALL PROVISIONS OF THE COMPANY'S LIMITED LIABILITY COMPANY AGREEMENT.

The undersigned (the "Investor") has determined that the investment opportunity set forth in the Company's Offering Listing Summary (as supplemented from time to time, the "Offering Listing") available at www.equitymultiple.com is an appropriate and desirable investment for Investor and accordingly desires to become a member in EQUITYMULTIPLE 40, LLC, a Delaware limited liability company (the "Company").

Therefore, intending to be legally bound hereby, Investor hereby subscribes for and agrees to purchase (subject to acceptance by the Company of such subscription) a number of Units in the Company set forth on the signature page hereto (the "Units") at a price of $5,000 per Unit and to contribute capital (Investor's "Capital Contribution") to the Company in the amount set forth on the Investor's signature page hereto, such purchase and contribution to be made in accordance with the terms and conditions of this Subscription Agreement and the Company's Limited Liability Company Agreement (as amended from time to time in accordance with the terms thereof, the "LLC Agreement").

1. **Payment**. The Investor understands that Investor's aggregate purchase price for the Units designated on the signature page hereto ("Purchase Price") is payable with the execution and submission of this Agreement by ACH transfer, wire transfer, or check according to the instructions set forth in the instructions set forth at www.equitymultiple.com in connection with the Offering Listing or as otherwise agreed to by the Company. Accordingly, Investor is submitting to the Company, simultaneously with delivery of this Agreement, the Purchase Price and acknowledges and understands that it shall be released and immediately available to the Company on the earlier of the Maximum Closing Date and the Offering Closing Date (as defined in the Offering Listing) (such earlier date being the "Closing Date") and that it will be returned to Investor if the circumstances described in Section 1(c) below occur.

2. **Offering Period.** The Company shall hold the Purchase Price in a segregated bank account in the name of the Company established for purposes of the Offering for the benefit of all investors in the Offering until the earliest to occur of the following:

(a) The date as of which the Company has both accepted this Subscription Agreement and received binding and funded Subscription Agreements from other purchasers of Units for an amount equal to the Maximum Offering Amount (as such term is defined in the Offering Listing) (the "Maximum Closing Date");

(b) Any time prior to the Offering Closing Date (as such term is defined in the Offering Listing) provided that the Company has both accepted this Subscription Agreement and received binding and funded Subscription Agreements from other purchasers of Units for at least the Minimum Offering Amount (as such term is defined in the Offering Listing); and

(c) The earliest to occur of such time as (i) the Company rejects Investor's subscription, (ii) the Offering Closing Date occurs and the Company has not received binding Subscription Agreements for the Minimum Offering Amount by such date, or (iii) the Company or the Managing Member otherwise determines not to consummate the transaction described in the Offering Listing.

3. **No Guarantee of Acceptance by Company.** Investor acknowledges that its subscription to purchase the Units may be accepted or rejected by the Company, in whole or in part, in its sole and absolute discretion, but may not be terminated or withdrawn without the Managing Member's consent. Without limiting the foregoing, Company's acceptance of Investor's subscription shall be contingent in its entirety upon (i) Company's verification of Investor's status as an "Accredited Investor" (as defined below) and (ii) successful completion of anti-money laundering, suitability, and know your customer reviews as required by any broker-dealer offering the Company's securities and applicable law. If Company rejects Investor's subscription, Company will notify Investor by electronic mail within two (2) business days after such rejection.

4. **LLC Agreement.** The Investor's purchase and ownership of the Units shall be subject to the terms and conditions of this Agreement and the LLC Agreement (together, the "Transaction Documents"), including, without limitation, limitations on Investor's ability to transfer Units. A copy of the LLC Agreement is attached hereto as Exhibit A. If the Investor's subscription is accepted by the Company, the Investor agrees to comply fully with the terms of this Agreement and the LLC Agreement. The Investor acknowledges that in the event of a conflict between the Offering Listing and this Subscription Agreement or the LLC Agreement, this Subscription Agreement and the LLC Agreement shall control.

5. **Delivery**. To complete the purchase of Units, the Investor must, in addition to the Purchase Price, deliver to the Company an executed copy of this Subscription Agreement. Investor understands that there shall be no certificates for the Units.

6. **Use of Platform**. The Purchase of the Units, including the collection of Investor information and transaction execution services shall be effectuated through use of the online platform found at www.equitymultiple.com and maintained by Equity Multiple, Inc. an affiliate of the Managing Member (the "Platform").

7. **Representations & Warranties of Company**. In connection with the Sale of Units in the Company, the Company represents and warrants as follows:

(a) **Organization and Good Standing**. The Company is a limited liability company duly organized, validly existing and in good standing under the laws of the State of Delaware, having full power and authority to carry on its business as conducted and contemplated by this Agreement.

(b) **Enforceability**. This Subscription Agreement, when executed and delivered by the Company, will constitute a valid and legally binding obligation, enforceable in accordance with its terms except (a) as limited by applicable bankruptcy, insolvency, reorganization, moratorium and other laws of general application affecting enforcement of creditors' rights generally, and (b) as limited by laws relating to the availability of specific performance, injunctive relief or other equitable remedies.

(c) **Requisite Power**. All actions, agreements, understandings, certificates or other acts or documents necessary to provide the Company with the requisite power and authority to materially carry out the purpose of the Company have been completed or will be completed in a timely manner.

8. **Representations & Warranties of Investor**. In connection with the Investor's investment in the Company, the Investor represents, warrants and agrees with the Managing Member and the Company as follows:

(a) **Power and Authority**. The Investor has the full right, power and authority to execute and deliver this Subscription Agreement and the LLC Agreement and is acquiring the Units solely for the Investor's own account for investment and not with a view to distribution or resale. The execution and delivery by the Investor of this Subscription Agreement, the consummation of the transactions contemplated hereby and the performance of the obligations hereunder and under the LLC Agreement will not conflict with, or result in any violation of or default under: (a) any provision of any governing instrument applicable to the Investor; (b) any agreement or instrument to which the Investor is a party or by which it or any of its properties are bound; or (c) any permit, franchise, judgment, decree, statute, rule or regulation applicable to the Investor or its business or properties.

(b) **Accredited Investor Status**. The Investor is an "accredited investor" as defined in Regulation D under the Securities Act. The definition of "accredited investor" is available in the Investor Packet, a copy of which has been made available to the Investors. The Investor hereby confirms having read and understood the definition as it applies to the Investor and the Investor is aware, should any uncertainty exist as to whether they are an accredited investor, that they can inquire with the Company directly prior to consummating their investment in the Company. The investor understands fully that the Company is relying upon the Investor to accurately provide truthful information regarding the Investor's accredited investor status to comply with the Company's requirement to determine the Investor's overall suitability.

(c) **Investor Information**. All information submitted by the Investor to the Company in documents and forms submitted by Investor, including information submitted through the Platform and all representations made by Investor in connection with this Subscription Agreement and the LLC Agreement are accurate and complete as of the date provided and Investor knows of no circumstance which has arisen which has made, or which would, with the passage of time, make any such information or representations inaccurate in any material respect.

(d) **Sufficient Experience**. The Investor has such knowledge, sophistication and experience in business and financial matters that the Investor is capable of evaluating the merits and risks of an investment in the Company. The Investor has the ability to accept the high risk and lack of liquidity inherent in an investment in the Company and can afford a complete loss of the investment in the Company. The Investor's investment in the Company is consistent with the investment purposes and objectives and cash flow requirements of the Investor and such investment will not adversely affect the Investor's overall need for diversification and liquidity.

(e) **LLC Agreement and Offering Materials**. The Investor has received and read (i) the LLC Agreement; (ii) the Offering Listing; and (iii) the Risk Factors, all of which have been made available on the Platform to the Investor in connection with a potential investment in the Company. The Investor understands that the Offering Listing contains a summary of certain terms of the LLC Agreement and that such summary is qualified in its entirety by the terms of the LLC Agreement. The Investor acknowledges and agrees that in the event there is an inconsistency between the contents of the Offering Listing and the terms of the LLC Agreement or this Subscription Agreement, the terms of the LLC Agreement and this Subscription Agreement shall control. The Investor acknowledges that the Investor is familiar with the terms of the Offering Listing and the LLC Agreement and this Subscription Agreement. Specifically, the Investor understands that:

(i) there are limited provisions for transferability of Units under the terms of the LLC Agreement and by reason of applicable securities laws;

(ii) the Investor may not make any withdrawal from the Company;

(iii) an investment in the Company is an illiquid investment and that the Investor must be prepared to hold on to its investment in the Company for an indefinite period of time;

(iv) except as provided in the LLC Agreement, the Investor is not entitled to cancel, terminate or revoke the Investor's subscription for the Units or any agreement thereunder;

(v) in order to avoid the potential application of special fiduciary obligations to the Managing Member, the Managing Member may, at its sole discretion, restrict investments in the Company by Benefit Plan Investors, exclude additional Benefit Plan Investors or require Benefit Plan Investors to withdraw from the Company in order to limit the Company's assets under management;

(vi) the method of compensation under the LLC Agreement between the Company, on the one hand, and the Managing Member and/or its designees, on the other hand, and understands the terms and conditions of the carried interest and management fee of the Company; and

(vii) any taxes, fees or other charges that the Company or the Managing Member is required to withhold under applicable law with respect to the Investor will be so withheld (and paid to the appropriate governmental authorities) and that the Company and the Managing Member may withhold such taxes, fees or other charges from amounts otherwise distributable to the Investor, or debit such amount from the capital account of the Investor and withdraw cash therefrom to fund payment of such taxes, fees or other charges. In addition, the Company and the Managing Member may withhold otherwise distributable amounts for, or debit (and withdraw cash to fund payment of), any reasonable expenses (including attorney's or accountant's fees and expenses) incurred by the Company or the Managing Member in connection with the determination of the applicable withholding obligation. The Investor acknowledges that any debit or cash withdrawal from the Investor's capital account to pay for such taxes, fees, expenses or other charges shall be deemed, in the discretion of the Managing Member, either (i) a distribution from the Investor's capital account (which need not result in pro rata distributions to other Investor Members), thereby reducing the balance of the Investor's unreturned capital account balance, or capital account, as applicable or (ii) a demand loan from the Company to such Investor Member.

(f) **Certain Risks**. The Investor understands that an investment in the Company involves substantial risk, including those risks set forth in the document titled Risk Factors which is part of the Investor Packet which has been physically and/or electronically provided to the Investor, and has been made available to the Investor on the Platform, for which the Investor hereby confirms having read and understood, including, without limitation, the following:

(i) the Company has no operating history;

(ii) an investment in the Company requires a long-term commitment, it is illiquid and not suitable for Investors who need access to their funds within a short period of time;

(iii) Investors in the Company may lose all or part of their investment should the Target investment fail to perform or if the Company is otherwise negatively or adversely impacted;

(iv) there is no guarantee of distributions, Investors will not be able to rely upon distributions on any fixed schedule or otherwise;

(v) no federal or state agency has reviewed or approved the Units, the offering thereof, the LLC Agreement or this Subscription Agreement or made any findings or determination as to the fairness of an investment in the Company; and

(vi) the Company is not registered as an investment company under the Investment Company Act and the provisions of the Investment Company Act intended to provide various protections to investors will not be extended to the Investor.

(g) **Private Placement of Unregistered Securities**. The Investor understands that (i) the Units have not been registered under the Securities Act (and that no such registration is contemplated) and are being sold in reliance upon an exemption from the registration requirements of the Securities Act provided by Regulation D promulgated under the Securities Act, (ii) it is not anticipated that there will be any market for its Units and the Investor must, therefore, bear the economic risk of this investment for the term of the Company; and (iii) the Investor may not sell, hypothecate, pledge or otherwise dispose of the Units in whole or in part except in compliance with the LLC Agreement and unless the Units either have been registered under the Securities Act and any applicable state securities law, or are exempt from the registration requirements of the Securities Act and any such state securities law.

(h) **Investor's Due Diligence**. The Investor has conducted its own due diligence, is not relying on any evaluation or recommendation with respect to the investment opportunity presented by the Offering Listing other than Investor's own evaluation of such information and advice from Investor's own financial, tax and other advisors. Investor confirms that Investor has had the opportunity to ask questions of and receive answers from the Managing Member or its Affiliates concerning the terms and conditions of the LLC Agreement and all such questions have been answered to Investor's satisfaction and Investor understands the LLC Agreement.

(i) **No Regulatory Disqualification**. Investor hereby represents and confirms the following:

(i) During the preceding ten (10) years, the Investor has not been convicted of a crime (A) in connection with the sale of securities, (B) involving the making of any false statements to the Securities and Exchange Commission (the "SEC"), or (C) arising out of the conduct of the business of an underwriter, broker, dealer, municipal securities dealer, investment adviser or paid solicitor of purchasers of securities.

(ii) During the preceding five (5) years, the Investor has not been subject to a court order or decree which restrains or enjoins the Investor from engaging or continuing to engage in any conduct or practice (A) in connection with the purchase or sale of securities, (B) involving the making of any false statements to the SEC, or (C) arising out of the conduct of the business of an underwriter, broker, dealer, municipal securities dealer, investment adviser or paid solicitor of purchasers of securities.

(iii) The Investor is not the subject of a final order by a state securities commission, state banking authority, state insurance commission, federal banking agency, the National Credit Union Association, or the CFTC, which bars the Investor from (A) association with an entity regulated by the relevant authority, (B) engaging in the business of securities, insurance or banking, or (C) engaging in saving association or credit union activities.

(iv) The Investor is not presently, and during the preceding ten (10) years the Investor has not been, the subject of a final order or bar by a state securities commission, state banking authority, state insurance commission, federal banking agency, the National Credit Union Association, or the CFTC relating to violations of any law or regulation that prohibits fraudulent, manipulative or deceptive conduct.

(v) The Investor is not the subject of an SEC disciplinary order under Sections 15(b) or 15B(c) of the Securities Exchange Act of 1934, as amended ("Exchange Act"), or Section 201(e) or (f) of the Investment Advisers Act of 1940, as amended, that (A) suspends or revokes the Investor's registration as a broker, dealer, municipal securities dealer or investment adviser, (B) limits the Investor's activities, functions or operations,

or (C) bars the Investor from association with any entity or from participating in an offering of penny stock.

(vi) During the preceding five (5) years, the Investor has not been the subject of an SEC order prohibiting future violations of any scienter-based anti-fraud provision, including Sections 5 and 17(a) of the Securities Act and Section 10(b) of the Exchange Act.

(vii) The Investor has not been suspended or expelled from membership in, or barred from association with, a member of a national securities exchange or registered national securities association (e.g., FINRA).

(viii) If the Investor is an entity, during the preceding five (5) years, the Investor has not filed and the Investor has not been named as the underwriter in, any registration statement or Regulation A offering statement filed with the SEC that was the subject of a refusal order, stop order or order suspending the Regulation A exemption; and the Investor is not presently the subject of an investigation or proceeding to determine whether any such order should be issued.

(ix) The Investor is not presently, and during the preceding five (5) years the Investor has not been, the subject of a U.S. Postal Service false representation order.

(x) The Investor is not presently in receipt of a Wells Notice or similar notice from the United States Department of Justice, the SEC or CFTC, any state regulator or any self-regulatory organization (e.g., FINRA, the National Futures Association or any registered exchange).

(j) **Trustee, Agent, Representative or Nominee**. If the Investor is acting on behalf of one or more Beneficial Owners (as defined in Rule 13(d) of the Exchange Act), such as a trustee, agent, representative or nominee for a subscriber, the Investor understands and acknowledges that the representations, warranties and agreements made herein are made by the Investor (i) with respect to the Investor and (ii) with respect to the Beneficial Owners. The Investor further represents and warrants that it has all requisite power and authority from the Beneficial Owners to execute and perform the obligations under this Subscription Agreement on behalf of the Beneficial Owners.

(k) **Benefit Plan Investors.** If Investor is any of the following (a "Benefit Plan Investor"): (1) an "employee benefit plan" as defined in § 3(3) of ERISA (including any plan that is exempt from Title I of ERISA pursuant to §4(b) of ERISA); (2) any plan to which § 4975 of the Internal Revenue Code applies (including an individual retirement account or annuity); and (3) any entity the underlying assets of which are deemed to include assets of an investment vehicle which constitute benefit plan assets within the meaning of Labor Regulation 29 C.F.R. § 2510.3-101, as modified by section 3(42) of ERISA ("Plan Assets") by reason of a plan's investment in such entity within the meaning of applicable regulations governing Plan Assets), Investor has indicated this in response to the applicable questions presented on the Platform and understands the Company will rely on this information in order to ensure that it does not become subject to regulations applicable to investment vehicles that are deemed to hold Plan Assets. In addition, if the Investor is a Benefit Plan Investor, the person executing this Subscription Agreement on behalf of the Investor (the "Fiduciary") has determined that investment (and continued investment) by the Investor in the Company (including the underlying investment of the Company) meets the requirements of ERISA (or other applicable law) in their entirety, including specifically the requirements of Section 404 of ERISA relating to prudence, diversification and liquidity of investments. In addition, the Fiduciary represents, warrants and agrees that:

(i) the Fiduciary is a "fiduciary" (within the meaning of Section 3 of ERISA, and/or Section 4975(e)(3) of the Internal Revenue Code, or similar state law) of the Investor;

(ii) the Fiduciary has reviewed this Subscription Agreement and the LLC Agreement and is authorized to execute both the Subscription Agreement and the LLC Agreement;

(iii) the Fiduciary has determined that an investment in the Company and, provided that the Company is not holding Plan Assets, its underlying investments, is not and will not result in any non-exempt prohibited transaction under Section 406 of ERISA or Section 4975 of the Internal Revenue Code or similar state law ("Prohibited Transaction") and the Investor (including each party acting on behalf of the Investor) will promptly notify the Managing Member if the Investor's investment in the Company or any other transaction is or becomes a Prohibited Transaction;

(iv) the Fiduciary has considered a number of factors with respect to the Investor's investment in the Company and has determined that, in view of such considerations, the purchase of the Units is permitted under the Investor's governing documents, is consistent with the Fiduciary's responsibilities under ERISA or similar state law, and otherwise meets all applicable fiduciary requirements for the investment.

(v) the Fiduciary has all requisite power and authority to execute and perform the obligations under this Subscription Agreement and there are no limitations set forth in any applicable law, plan document, trust, custodial agreement, investment policy, investment management agreement, or any other document relating to the operation of the Fiduciary or the Investor that in any way restricts the Investor's investment in the Company and such investment conforms in all respects to, the documents governing the Investor and the Fiduciary;

(vi) the Fiduciary is (A) responsible for the decision to invest in the Company, (B) independent of the Company, the Managing Member, and their respective successors and assigns, together with the employees, officers, directors of such entities (the "Company Parties"), and (C) qualified to make such investment decision, and the Fiduciary understands and agrees that the acceptance of such responsibility is an express condition of the Managing Member's acceptance of the Investor as a limited partner of the Company;

(vii) the Fiduciary has studied the Offering Listing and the LLC Agreement and has made an independent decision to purchase the Units solely on the basis of the Offering Listing and LLC Agreement;

(viii) none of the Company, the Managing Member, or any of their respective affiliates, members, partners, shareholders, officers, directors, employees, agents or attorneys (collectively, "Associated Parties") (A) has exercised any authority or control with respect to the Investor's purchase of the Units, (B) manages any part of the Investor's investment portfolio on a discretionary basis, (C) gives investment advice with respect to the assets of the Investor, (D) has an agreement or understanding written or unwritten with the Investor under which the latter receives information, recommendations or advice concerning investments of Investor, (E) has an agreement or understanding written or unwritten with the Investor under which the Investor receives individualized investment advice concerning the Investor's assets, or (F) is the employer maintaining or contributing to the Investor;

(ix) provided that the Company is not holding Plan Assets, the Fiduciary and the Investor will not assert any liability against any of the Company Parties or their Associated Parties on account of any obligation under ERISA or similar state law, and acknowledge that they bear sole responsibility for satisfaction of ERISA, including Section 404, or similar state law with respect to the investment in the Company and its underlying assets;

(x) even if the Managing Member becomes a fiduciary of the Investor with respect to the underlying assets of the Company, the Fiduciary will continue to bear the fiduciary responsibility to the Investor with respect to the overall prudence, liquidity and diversification of the underlying assets (including the specific investments, as they may be constituted from time to time) of the Company; and

(xi) none of the Company Parties has made or will make an individual determination whether particular investments of the Company meet the fiduciary standards of ERISA with respect to the Investor, and the Company Parties will rely on the express and implied representation by the Fiduciary that the Fiduciary has determined that the Investor's continuing investment in the Company and its underlying assets satisfies ERISA's prudence requirement and other fiduciary responsibilities.

9. Money Laundering Protections. The rules and regulations administered by the OFAC prohibit, among other things, the engagement in transactions with, and the provision of services to, certain countries, territories, entities and individuals. The lists of OFAC prohibited countries, territories, persons and entities can be found on the OFAC website at http://www.treas.gov/offices/enforcement/ofac/ ("OFAC's Website"). In addition, the programs administered by OFAC ("OFAC Programs") prohibit dealing with individuals or entities in certain countries regardless of whether such individuals or entities appear on the OFAC lists. The Company Parties and their respective affiliates and service providers seek to comply with all applicable laws and regulations concerning money laundering and related activities and in furtherance thereof, they require the following representations from the Investor and may implement additional restrictions on the Units and requirements on Investor Members of the Company. ***The Investor should check OFAC's Website before making the following representations***.

(a) **Special Designation**. Neither the Investor nor its Beneficial Owners (if any) nor any Related Person (as defined below) of the Investor or such Related Person's Beneficial Owners is:

(i) a person or entity whose name appears on the "List of Specially Designated Nationals and Blocked Persons" maintained by the OFAC or other list designated by the Managing Member from time to time; or

(ii) a person or entity resident in, or organized or chartered under the laws of, or whose capital contributions are transferred from, or through an account in, a jurisdiction which is the subject of an OFAC Sanctions Program.

For purposes of this Subscription Agreement, the term "Related Person" means (i) with respect to any entity, any individual or entity controlling, or controlled by, such entity and any holder of any beneficial interest (each, a "Beneficial Interest Holder") which holds more than 5% of any class of securities of such entity, and (ii) with respect to any entity that is not publicly traded, any Beneficial Interest Holder, director, senior officer, trustee, beneficiary or grantor of such entity. An entity is publicly traded if its securities are listed on a recognized securities exchange or quoted on an automated quotation system in the U.S. or another Financial Action Task Force ("FATF") country member jurisdiction. The term "Related Person" shall exclude any beneficiaries of an "employee pension benefit plan" within the meaning of Section 3(2) of ERISA that is subject to ERISA or exempt from ERISA under Section 4(b)(1) of ERISA.

(b) **Compliance with Anti-Money Laundering Laws and Regulations**. To the best of the Investor's knowledge, based upon appropriate diligence and investigation, the Investor has implemented and complies with, and hereby covenants that it will comply with, anti-money laundering laws and regulations, including, without limitation:

(i) if the Investor or its Beneficial Owners (if any) is subject to the laws of the United States, U.S. federal or state laws and regulations concerning money laundering and

related activities, including, without limitation, the United States Bank Secrecy Act, the United States Money Laundering Control Act of 1986, and the United States International Money Laundering Abatement and Anti-Terrorist Financing Act of 2001 (as they may be amended from time to time, "US AML Regulations"); and

(ii) if the Investor or its Beneficial Owners (if any) is a European person or firm that is subject to local legislation implementing the EC Money Laundering Directives or is established or based in a non-EU jurisdiction (other than the United States) and subject to anti-money laundering legislation (any of the foregoing anti-money laundering legislation, "Non-US AML Regulations"), the Investor represents and warrants that it and its Beneficial Owners (if any) are aware of the obligations imposed on them by the Non-US AML Regulations and is and shall remain in compliance with its obligations thereunder.

(c) **Non-Cooperative Jurisdictions**. None of the Investor, its Beneficial Owners (if any), any Related Person of the Investor, or any Beneficial Owner of such Related Person is:

(i) a person or entity resident in, or whose subscription funds are transferred from, or through an account in, a FATF non-cooperative jurisdiction; or

(ii) is resident in, or organized or chartered under the laws of, a jurisdiction that has been designated by the Secretary of the Treasury under Section 311 or 312 of the PATRIOT Act as warranting special measures due to primary money laundering concerns.

(d) **Foreign Shell Bank**. If the Investor or Beneficial Owner (if any) is a Foreign Bank or receives deposits from, makes payments on behalf of, or handles other financial transactions related to a Foreign Bank, the Investor represents and warrants that:

(i) the Foreign Bank has a fixed address, other than solely a post office box or an electronic address, in a country in which the Foreign Bank is authorized to conduct banking activities;

(ii) the Foreign Bank employs one or more individuals on a full-time basis;

(iii) the Foreign Bank maintains operating records relating to its banking activities;

(iv) the Foreign Bank is subject to inspection by the banking authority that licensed the Foreign Bank to conduct banking activities; and

(v) the Foreign Bank does not provide banking services to any other Foreign Bank that does not have a Physical Presence in any country and that is not a Regulated Affiliate.

For purposes of this Subscription Agreement, the term "Foreign Bank" means an organization that (i) is organized under the laws of a country outside the United States; (ii) engages in the business of banking; (iii) is recognized as a bank by the bank supervisory or monetary authority of the country of its organization or principal banking operations; (iv) receives deposits to a substantial extent in the regular course of its business; and (v) has the power to accept demand deposits, but does not include the U.S. branches or agencies of a foreign bank; and "Foreign Shell Bank" means a Foreign Bank without a Physical Presence in any country, but does not include a Regulated Affiliate. "Physical Presence" means a place of business that is maintained by a Foreign Bank and is located at a fixed address, other than solely a post office box or an electronic address, in a country in which the Foreign Bank is authorized to conduct banking activities, at which location the Foreign Bank: (i) employs one or more individuals on a full-time basis; (ii) maintains operating records related to its banking activities; and (iii) is subject to inspection by the banking authority that licensed the Foreign Bank to conduct banking activities. "Regulated

Affiliate" means a Foreign Shell Bank that: (i) is an affiliate of a depository institution, credit union, or Foreign Bank that maintains a Physical Presence in the United States or a foreign country, as applicable; and (ii) is subject to supervision by a banking authority in the country regulating such affiliated depository institution, credit union, or Foreign Bank.

(e) **Political Figure**. If Investor is an individual, the Investor (whether investing in the Company directly or through an individual retirement plan) is not an officer, agent, or employee of a state or political subdivision or any agency, authority or instrumentality thereof, acting in his or her official capacity. None of the Investor, its Beneficial Owners (if any), any Related Person of the Investor or the Beneficial Owners of such Related Person, is a Senior Foreign Political Figure, or an Immediate Family Member or Close Associate of a Senior Foreign Political Figure. For purposes of this Subscription Agreement, "Senior Foreign Political Figure" means a senior official in the executive, legislative, administrative, military or judicial branches of a non-U.S. government (whether elected or not), a senior official of a major non-U.S. political party, or a senior executive of a non-U.S. government-owned corporation. A Senior Foreign Political Figure also includes any corporation, business or other entity that has been formed by, or for the benefit of, a Senior Foreign Political Figure. "Immediate Family Member" means a person's parents, mother-in-law, father-in-law, spouse, brother or sister, brother-in-law or sister-in-law, son-in-law or daughter-in-law, and children and any other individual to whom the person provides material support.

(f) **Due Diligence of Investor's Related Persons**. If the Investor is an entity, including, without limitation, a partnership, a trust or a Benefit Plan Investor, the Investor has carried out thorough due diligence as to, and established the identities of each of, its investors, directors, officers, trustees, beneficiaries of trusts (excluding beneficiaries of grants of a foundation) and grantors, holds evidence of such identities, will maintain all such evidence for at least five (5) years from the date of the completion of the liquidation of the Investor's investment in the Company, and will make such information available to the Managing Member and the Company upon their reasonable request.

(g) **"Freezing" of Accounts**. The Investor acknowledges that, by law, the Company may be obligated to "freeze the account" of the Investor, including by withholding distributions and/or segregating the assets in the account in compliance with governmental regulations. In such event, the Investor acknowledges and agrees that (i) the Investor will, if requested by the Managing Member in its sole discretion, transfer its Units for fair consideration to such other Person as may be designated by the Managing Member, and (ii) the Company Parties may also be required to report such action and to disclose the identity of the Investor and its Beneficial Owners (if any) to OFAC. The Investor, for itself and its Beneficial Owners (if any), further acknowledges that the Managing Member may suspend the payment of distributions to the Investor and its Beneficial Owners (if any) if the Managing Member reasonably deems it necessary to do so to comply with anti-money laundering or anti-terrorism regulations applicable to any of the Company Parties or any of their respective service providers.

(h) **Limitation of Liability.** The Investor agrees that the Company Parties and their respective Associated Parties shall have no liability to the Investor for any loss or liability that the Investor may suffer to the extent that it arises out of, or in connection with, compliance by the Company Parties and/or their respective Associated Parties in good faith with the requirements of applicable anti-money laundering, anti-drug trafficking and anti-terrorism legislation or regulations.

10. Capital Contributions and Distributions. The funds for the Investor's capital contributions to the Company will not originate from, nor will they be routed through, an account maintained at a Foreign Shell Bank, an "offshore bank," or a bank organized or chartered under the laws of a Non-Cooperative Jurisdiction nor have been or shall be derived from any activity that is deemed criminal under U.S. law. The Investor acknowledges and agrees that any distributions paid to it will be paid to the same account from which its capital contributions to the Company were originally remitted, unless the Managing Member expressly agrees otherwise in writing. None of the Investor's contributions or payments to the Company, to the extent that they are within the Investor's control,

shall cause any of the Company Parties to be in violation of anti-money laundering rules and regulations, including, without limitation, the AML Regulations.

11. **Indemnification**. The Investor understands the meaning of the representations made by the Investor in this Subscription Agreement and hereby agrees to indemnify and hold harmless each of the Company Parties, the other Investor Members of the Company, and each of their respective officers, directors, shareholders, members, partners, agents, attorneys and affiliates, and each other person, if any, who controls, is controlled by, or is under common control with, any of the foregoing, within the meaning of Section 15 of the Securities Act, and to hold such persons and firms harmless, from and against any and all loss, liability, claim, damage or expense whatsoever (including costs and reasonable attorneys' fees and all expenses reasonably incurred in investigating, preparing or defending against any claim whatsoever) to which they may be put or which they may incur by reason of, or in connection with (a) any false representation or warranty or misstatement or omission made by or on behalf of the Investor in this Subscription Agreement or in any other document furnished by the Investor to any of the foregoing in connection with the Investor's investment in the Company, (b) any breach or failure by the Investor to comply with any covenant or agreement made by the Investor in this Subscription Agreement or in any other document furnished by the Investor to any of the foregoing in connection with the Investor's investment in the Company, (c) the assertion by any party (including an Investor's Beneficial Owners, if any) that the Investor lacks the proper authorization to enter into this Subscription Agreement or the LLC Agreement or perform the Investor's obligations under the Subscription Agreement or the LLC Agreement, or (d) any action for securities law violations instituted by the Investor which is finally resolved by judgment against the Investor. The provisions of this Section 11 shall survive any termination of this Subscription Agreement.

12. **Power of Attorney**. The Investor, as principal, hereby appoints the Managing Member with full power of substitution, as its true and lawful agent and attorney-in-fact, with full power and authority in its name, place and stead to make, execute, sign, acknowledge, swear to and file (i) any partnership certificate, business certificate, fictitious name certificate, amendment thereto, or other instrument or document of any kind necessary or desirable to accomplish the business purpose and objectives of the Company, or required by any applicable federal, state or local or foreign law; (ii) the LLC Agreement and any amendment duly adopted or approved as provided therein; (iii) any and all instruments, certificates and other documents which may be deemed necessary or desirable to effect the winding up and termination of the Company; and (iv) to take any or all other actions listed in Section 12.2 of the LLC Agreement. This power of attorney is coupled with an interest, is irrevocable and shall survive and shall not be affected by the subsequent death, dissolution, bankruptcy or incapacity of the Investor. Any amendments of the LLC Agreement, as aforesaid, when prepared by said attorney-in-fact shall be deemed a part of the LLC Agreement and incorporated therein by reference, as of the effective date of such amendment thereto, to the same extent as if attached thereto and incorporated therein by reference on the date thereof.

13. **Electronic Reporting and Communications**. The Investor understands and agrees that in accordance with the terms of the LLC Agreement, the Managing Member is entitled, in its sole discretion, to transmit any financial reports and statements and any other notices required or permitted to be delivered by any of the Company Parties (collectively, the "Subject Reports") to the Investor by electronic means, including via e-mails or granting the Investor access to a database or other forum hosted on the Platform or a website designated by the Managing Member (the "Reporting Site"). The Investor hereby confirms its consent to the delivery of the Subject Reports by electronic means and that e-mails will be sent to the most current e-mail address provided by the Investor through the Platform.

14. **Reliance on Representations; Covenant to Update.** The Investor understands and agrees that:

(a) **Reliance.** The Company Parties will rely on the representations, warranties, agreements, undertakings and acknowledgements made by the Investor in determining the Investor's suitability as a purchaser of Units and the Company's compliance with federal and state securities laws and

that such representations, warranties, agreements, undertakings and acknowledgements will survive the Investor's admission as an Investor Member.

(b) **Additional Information**. Each of the Company Parties may request from the Investor such additional information as they may deem necessary to evaluate the eligibility of the Investor to acquire Units or to verify the identity of the Investor and its Beneficial Owners (if any), and may request from time to time such information as it may deem necessary or convenient to determine the eligibility of the Investor to hold Units or to enable the Company Parties to determine their compliance with applicable regulatory requirements (including any laws and regulations pertaining to withholding, money laundering and similar activities or the Company's compliance with applicable securities laws or exemptions therefrom) or the tax status of the Company. The Investor agrees to provide such information Companies Parties may reasonable request and acknowledges that none of the Company Parties shall have responsibility for any loss arising as a result of a failure to process the subscription application if any such information that has been required by any of the Company Parties or their respective affiliates and service providers has not been provided by the Investor in a timely manner.

(c) **Notice of Changes Required**. The Investor is obligated to, and covenants that the Investor shall, notify the Managing Member promptly in writing if there is any change with respect to any of the information or representations made herein or otherwise in connection with Investor's subscription for Units. Without limiting the generality of the foregoing, the Investor shall promptly notify the Managing Member if there is any change with respect to any of the information or representations made in the following paragraphs of this Subscription Agreement:

(i) Paragraph 8(i) (Bad Actor disqualifications) of this Subscription Agreement submitted by the Investor;

(ii) Paragraph 8(k) (Benefit Plan Investors) of this Subscription Agreement, which paragraph solicits information as to the Investor's status as a Benefit Plan Investor.

Without limiting the foregoing, if, prior to the Closing Date, any facts or circumstances set forth by the Investor in this Subscription Agreement change, including if, in any respect, any information or representations and warranties set forth in this Subscription Agreement shall not be true or accurate as of the Closing Date, the Investor shall give immediate notice of such fact to the Managing Member, specifying which representations and warranties are not true or accurate and the reasons therefor. In the absence of any such notice from the Investor, the Managing Member is hereby authorized to, and shall, rely on the accuracy of all such information from the Investor.

15. Disclosure of Investor Information. Any Investor Information submitted through the Platform shall be subject to the Platform's privacy policy, available at www.equitymultiple.com. The Investor further understands that each of the Company Parties may release information (regardless of whether such information is confidential) about the Investor and, if applicable, any of its Beneficial Owners, to proper authorities if any of such Company Parties, in its sole discretion, determines that it is in the best interests of the Company. The Investor acknowledges that in furtherance of the foregoing, the Company Parties and their respective affiliates and service providers may be obliged under applicable laws to submit information to the relevant regulatory authorities if any of the Company Parties and/or its respective affiliates and service providers know, suspect or have reasonable grounds to suspect that any person is engaged in any criminal activity or providing financial assistance to any criminal activity or terrorism. In addition, rules and regulations applicable to the Company Parties and regulators and government authorities such as the SEC may require the Company Parties to publicly disclose any information about or otherwise provided by the Investor. The Investor hereby consents to such disclosures and acknowledges and agrees that the Investor may not receive any notice of such disclosures or that any report has been made to any regulatory authority.

16. **Withholding/FATCA Withholding**. The Investor understands and agrees that the Managing Member may from time to time request from the Investor such additional information as the Managing Member may deem necessary or appropriate to fulfill any tax withholding obligation relating to the Investor, including any documentation necessary or reasonably requested to establish the Investor's eligibility for benefits under any applicable tax treaty or to establish the Investor's compliance with Section 1471 through Section 1475 of the Internal Revenue Code ("FATCA"). The Investor agrees to promptly notify the Managing Member in writing if (a) the IRS terminates any agreement entered into with the Investor relating to tax withholding, or (b) there is any change in any information provided by the Investor to the Managing Member relating to tax withholding, including any change in information previously provided by the Investor on IRS Form W-9 or Form W-8. The Investor acknowledges that the Company may be required to withhold tax, including a 30% tax under FATCA, on some or all payments made by the Company to the Investor unless and until the Managing Member is satisfied that the Investor has fully complied with the requirements for avoiding tax withholding, including tax withholding under FATCA, as applicable to the Investor.

17. **Governing Law, Severability and Entire Agreement**. The Investor agrees that the construction and interpretation of this Subscription Agreement shall be governed by the laws of the State of Delaware, without regard to such jurisdiction's principles of conflicts of laws. If any provision of this Subscription Agreement is found or held to be invalid or unenforceable under any applicable law, then such provision shall be deemed inoperative to the extent that it may conflict therewith and shall be deemed modified to conform with such applicable law. Any provision hereof which may be found or held invalid or unenforceable under any applicable law shall not affect the validity or enforceability of any of the other provisions hereof, and to this extent the provisions hereof shall be severable. The Investor agrees that this Subscription Agreement (together with the LLC Agreement) constitutes the entire agreement among the parties hereto with respect to the subject matter hereof; and it supersedes any prior agreement or understandings among them, oral or written, with respect to the subject matter hereof, all of which are hereby canceled.

18. **Investor's Advisors.** The Investor acknowledges Investor has been advised to consult with the Investor's own attorney regarding legal matters concerning the Company and to consult with an independent tax and financial adviser regarding the tax and financial consequences to the Investor of investing in the Company.

19. **Company Advisers**. The attorneys, accountants and other experts who perform services for the Company and the Managing Member may also perform services for Affiliates thereof. It is contemplated that any such dual representation, if commenced, will continue. The Managing Member may, without the consent of any Investor Member, execute on behalf of the Company, any consent to the representation of the Company that counsel may request pursuant to the rules of professional conduct in the applicable jurisdiction. The Managing Member has retained Pepper Hamilton LLP ("Pepper Hamilton") in connection with the formation, management and operation of the Managing Member and/or the Company. In addition, the Managing Member and/or the Company has retained Pepper Hamilton as legal counsel and may continue to use Pepper Hamilton to represent it in management and operational matters. Pepper Hamilton does not represent the Investor or any other prospective or actual investor in the Company in connection with the formation of the Company, the offering of the Units, the management and operation of the Company or any dispute that may arise between any Investor Member, on one hand, and the Managing Member and/or the Company, on the other hand (the "Company Legal Matters"), unless the Managing Member and the Investor or such other prospective or actual investor otherwise agree. The Investor will, if it wishes counsel on any Company Legal Matter, retain its own independent counsel with respect thereto and will pay all fees and expenses of such independent counsel. The Investor agrees that Pepper Hamilton may represent the Company and/or Managing Member or other Company Party in connection with the formation of the Company and any and all other Company Legal Matters (including any dispute between any such Company Party, on the one hand, and the Investor, on the other hand). The Investor acknowledges and agrees that (i) Pepper Hamilton's representation of the Company Parties is limited to the specific matters with respect to

which it has been retained and consulted by such Persons, (ii) there may exist other matters that could have a bearing on the Company Parties, the Company's investments and portfolio companies, and/or their affiliates as to which Pepper Hamilton has been neither retained nor consulted, (iii) Pepper Hamilton does not undertake to monitor the compliance of any Company Party or any of its affiliates with the investment program and other investment guidelines and procedures set forth in the Offering Listing, the LLC Agreement, side letters regarding any Company Party or any other presentation or materials presented or provided to the Investor by or on behalf of the Managing Member or the Company or other compliance matters, nor does Pepper Hamilton monitor compliance by any Company Party and/or their affiliates with applicable laws, unless in each case Pepper Hamilton has been specifically retained to do so, (iv) Pepper Hamilton has not and will not investigate or verify the accuracy and completeness of information set forth in the Offering Listing concerning the Company Parties or any of their respective affiliates and personnel or investments or portfolio companies, and (v) except for any opinions specifically set forth in a signed opinion letter issued by Pepper Hamilton, Pepper Hamilton is not providing any advice, opinion, representation, warranty or other assurance of any kind as to any matter to the Investor.

20. **No Dissemination**. The Investor has not reproduced, duplicated or delivered any of the offering materials to any other person, except professional advisers to the Investor or as permitted in writing by the Managing Member and will not do so at any time in the future without the advance written permission of the Managing Member.

21. **Miscellaneous Provisions.**

(a) **Subscription Acceptance.** The Investor understands that this Subscription Agreement is not binding on the Managing Member or the Company unless and until it is accepted by the Managing Member. The Managing Member may reject the Investor's subscription, in whole or in part, and the Managing Member may allocate to the Investor a smaller number of Units than has been subscribed for.

(b) **Binding Obligations.** Except as otherwise provided herein, this Subscription Agreement shall be binding upon and inure to the benefit of the parties and their successors and permitted assigns. The Investor shall become a party to the LLC Agreement when (i) the Managing Member receives and accepts the Investor's Subscription Agreement and counterpart signature page to the LLC Agreement and (ii) the Company shall have received the Investor's capital contribution in the amount set forth on the signature page for the Investor hereto.

(c) **Joint and Several.** If the Investor is more than one person, the obligations of the Investor shall be joint and several, and the representations, warranties, covenants, agreements and acknowledgments herein contained shall be deemed to be made by and be binding upon each such person and its successors and permitted assigns.

(d) **No Assignment**. The Investor may not assign any of its rights or obligations under this Subscription Agreement without the prior written consent of the Managing Member.

(e) **No Deemed Waiver.** The failure of the Company or the Managing Member to exercise any of their respective rights or remedies under this Subscription Agreement, the LLC Agreement or any other agreement between the Company or the Managing Member, on one hand, and the Investor, on the other hand, or otherwise, or delay by any of them in exercising any such right or remedy, shall not operate as a waiver thereof.

(f) **Amendment.** No provision of this Subscription Agreement shall be amended, waived, modified, discharged or terminated except by an instrument in writing signed by the party against whom any amendment, waiver, modification, discharge or termination is sought.

(g) **Counterparts.** The Investor agrees that this Subscription Agreement may be executed in any number of counterparts, each of which shall be an original and all of which when taken together shall constitute one and the same instrument.

[*Signature Pages Follow*]

IN WITNESS WHEREOF, and intending to be legally bound, the Company has executed this Subscription Agreement as of the day set forth below:

EQUITYMULTIPLE 40, LLC

By: EM Manager, LLC its Managing Member

By: _____

Print Name: Charles Clinton

Title: CEO

Date: _____

INVESTOR

[Counterpart Signature Page of Members follows.]

SUBSCRIPTION AGREEMENT INVESTOR SIGNATURE PAGE

This page constitutes the signature page for the Subscription Agreement and the LLC Agreement, and execution of this signature page constitutes execution of each.

By signing below, the Investor hereby agrees and confirms that:

- the Investor is subscribing for Units in the Company in the amount set forth below, which investment shall be funded in accordance with the terms of this Subscription Agreement and the LLC Agreement;
- the representations and warranties set forth in this Subscription Agreement are true and accurate as of the date hereof and shall be true and accurate as of the Closing Date and shall survive such date;
- if, in any respect, any information or representations and warranties set forth in this Subscription Agreement shall not be true or accurate prior to the Closing Date, the Investor shall give immediate notice of such fact to the Managing Member, specifying which representations and warranties are not true or accurate and the reasons therefor.

Investment into EQUITYMULTIPLE 40, LLC: $ _____

Units Purchased at $5,000 each: _____

IN WITNESS WHEREOF, the undersigned Investor has executed this Subscription Agreement on this ____ day of _____, 2017.

_____

Investor Signature

For Individuals:

_____

Investor Name

_____

Joint Investor Name (if applicable)

For Entities:

_____

Entity Name

_____

Signatory Title

EXHIBIT A

LIMITED LIABILITY COMPANY AGREEMENT

EQUITYMULTIPLE 40, LLC

OPERATING AGREEMENT OF EQUITYMULTIPLE 40, LLC

THE UNITS OF EQUITYMULTIPLE 40, LLC HAVE NOT BEEN REGISTERED UNDER ANY FEDERAL OR STATE SECURITIES LAWS AND CANNOT BE SOLD, TRANSFERRED, ASSIGNED, HYPOTHECATED OR OTHERWISE DISPOSED UNLESS THEY ARE REGISTERED THEREUNDER OR EXEMPTIONS FROM SUCH REGISTRATIONS ARE AVAILABLE, AND THE REQUIREMENTS OF THIS LIMITED LIABILITY COMPANY AGREEMENT ARE SATISFIED.

LIMITED LIABILITY COMPANY AGREEMENT

OF

EQUITYMULTIPLE 40, LLC

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LIMITED LIABILITY COMPANY AGREEMENT

OF

EQUITYMULTIPLE 40, LLC

This LIMITED LIABILITY COMPANY AGREEMENT (the "***Agreement***") of EQUITYMULTIPLE 40, LLC a Delaware limited liability company (the "***Company***") with its principal place of business located at 41 Madison Avenue, New York, NY 10010 is entered into by and among EM Manager, LLC, a Delaware limited liability company (the "***Managing Member***"), the Initial Members (as defined below), and each other Person who or which after the Effective Date hereof becomes a Member of the Company in accordance with the terms hereof (collectively, the "***Members***") as of the Closing Date, as defined in the Unit Subscription Agreement entered into by each of the Initial Members and the Company (the "***Effective Date***").

RECITALS

WHEREAS, the Company was formed under the laws of the State of Delaware by the filing of a Certificate of Formation with the Delaware Secretary of State;

WHEREAS, the parties to this Agreement are the Managing Member, the Initial Members and each other Person who after the Effective Date becomes a Member of the Company in accordance with the provisions of this Agreement; and

WHEREAS, the parties hereto desire to enter into this Agreement to provide for the management of the business and the affairs of the Company, and to set forth the rights, obligations, and interests of the parties hereto.

AGREEMENT

NOW, THEREFORE, in consideration of the mutual covenants and agreements hereinafter set forth and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto agree as follows:

1. Definitions and Rules of Construction

1.1 Definitions. Unless the context otherwise requires, capitalized terms used in this Agreement but not herein defined shall have the meanings set forth in the Act. The following terms, as used herein, shall have the following respective meanings:

(a) "Accrued Preferred Return" has the meaning set forth in Exhibit A.

(b) "Act" means the Delaware Limited Liability Company Act, Title, 6, Chapter 18, §§ 18-101, *et seq*, and any successor statute, as it may be amended from time to time.

(c) "Affiliate" with respect to a specified Person: (a) any Person that directly or indirectly through one or more intermediaries, alone or through an affiliated group, controls, is controlled by, or is under common control with, such specified Person, (b) any Person

that is an officer, director, partner, trustee, or employee of, or serves in a similar capacity with respect to, such specified Person (or an Affiliate of such specified Person), (c) any Person that, directly or indirectly, is the beneficial owner of 10% or more of any class of equity securities of, or otherwise has a substantial beneficial interest in, the specified Person or of which the specified Person is directly or indirectly the owner of 10% or more of any class of equity securities or in which the specified Person has a substantial beneficial interest, or (d) any relative or spouse of the specified Person. "Controls", "Controlled by", or "Under Common Control With", whether or not capitalized means the power, directly or indirectly, to direct or cause the direction of the management and policies of a person or entity through ownership of voting securities, contract or otherwise.

(d) "Agreement" means this Limited Liability Company Agreement, as executed and as it may be amended, modified, supplemented or restated from time to time, and including any schedules and exhibits hereto.

(e) "Annual Service Fee" has the meaning set forth in Exhibit A.

(f) "Assignee" means any Person who acquires a Financial Interest in the Company but is not a Substituted Member. An Assignee shall be entitled to receive allocations of Net Income and Net Loss (as defined in Exhibit B) and distributions pursuant to Section 6 attributable to the Financial Interest transferred to such Assignee; *provided, however, that* such Assignee shall have no right to inspect the Company books or records, to vote on Company matters, or to exercise any other right or privilege as a member of the Company. Further, any Member assigning (i) all of its Units shall cease to be a Member, but shall continue to be obligated with respect to the covenants in Section 8, and (ii) may not, as a condition of such assignment or otherwise, agree or obligate itself to act on behalf of or under the direction of such Assignee with regard to any right or privilege which a Member would have had with respect to such Transferred Units had the Transfer to such Assignee not occurred, and any attempts to act in such capacity shall be void and of no effect and shall not be recognized by the Company. An Assignee may not Transfer any interest it has in Units without the consent of the Managing Member and an Assignee shall be obligated to Transfer its Units as is provided in Section 9.

(g) "Business Day" means any day other than a day on which banking institutions in the State of New York are legally closed for business.

(h) "Capital Account" of a Member means the capital account maintained for the Member in accordance with Section 6.1.

(i) "Capital Contribution" means (i) the amount of money contributed to the Company, (ii) if property other than money is contributed, the fair market value of such property, net of liabilities assumed by the Company or to which such property is subject immediately after such contribution, in each case as determined by the Managing Member, or (iii) the fair market value, as determined by the Managing Member, of services contributed, (iv) the principal amount of any a promissory note issued to the Company by a Member, or (v) any combination of cash, property, services rendered or promissory note. The value of any such non-cash Capital Contribution shall be established by the Managing Member.

(j) "Certificate of Formation" means the certificate of formation of the Company, as amended or restated from time to time, filed in the Secretary of State of the State of Delaware in accordance with the Act.

(k) "Code" means the Internal Revenue Code of 1986, as the same may be amended or supplemented from time to time, or any successor law.

(l) "Company Assets" means the interest owned by Company in the Target acquired in the Investment, and all proceeds thereof and other assets owned from time to time incidental thereto.

(m) "Company Expenses" means all expenses incurred by the Company in connection with its operations including the Annual Service Fee, other compensation payable to other Company advisors, consultants, contractors and all expense items listed in Section 5.3.

(n) "Current Preferred Return" has the meaning set forth in Exhibit A.

(o) "Distributable Net Cash Flow" means the gross proceeds received by the Company from all sources (other than Capital Contributions, extension fees, borrowed funds, or proceeds from the sale or disposition of Property or other Company Assets) as is determined by the Managing Member less the portion thereof used to pay or establish reserves for all Company Expenses, debt payments, capital improvements, replacements, and contingencies, all as is reasonably determined by the Managing Member. At such point as the Managing Member determines that the unused balance of any such reserves previously retained out of funds that would otherwise have been Distributable Net Cash Flow is no longer necessary, the same shall thereupon be deemed Distributable Net Cash Flow.

(p) "Distributable Net Transaction Proceeds" means the net sale proceeds from all sales, retirements and other dispositions of Company Assets as is determined by the Managing Member less any portion thereof used to establish reserves, all as determined by the Managing Member. At such point as the Managing Member determines that the unused balance of any such reserves previously retained out of funds that would otherwise have been Distributable Net Transaction Proceeds is no longer necessary, the same shall thereupon be deemed Distributable Net Transaction Proceeds.

(q) "Distribution" means the Company's direct or indirect distribution of Distributable Net Cash Flow or Distributable Net Transaction Proceeds to a Member or an Assignee as provided herein.

(r) "DOL Regulation" means Section 2510.3-101 of Title 29 of the United States Code of Federal Regulations or any amendment or successor thereto.

(s) "Entity" means an association, relationship or artificial person through or by means of which an enterprise or activity may be lawfully conducted, including, without limitation, a partnership, trust, limited liability company, corporation, joint venture, cooperative or association and other entities, whether or not legal entities.

(t) "Estate Entity" means, with respect to a Member, an estate-planning trust, limited liability company or other estate-planning vehicle for the sole benefit of such Member and/or such Member's spouse or issue or other Family Members of such Member.

(u) "Family Member" means (i) with respect to any individual, such individual's spouse, parent, child or grandchild (whether natural, adopted or in the process of adoption), or any trust all of the beneficial interests of which are owned by any such individuals; and (ii) with respect to any trust, the owners of the beneficial interests of such trust.

(v) "Financial Interest" means a Person's right to share in the income, gains, losses, deductions, credit, or similar items of, and to receive Distributions from the Company, but does not include any other rights of a Member including, without limitation, the right to vote or to participate in management, or the right to information concerning the business and affairs of the Company.

(w) "Fiscal Year" shall have the meaning set forth in Section 7.1.

(x) "Indemnified Person" means each of the following: (i) the Managing Member, (ii) the Liquidator, (iii) any Affiliate of the Managing Member or the Liquidator; (iv) each director, officer, managing member, stockholder, partner, member, employee, agent, counsel, representative and incorporator of any Person described in clause (i), (ii) or (iii) above, (v) trustees of any of the foregoing; (vi) controlling persons of any of the foregoing; and (vii) successors, assigns and personal representatives of any of the foregoing

(y) "Initial Member" means each Person executing this Agreement on or before the Effective Date and admitted as a Member as of the Effective Date.

(z) "Investment" means the investment by the Company in the securities issued or to be issued to the Company by the Target.

(aa) "Investor Member" means any Member other than the Managing Member.

(bb) "Issue Price" shall have the meaning set forth in Section 4.1.

(cc) "Liquidator" shall have the meaning set forth in Section 10.2.

(dd) "Majority-in-Interest" means Members holding greater than fifty percent (50%) of all the issued and outstanding Units of the Company that are entitled to vote on the matter under consideration.

(ee) "Managing Member" means EM Manager, LLC and its successors and assigns, or such other Person as is vested with authority to manage the Company in accordance with Section 5 hereof.

(ff) "Member" means (a) each Initial Member and (b) each Person who is hereafter admitted as a Member in accordance with the terms of this Agreement and the Act, in

each case until such Person ceases to be a Member of the Company through the occurrence of a Termination Event as set forth in Section 9.12or otherwise.

(gg) "Members Schedule" means a schedule setting forth each Member's Units and Percentage Interest and certain other information. A Members Schedule will be available upon request.

(hh) "Offering Listing" means the Company's Offering Listing Summary as made available to investors at the offering page corresponding to the Company at www.equitymultiple.com, as amended and supplemented from time to time.

(ii) "Pass Through" means an Entity which is a pass through entity for United States federal income tax purposes.

(jj) "Percentage Interest" means, with respect to each Member, the Units held by such Member, as a percentage of the total of all issued and outstanding Units. From the date of the filing of the Certificate of Formation and until 11.59pm on the Effective Date, the Percentage Interest of the Managing Member, as the sole record owner of Units of the Company, shall be one hundred percent (100%).

(kk) "Permitted Transfer" means any Transfer by a Member of all or any portion of such Member's Units (i) to the Managing Member or another Member or any of their Affiliates, (ii) by descent, devise or the laws of intestate succession, or (iii) for estate planning purposes to an Estate Entity.

(ll) "Person" means a natural person or an Entity.

(mm) "Property" means that certain property or properties identified in the Offering Listing, being the property or properties held or to be held (directly or indirectly) by Target and in which the Company is investing or has invested.

(nn) "Qualified Appraiser" means an appraiser not Affiliated with the Managing Member or the Target which has at least five (5) years of experience in the valuation of properties of the type, and in the locality, of the property or properties that are the focus of the appraisal.

(oo) "Regulations" means the Treasury Regulations (including any temporary regulations) from time to time promulgated under the Code.

(pp) "Securities Act" means the Securities Act of 1933, as amended, or any successor federal statute, and the rules and regulations thereunder, which shall be in effect at the time.

(qq) "Specialty Member" means any Member which is any of the following:

(i) a bank holding company, as defined in Section 2(a) of the Bank Holding Company Act of 1956, as amended from time to time or any successor statute thereto, or a non-bank subsidiary of such a bank holding company;

(ii) an Entity that is exempt from United Stated federal income taxation under Section 501(a) of the Code pursuant to Section 501(c)(3) of the Code,

(iii) an Entity at least 25% of the equity holders of which are Entities exempt from United Stated federal income taxation under Section 501(a) of the Code pursuant to Section 501(c)(3) of the Code,

(iv) a "benefit plan investor" within the meaning of Section 2510.3-101(f)(2) of the DOL Regulation, as modified by Section 3(42) of ERISA

(v) a "governmental plan" within the meaning of Section 414(d) of the Code and Section 3(32) of ERISA, or

(vi) any benefit plan that would be described in the foregoing clauses (iv) or (v) but for the fact that it meets the requirements for exemption from the coverage requirements of ERISA as a non-electing "church plan" within the meaning of Section 414(e) of the Code and Section 3(33) of ERISA; or

(vii) a "private foundation" as described in Section 509 of the Code.

(rr) "Subscription Agreement" means, as to each Member, that certain agreement to purchase Units in the Company made available to and completed by investors at www.equitymultiple.com.

(ss) "Substituted Member" means an Assignee that satisfies the terms and conditions set forth in Section 9.3.

(tt) "Supermajority of Members" means Investor Members entitled to vote on the matter under consideration owning Units that represent more than eighty percent (80%) of the aggregate Percentage Interests owned by all Investor Members that are entitled to vote on the matter under consideration and who are not Affiliated with the Managing Member.

(uu) "Target" means that Entity specified in the Offering Listing into which or to which the Company makes the Investment and which, at the time the Company makes the Investment, owns, holds, manages and otherwise deals with the Property or shall be obligated to use the proceeds of the Investment to acquire an interest in the Property for one or more of such purposes.

(vv) "Transfer" means to, directly or indirectly, sell, transfer, assign, pledge, encumber, hypothecate or similarly dispose of, either voluntarily or involuntarily, by operation of law or otherwise, or to enter into any contract, option or other arrangement or understanding with respect to the sale, transfer, assignment, pledge, encumbrance, hypothecation or similar disposition of, any Units owned by a Person or any interest (including a beneficial

interest) in any Units owned by a Person (including, without limitation, by way of intestacy, will, gift, bankruptcy, receivership, levy, execution, charging order or other similar sale or seizure by legal process). "Transfer" when used as a noun shall have a correlative meaning. "Transferor" and "Transferee" mean a Person who makes or receives a transfer, respectively.

(ww) "Units" means Units in the Company which are issued from time to time by the Company in accordance with this Agreement and are owned by a Member (which shall be considered personal property for all purposes and a "limited liability company interest" for the purpose of the Act), which represent such Member's membership interest in the Company, including such Member's right (a) to its Financial Interest, (b) to vote on, consent to or otherwise participate in any decision of the Members as provided in this Agreement, and (c) to receive information pertaining to the Company's business and affairs as provided in this Agreement. The allocation of Units as reflected in the Company's records from time to time is presumed to be correct for purposes of this Agreement and the Act.

(xx) "Unreturned Capital Contribution Balance" means, as of any day, a Member's total Capital Contributions reduced by the aggregate amount of all Distributions made to such Member under Sections 6.3(a)(i) and 6.3(b)(i). The Members' Unreturned Capital Contribution Balances shall be maintained by the Company. In the event that any Member transfers all or any portion of its Units in accordance with the terms of this Agreement, such Member's transferee shall succeed to such Member's Unreturned Capital Contribution Balance to the extent it relates to such transferred Units.

2. Purpose and Powers

2.1 Formation. The Company is a limited liability company formed pursuant to the provisions of the Act. This Agreement shall constitute the "limited liability company agreement" (as that term is used in the Act) of the Company. The rights, powers, duties, obligations and liabilities of the Managing Member and the Members shall be determined pursuant to the Act and this Agreement. To the extent that the rights, powers, duties, obligations and liabilities of the Managing Member or any Member are different by reason of any provision of this Agreement than they would be under the Act in the absence of such provision, this Agreement shall, to the extent permitted under the Act, control.

2.2 Name. The name of the Company shall be "EQUITYMULTIPLE 40, LLC" or such other name as the Managing Member shall from time to time select.

2.3 Filings. The Managing Member shall promptly execute, deliver and file (at the Company's expense) all instruments, agreements or filings required by law in connection with the formation or continuation of the Company or otherwise necessary or appropriate to effectuate the provisions of this Agreement and to conduct the operations of the Company, including any amendments to the Certificate of Formation required under the Act or made in accordance with this Agreement.

2.4 Purpose. The primary business of the Company and its purpose are to operate a special purpose investment vehicle which will own securities issued by the Target, as more fully described in the Offering Listing. In connection with such business, the Company shall have the

authority to (a) consummate the Investment; (b) manage and hold the Investment; (c) transfer, sell or otherwise dispose of the Investment; and (d) perform all acts as may in the opinion of the Managing Member be necessary or appropriate in connection therewith or incidental thereto.

2.5 Principal Place of Business; Registered Agent, Registered Office. The principal place of business of the Company shall be located at 41 Madison Avenue, New York, NY 10010. The Company's registered office and resident agent for service of process in the State of Delaware shall be as set forth in the Certificate of Formation. The Managing Member may (a) change the location of the Company's principal place of business and establish such additional place or places of business of the Company as it may determine, (b) change the Company's registered office in Delaware, and/or (c) change the Company's resident agent for service of process in Delaware. The Managing Member shall promptly provide notice to the Investor Members of any change in the location of the Company's principal place of business.

2.6 Qualification in Other Jurisdictions. The Managing Member shall cause the Company to be qualified or registered under assumed or fictitious names or foreign limited liability company statutes or similar laws in any jurisdiction in which the Company transacts business to the extent, in the judgment of the Managing Member, any such qualification or registration is necessary or advisable in order to protect the limited liability of the Members or to permit the Company to lawfully own property or transact business. The Managing Member shall have the power and authority to execute, file and publish all such certificates, notices, statements or other instruments necessary to permit the Company to conduct business as a limited liability company in all jurisdictions where the Company elects to do business.

2.7 Term. The term of the Company commenced on the date the Certificate of Formation was filed with the Delaware Secretary of State and shall continue in existence perpetually until the Company is dissolved in accordance with the provisions of this Agreement, or as provided by law.

2.8 Powers of the Company. The Company shall have the power and authority to take any and all actions necessary, appropriate, proper, advisable, incidental or convenient to, or in furtherance of, the purpose set forth in Section 2.4, including, but not limited to, the power:

(a) to conduct the business of the Company, carry on its operations and have and exercise the powers granted to a limited liability company by the Act in any state, territory, district or possession of the United States, or in any foreign country that may be necessary, convenient or incidental to the accomplishment of the purpose of the Company;

(b) to enter into, perform and carry out contracts of any kind, including contracts with any Member or Affiliate thereof, necessary, convenient or incidental to the accomplishment of the purpose of the Company;

(c) to sue and be sued, make and defend claims, and participate in administrative or other proceedings, in its name;

(d) to appoint employees and agents of the Company, and define their respective duties and fix their respective compensation;

(e) subject to the provisions of Section 11, to indemnify certain Persons in accordance with the Act and to obtain any and all types of insurance;

(f) to borrow money and issue evidences of indebtedness, including loans from any Member or Affiliate thereof, and to secure any of the same by a mortgage, pledge, security interest or other lien on the assets of the Company;

(g) to pay, collect, compromise, litigate, arbitrate or otherwise adjust or settle any and all other claims or demands of or against the Company or to hold such proceeds against the payment of contingent liabilities; and

(h) to make, execute, acknowledge and file any and all documents or instruments necessary, convenient or incidental to the accomplishment of the purpose of the Company.

2.9 Compliance with Applicable Laws and Rules. No business or activities authorized by Section 5.1 shall be conducted that are forbidden by or contrary to any applicable law or to the rules or regulations lawfully promulgated thereunder. If any of the terms, conditions or other provisions of this Agreement shall be in conflict with any of the foregoing, such terms, conditions or other provisions shall be deemed modified so as to conform therewith. Each Member agrees to comply with all such laws, rules and regulations.

2.10 Ownership of Company Property; Partition. All property acquired by the Company, real or personal, tangible or intangible, shall be owned by the Company as an entity, and no Member, individually, shall have any ownership interest therein. Each Member hereby expressly waives the right to require partition of any Company property or any part thereof.

2.11 Tax Classification. The parties hereto intend that the Company shall always be operated in a manner consistent with its treatment as a "partnership" for Federal and applicable state income tax purposes. Except as provided in the foregoing sentence, the parties hereto intend the Company to be a limited liability company organized under the Act, and that they be Members, and not partners in a general partnership, limited partnership, or joint venture between the Members for state law or any other purpose. The Members acknowledge the Company's status as a limited liability company formed under the Act, and no Member shall take any action inconsistent with the express intent of the parties hereto.

3. Members

3.1 Investor Members. The Persons who enter into this Agreement (other than the Managing Member, unless it also purchases or otherwise acquires Units) shall be the Investor Members of the Company until they cease to be Members in accordance with the provisions of the Act or this Agreement.

3.2 Limitation of Liability. Except as expressly set forth in this Agreement or required by law, no Member shall be liable for the debts, obligation or liabilities of the Company, whether arising in contract, tort or otherwise, solely by reason of being a Member of the Company or their participation in the management of the affairs of the Company, or otherwise. Such debts, obligations and liabilities of the Company, whether arising by contract, or otherwise, shall be

solely the debts, obligations and liabilities of the Company; provided, however, that the capital of the Members in the Company shall be subject to the risk of the business of the Company and the claims of its creditors as provided by law.

3.3 Events of Dissociation. Except as otherwise expressly provided in this Agreement, including Section 9.8, no Person shall cease to be a Member of the Company upon the happening of any of the events set forth in §18-304 of the Act with respect to such Person.

4. Capital Matters; Units.

4.1 Units. Equity ownership in the Company shall be represented by and divided into Units issued by the Company. There shall be one class of Units in the Company that shall carry the rights, preferences and privileges as set forth in this Agreement. As of the Effective Date hereof, one Unit shall be issued for each Five Thousand Dollars ($5,000) of Capital Contributions to the Company (the "Issue Price").

4.2 Initial Issuance of Units; Capital Contributions. Unless otherwise stated in the Offering Listing, all Investor Members shall contribute the full amount of their capital commitment to the Company upon their admission to the Company.

4.3 Issuance of Additional Units. If the Managing Member determines that it is advisable for the Company to seek additional capital, then the Managing Member may, but shall not be required to, offer the opportunity to the Members to make additional Capital Contributions to the Company or may see investment from additional investors (either being herein an "Increasing Member"). The Company may issue additional Units to an Increasing member at any time provided that such Units are issued at the Issue Price and the terms and conditions applicable to Units are the same for all Members. The Capital Contribution of any Increasing Member shall be used only for increasing the Investment or for Company Expenses. The Capital Contribution of any Increasing Member shall be accompanied by (i) an additional Capital Contribution in an amount equal to the Management Fee that would have been payable by the Company to the Managing Member with respect to such new or additional Capital Contribution if the Increasing Member had been admitted to the Company as of the Effective Date with respect to its new or additional Capital Contribution, and (ii) interest on such amount at the rate of five percent (5%) per annum, as a condition of the Increasing Member's admission to the Company with respect to such new or additional Capital Contribution. The Company deduction which relates to the underlying Management Fee (and interest thereon) and otherwise includable in the computation of Net Income or Net Loss shall be excluded from such calculation and specially allocated to the Increasing Member making the Capital Contribution used to fund the applicable payment of the Management Fee.

4.4 Unit Certificates. The Units shall not be represented by certificates.

4.5 Percentage Interests. The Percentage Interest of and number of Units owned by the Members are as set forth on the Members Schedule.

4.6 Contributions. Except for a Member's Capital Contribution upon acquisition of Units, no Member shall be obligated to contribute any capital to the Company. Each Member acknowledges that except as specifically provided in this Agreement (a) no specific time has been

agreed upon for the repayment of Capital Contributions, (b) no interest or other rate of return shall accrue on any Capital Contributions, (c) no Member shall have the right to withdraw or to be repaid any Capital Contribution made by it or to receive any other payment in respect of its Units, including as a result of the withdrawal of such Member from the Company, (d) no Member shall have the right to demand or receive property other than cash in return for its Capital Contribution, and (e) no Member shall have priority over any other Member either as to the return its Capital Contribution or as to allocations and distributions of profits, losses or distributions. Each Member shall look solely to the Company Assets for the return of its investment, and if the Company Assets remaining after the payment or discharge of the debts and liabilities of the Company are insufficient to return capital to the Members, each such Member shall have no recourse against the Company, any other Member or the Managing Member for indemnification, contribution or reimbursement except as specifically provided in this Agreement.

5. Management

5.1 Management and Control. The Company shall be member managed, and specifically, its business shall be managed, controlled and operated exclusively by the Managing Member in accordance with this Section 5 subject to the Managing Member's authority to delegate day-to-day management responsibilities to the officers appointed by the Managing Member as set forth herein. Except for matters for which approval by the Members is expressly required by this Agreement or the mandatory provisions of the Act, no Member shall have the right to vote on any matters concerning the business, property or affairs of the Company and all decisions concerning the management, operation and policy of the Company's business and affairs shall be made by the Managing Member. The Managing Member shall have full, complete and exclusive authority, power and discretion to manage and control the business, property and affairs of the Company, to make all decisions regarding those matters and to perform any and all acts or activities customary or incident to the management, operation and policy of the Company's business, property or affairs. Decisions of the Managing Member within the scope of such authority shall be binding upon the Company and each Member. In addition, the Managing Member shall have all rights, powers and authority generally conferred by law or necessary, advisable or appropriate for accomplishing the purpose of the Company. By way of illustration, and not by way of limitation, the Managing Member shall have the authority, on behalf of the Company:

(a) To engage personnel, including the officers of the Company or of the Managing Member or any Affiliate thereof, and including accountants, and doing such other acts and incurring such other Company Expenses as it may deem necessary or advisable in connection with the conduct of the Company's affairs, including the determination and payment of distributions to Members;

(b) To open and maintain accounts and deposits in the name of the Company including depositary, custodial or other accounts, with banks, investment advisors, or other Persons, and paying the fees and charges for transactions in such accounts;

(c) To pay or cause to be paid out of the capital or income of the Partnership, or partly out of capital and partly out of income, as the Managing Member shall deem fair, all expenses, fees, charges, taxes and liabilities incurred or arising in connection with the conduct of the affairs of the Company, or in connection with the management thereof, and such

expenses and charges for the services of the Company's advisers or auditors, legal counsel, custodians, and such other agents or independent contractors and such other expenses and charges as the Managing Member may deem necessary, desirable or proper to incur;

(d) To establish and maintain reserves for such purposes and in such amounts as the Managing Member deems appropriate from time to time;

(e) To vote, grant approvals and otherwise to exercise all rights, powers, privileges and other incidents of ownership or possession with respect to any Company Assets; and to execute and deliver proxies or powers of attorney to such Persons as the Managing Member shall deem proper, granting to such Persons such power and discretion with relation to Company Assets as the Managing Member shall deem proper;

(f) To exercise powers and rights which in any manner arise out of the Company's ownership of the Company Assets, including subscription rights;

(g) To hold any Company Asset in a form not indicating any particular owner, whether in bearer, unregistered or other negotiable form, or in the name of the Company or in the name of a custodian, sub-custodian or other depositary or a nominee or nominees;

(h) To consent to, participate in or initiate any plan for the reorganization, consolidation or merger of Target or any Company Asset; to consent to any contract, lease, mortgage, purchase or sale of property by Target, and to pay calls or subscriptions with respect to any Company Asset;

(i) To join with other security holders of Target in acting through a committee, depositary, voting trustee or otherwise, and in connection therewith to deposit any Company Asset with, or transfer any Company Asset to, any such committee, depositary or trustee, and to delegate to them such power and authority with relation to any security (whether or not so deposited or transferred) as the Managing Member shall deem proper, and to agree to pay, and to pay, such portion of the expenses and compensation of such committee, depositary or trustee as the Managing Member shall deem proper;

(j) To make, to the extent it is within the power of the Managing Member to do so, all decisions and elections for accounting and income tax purposes, including selection of the accounting method or methods to be used by the Company, the selection of depreciation methods and useful lives for assets in which the Company, directly or indirectly, owns an interest, and the making of any elections for income tax purposes under any Section of the Code, including Section 754 of the Code;

(k) To enter into, make and perform such other contracts, agreements and other undertakings as may be necessary, advisable or incidental to the carrying out of any of the foregoing powers, objects or purposes, including the engagement of consultants and others to provide services to the Company in connection with its ownership, management or oversight over Company Assets or in connection with the provision of services directly to Target Company or to cause Target to engage, or request that Target engage, such a Person;

(l) To pay, extend, renew, modify, adjust, submit to arbitration, prosecute, defend, settle or compromise, upon such terms as the Managing Member may determine and upon such evidence as it may deem sufficient, any obligation, suit, liability, cause of action or claim, including taxes, either in favor of or against the Company;

(m) To prosecute, defend, arbitrate, mediate and settle any and all claims and litigation the Company may assert or bring or that may be asserted or brought against the Company;

(n) To purchase and pay for such insurance and to enter into such indemnification arrangements as the Managing Member shall deem necessary, desirable or appropriate for the conduct of the business of the Company;

(o) To designate an agent for service of process for the Company;

(p) To admit new Members to the Company;

(q) To amend this Agreement, without the consent or vote of any of the Members, if necessary to: (i) reflect the addition or substitution of Members, including on the books and records of the Company, or the return of capital to Members; (ii) cure any ambiguity, correct or supplement any provisions herein which may be inconsistent with any other provision herein, or modify, delete or add any other provisions with respect to matters or questions arising under this Agreement which will not be inconsistent with the provisions of this Agreement and will have no material adverse effect on Members of the Company; (iii) modify, delete or add any provisions from or to this Agreement requested to be so modified, deleted or added by a federal or state securities commissioner or other regulatory agency for the benefit or protection of the Members; (iv) modify, delete or add any provision that the Managing Member may deem necessary or advisable in the reasonable judgment of the Managing Member in order to facilitate the tax treatment anticipated for the Company but which will have no material adverse effect on the Members or the Company; and (v) make any changes that, in the reasonable opinion of the Managing Member, will not have a material adverse effect on the Members or the Company;

(r) To take whatever steps are required by governmental or quasi-governmental authorities having jurisdiction over the Company or its assets;

(s) To pay any and all fees and to make any and all expenditures which the Managing Member deems necessary or appropriate in connection with the organization of the Company, the offering and sale of Units, the management of the affairs of the Company, and the carrying out of its obligations and responsibilities under this Agreement; and

(t) To make, execute, acknowledge and/or deliver on behalf of the Company any and all documents, instruments and agreements that are necessary, appropriate or convenient, in the judgment of the Managing Member, to carry out the business and purpose of the Company and the foregoing powers.

All of the foregoing shall be undertaken on such terms and conditions and in such amounts as the Managing Member deems, in its good faith business judgment, to be in the best interests of the Company.

5.2 Power to Bind the Company. Notwithstanding any provision of this Agreement to the contrary, including the foregoing provisions of this Section 5, any contract, agreement, deed, lease, note or other document or instrument executed on behalf of the Company by the Managing Member (whether executed as the "Managing Member," or as "Member" or with words or phrases of similar import) or, in lieu thereof, by such officer, employee or agent to whom authority for such action has been delegated by the Managing Member, shall be deemed to have been duly executed. Third parties shall be entitled to rely upon the Managing Member's power to bind the Company, or, in lieu thereof, such officer, employee or agent to whom authority for such power has been delegated, without otherwise ascertaining that the requirements of this Agreement have been satisfied. The Managing Member is hereby authorized to file with any governmental entity, on behalf of the Company, a certificate or similar instrument that evidences the Managing Member's power to bind the Company as set forth in this Section5.2.

5.3 Company Expenses

(a) The Company will be responsible for the payment of all Company Expenses, which shall include the following expenses:

(i) organizational and offering expenses of the Company;

(ii) Annual Service Fee;

(iii) fees and expenses incurred in connection with the operation of the Company and the carrying or management of securities issued by or otherwise related to the Company, including bookkeeping, recordkeeping and administration services and other similar services relating to the affairs of the Company;

(iv) fees and expenses incurred in connection with the preparation of the Company's reports, financial statements, tax returns and K 1's, as applicable, and any audit thereof;

(v) fees and expenses relating to reports prepared for and delivered to the Members and expenses incurred in connection with any meetings with Members called by the Managing Member;

(vi) fees and expenses incurred by the Company or the Managing Member in connection with attendance of meetings of investors in the Company;

(vii) legal, audit, accounting and recordkeeping fees and expenses incurred with respect to Company matters;

(viii) indemnification expenses and advances pursuant to this Agreement;

(ix) insurance (including director and officer or other errors and omissions liability insurance to the extent applicable to the activities of the Managing Member relative to the Company), threatened litigation or litigation expenses (and damages);

(x) any indemnification expenses or liabilities resulting from the Company's ownership of the Investment;

(xi) transaction costs, interest expense and other expenses incurred in connection with any money borrowed by the Company;

(xii) commissions and expenses directly or indirectly related to the purchase and sale of securities held by the Company or issued to the Company;

(xiii) regulatory expenses incurred in connection with Company matters, including regulatory expenses of the Company and the Managing Member, including any filing fees;

(xiv) taxes and other governmental charges levied against the Company;

(xv) expenses incurred in connection with distributions to Members;

(xvi) expenses relating to defaults by Members in the payment of any capital contributions;

(xvii) expenses incurred in connection with any restructuring or amendments to the constituent documents of the Company and related entities, including the Managing Member and their respective Affiliates, to the extent necessary to implement a restructuring or amendment of the Company documents;

(xviii) expenses incurred in connection with any restructuring or amendments to the documents relating to the Investment; and

(xix) expenses incurred in connection with the winding up or liquidation of the Company.

(b) The Managing Member shall be entitled to obtain reimbursement from the Company for all such costs and expenses borne by it on behalf of the Company, *provided, however, that* the Managing Member shall bear and be responsible for the administrative expenses of the Company related to office space, telephone and utilities, computer equipment and support, and salaries and benefits of secretarial, clerical and other personnel.

(c) The Company shall pay to the Managing Member (or to its designee), an annual service fee for the services to be provided hereunder in the amount set forth in Exhibit A hereto. Each Investor Member will be allocated a share of the Annual Service Fee expense based on the relative number of Units owned by such Investor Member. Additionally, the Managing Member shall be entitled to reimbursement of any Company Expenses incurred on behalf of the Company and paid by the Managing Member.

5.4 Change of Managing Member.

5.4.1. Resignation. The Managing Member may resign at any time by giving written notice to the Members, and no acceptance of the resignation shall be necessary to make it effective. The Managing Member shall have the right to appoint a new managing member in the event of any such resignation. Any resignation shall be without prejudice to the rights, if any, of the Managing Member or its Affiliates under any contract with the Company; and if the Managing Member or an Affiliate of the Managing Member is also a Member, shall not affect the Managing Member's or such Affiliate's rights as a Member or constitute withdrawal of a Member.

5.4.2. Removal. The Members, upon the written consent of a Supermajority of Members, may remove the Manager, but only for Cause, which for purposes of this Section 5.4 shall mean any of the following: (a) fraud or embezzlement with respect to the Company or its property, or (b) a willful and material breach of this Agreement that is not cured within thirty (30) days (or if not curable within thirty (30) days, then such longer period as may be reasonable for a cure provided diligent steps to cure are taken within the initial thirty (30) days) after written notice is provided which has been signed by a Supermajority of Members.

5.5 Officers. While Company decisions generally shall be made by the Managing Member, the daily operation of the business of the Company may be delegated by the Managing Member to agents and employees of the Company or the Managing Member, including those designated as officers of the Company. The Managing Member shall have no obligation to appoint any officers.

5.6 Matters on Which the Members are Entitled to Vote. Members may vote only on any acts, transactions, matters and things that require approval of Members pursuant to any express provision of this Agreement, which acts, transactions, matters and things shall be valid and effective only if approval by vote or written consent of that number of Members is obtained in the manner provided in such provision. Each Member shall have a number of votes equal to the number of Units held by each such Member. Except as set forth in this Section 5.6. the Members shall have no voting, approval or consent rights, and each of the Members hereby waives its right to vote on, consent to, approve, or disapprove any act, transaction, matter or thing relating to the business and affairs of the Company.

5.7 Voting and Approval Procedures. The Company shall not be required to hold an annual meeting or any special meeting of the Members. A ny action or matter which, under the terms of this Agreement or the Act is subject to the approval or affirmative vote of the Members shall be taken only if a consent in writing setting forth the action so taken is signed by the percentage of the Members required to take such action under this Agreement. Any such written consent may be executed and given by email or similar electronic means. Such consents shall be filed with the Company and shall be maintained in the Company's records.

Each Member shall have a vote equal to the number of Units held by each such Member at the time the vote is taken. It is understood that the Units held by certain Members may be held as community property under the laws of the state or country in which such Members are domiciled. However, the Company shall recognize only the registered Member(s) listed in the records of the Company as having the authority to vote such Units, and, except pursuant to a duly executed proxy or power of attorney, any Member's spouse shall not be entitled to vote

such Units, regardless of any community property interest such spouse may have in such Interests.

5.8 Tax Matters.

(a) The Managing Member shall be designated as the Company's "tax matters partner" pursuant to Code §6231(a)(7) (the "Tax Matters Member"). To the extent authorized to "tax matters partners" by the Code, the Managing Member is authorized and required to represent the Company and each Member in connection with all examinations of the Company's affairs by tax authorities, including resulting administrative and judicial proceedings, and to expend Company funds for professional services and costs connected therewith. Each Member agrees to cooperate with the Tax Matters Member and to do or refrain from doing any and all such things reasonably required by the Tax Matters Member to conduct such proceedings. The Tax Matters Member shall not be changed except with the approval of a Supermajority of Members. The Tax Matters Member shall notify all Members promptly in the event that the Company is subjected to a tax audit.

(b) The Members shall supply all information reasonably requested by the Managing Member that is related to any tax elections. In addition, each Member agrees to provide the Company with any information or documentation necessary, or reasonably requested by the Managing Member to permit the Company to fulfill any tax withholding or other obligation relating to such Member.

(c) The Tax Matters Member shall keep the Members reasonably informed of all administrative and judicial proceedings with respect to Company tax returns or the adjustment of Company items. Any Member who enters into a settlement agreement with respect to Company items must promptly give the Managing Member notice of the settlement agreement and terms that relate to Company items.

6. Capital Accounts; Allocations and Distributions

6.1 Capital Accounts. A separate Capital Account shall be established for each Member and maintained in accordance with the provisions of Exhibit B. A transferee of Units succeeds to the portion of the transferor's Capital Account that corresponds to the portion of the Units that is the subject of the Transfer.

6.2 Allocations of Profit and Losses. All allocable economic items of the Company in the nature of income, gain, loss, expense, deduction, or credit or similar items shall be allocated to the Members in accordance with Exhibit B.

6.3 Cash Distributions. Distributable Net Cash Flow and Distributable Net Transaction Proceeds are expected to be distributed to Members as soon as practicable after receipt by the Company, subject to the Managing Member's sole discretion to hold back any amounts it deems necessary to retain for reserves for Company Expenses and for any other reason that the Managing Member believes to be in the best interests of the Company based upon the Company's available cash and the operational impacts, as set forth below.

(a) Distributions of Distributable Net Cash Flow shall be distributed to the extent cash is available as and when declared by the Managing Member (in its sole and absolute discretion) as to the Members in accordance with the following order and priority:

(i) First, to the Members pro rata and pari passu until each Member has received any accrued but unpaid portion of the Current Preferred Return;

(ii) Second, to the Members pro rata and pari passu until each Member has received any accrued but unpaid portion of the Accrued Preferred Return;

(iii) Third, one hundred percent (100%) to the Members on a pro rata basis in accordance with their respective Percentage Interests until such time as distributions made under this Section 6.3(a)(i) and under Section 6.3(b)(i) equal to the Unreturned Capital Contribution Balance of such Members, and

(iv) Thereafter, all additional Distributable Net Cash Flow shall be distributed to the Managing Member.

(b) Distributions of Distributable Net Transaction Proceeds shall be distributed to the extent cash is available as and when declared by the Managing Member (in its sole and absolute discretion) in accordance with the following order and priority:

(i) First, to the Members pro rata and pari passu until each Member has received any accrued but unpaid portion of the Current Preferred Return;

(ii) Second, to the Members pro rata and pari passu until each Member has received any accrued but unpaid portion of the Accrued Preferred Return;

(iii) Third, one hundred percent (100%) to the Members on a pro rata basis in accordance with their respective Percentage Interests until such time as distributions made under Section 6.3(a)(i) and under this Section 6.3(b)(i) equal to the Unreturned Capital Contribution Balance of such Members, and

(iv) Thereafter, all additional Distributable Net Transaction Proceeds shall be distributed to the Managing Member.

(c) Such distributions will be sent by the Company to the account that the Member used to remit its original investment amount to the Company, unless otherwise notified by the Member and agreed to by the Managing Member. The Managing Member also reserves the right to commence making cash distributions at any time to any Members in order for the Company to remain exempt from the ERISA plan asset regulations.

(d) Each Member acknowledges that (i) the amount of income reported to each Member on such Member's Schedule K-1 may differ somewhat from the actual cash distributions made during the fiscal year covered by the Schedule K-1 due to, among other things, factors unique to the tax accounting of the Company and Target, and (ii) the earnings, cash flow and distributions of the Company may necessarily fluctuate in accordance with the business and operations of the Company.

(e) The Managing Member may, in its sole discretion and with no obligation to do so, elect to distribute and allocate any or all Distributable Net Cash Flow for which it has a right to a distribution pursuant to Section 6.3(a)(ii) to one or more Members that it elects in its sole discretion.

6.4 Withholding/Tax Advances. The Managing Member is hereby authorized to and shall withhold, out of any distributions that would otherwise be made to any Member, an amount equal to the amount of U.S. federal, state or local income or other tax, and any related penalties, interest or other payments ("Tax Advances"), that the Managing Member determines the Company is required to withhold or to pay to a taxing authority with respect to or on behalf of such Member, and to file all necessary reports relating to such withholding or payment as may be required by law. Any withholdings referred to in this Section 6.4 shall be made at the maximum applicable statutory rate under the applicable tax law unless the Managing Member shall have received an opinion of counsel or other evidence, satisfactory to the Managing Member, to the effect that a lower rate is applicable, or that no withholding is applicable. Whenever repayment of a Tax Advance by a Member is made as described in this Section 6.4(a), for all other purposes of this Agreement, such Member shall be treated as having received all distributions (whether before or upon liquidation) unreduced by the amount of such Tax Advance. If any Tax Advances are deemed for tax purposes to be a Company deduction or expense, the amount of any such deduction or expense shall be specially allocated to the pertinent Member. All Tax Advances made on behalf of a Member shall (a) be promptly paid to the Company by the Member on whose behalf such Tax Advances were made (which payment shall not constitute a Capital Contribution), or (b) in the discretion of the Managing Member, be reimbursed to the Company by reducing the amount of the current or next succeeding distribution or distributions that would otherwise have been made to such Member. Each Member shall indemnify the Company and the Managing Member and hold each of them harmless from any liability with respect to any Tax Advance required to be withheld or paid to any taxing authority by the Company for or on behalf of such Member or with respect to such Member. If the Company receives a distribution from the Target in respect of which tax has been withheld, the Company shall be treated as having received cash in an amount equal to the amount of such withheld tax, and each Member shall be treated as having received as a distribution the portion of such amount that is attributable to such Member's interest in the Company as equitably determined by Managing Member, provided that, if such withholding at the Target is attributable to a particular Member, such withholding at the Target level shall impact only such Member.

6.5 Distributions on Liquidation. If all or substantially all of the assets of the Company are sold in connection with a liquidation of the Company, or if the Company is otherwise liquidated, the assets of the Company shall be distributed in the following order and priority:

(a) The Liquidator shall first pay or make reasonable provision to pay all claims and obligations, including all contingent, conditional or unmatured contractual claims, known to the Company and all claims and obligations that are known to the Company but for which the identity of the claimant is unknown. If there are sufficient assets, such claims and obligations shall be paid in full, and any such provision for payment made shall be made in full. If there are insufficient assets, such claims and obligations shall be paid or provided for according to their priority and, among claims of equal priority, ratably to the extent of assets available therefor.

(b) Any remaining assets shall be distributed to the Members in accordance with the distribution order and priorities required under Section 6.3.

6.6 Liquidating Trust. Distributions pursuant to Section 6.5 may be distributed to a trust established for the benefit of the Members for the purposes of liquidating Company Assets, collecting amounts owed to the Company, and paying any contingent, conditional or unmatured liabilities or obligations of the Company arising out of or in connection with the Company. The assets of any such trust shall be distributed to the Members from time to time in the same proportions as the amount distributed to such trust by the Company would otherwise have been distributed to the Member pursuant to this Agreement. The Liquidator, in distributing assets of the Company to the Member in accordance with Section 6.5, shall have full power and authority to sell any or all of the assets of the Company or to distribute the same in kind to the Members. The fair market value of any assets to be distributed in kind shall be determined by an independent appraiser selected by the Liquidator. Any assets distributed in kind shall be subject to all agreements relating thereto, which shall survive the termination of the Company. Following the completion of the winding up of the affairs of the Company and the distribution of its assets, the Liquidator shall file a certificate of dissolution in the Office of the Secretary of State of the State of Delaware pursuant to the provisions of the Act.

7. Records; Financial Matters

7.1 Fiscal Year; Accounting Method. Unless otherwise determined by the Managing Member, the fiscal year of the Company shall be the calendar year and the books of the Company shall be kept in accordance with the cash method of accounting, unless another method of accounting is required by the Code.

7.2 Books and Records. The Company shall cause to be kept complete and accurate records of the Company's affairs. The Company's books and records, the Certificate of Formation and all other formation certificates and documents, this Agreement, tax returns, Capital Contributions, Members' names, notice addresses, Units and all Transfers thereof, and all other records required to be maintained by the Company pursuant to the Act shall be maintained by the Company. Such books shall be maintained at such place as the Managing Member shall determine, and all Members, and their duly authorized representatives, shall, subject to Section 8, and so long as the purpose of such inspection is directly related to the affairs of the Company or the Member's investment in the Company, at all reasonable times have access to such books and records to the extent such information is required to be made available to the Members under the Act (a "Books and Records Request"). The Managing Member shall not be required to deliver or mail copies of any such records to any such Member. Documents subject to inspection shall be available for review and/or copying by the Members at such place as the Managing Member shall determine. All expenses associated with a Books and Records Request shall be borne by the Member making such a request. Prior and as a condition to granting a Member access to the Company's books and records, or at any time during such access the Managing Member may require that the requesting Member advance any expenses that the Managing Member reasonably believes it or the Company may incur, or that have been incurred, in connection with their response to any Books and Records Request. Any such expenses not reimbursed shall be specially allocated to the Member making such request and may be paid thereafter through offset against distributions otherwise to be made to the Member making the Books and Records Request. Any information provided to a Member

pursuant to a Books and Records Request shall be deemed Confidential Information and subject to Section 8.

7.3 Limitations on Right to Inspect. Notwithstanding Section 7.2, the names of the Members and their respective addresses, and the Members' respective number of Units held, Capital Contributions, and Capital Account balances shall be considered confidential and shall not be subject to disclosure to the Members except in a form with the names, addresses, and other personal identifying information of the Members has been redacted. The Managing Member may refuse to allow a Member to inspect any record, or to divulge any information, which the Managing Member believes is confidential, a trade secret or otherwise proprietary or the disclosure of which the Managing believes is not in the best interest of the Company.

7.4 Company Funds. The Managing Member shall be responsible for causing one or more accounts to be maintained in a bank (or banks) or reputable securities brokerage firm, which accounts shall be used for the payment of the expenditures incurred by the Company in connection with the business of the Company, and in which shall be deposited any and all cash receipts.

7.5 Reports; Tax Returns. The Managing Member shall use reasonable efforts to deliver, at the expense of the Company, the following financial reports to the Members:

(a) Annual financial statements of the Company, including a balance sheet and a profit and loss statement, and, if such profit and loss statement is not prepared on a cash basis, a statement of changes in financial position, all of which shall be prepared by the Company's independent certified public accountant, and which the Managing Member shall use reasonable efforts to deliver to each of the Members within one hundred twenty (120) days after the end of each Fiscal Year or as soon as reasonably practicable thereafter;

(b) Quarterly financial statements of the Company, including a balance sheet and a profit and loss statement, and, if such profit and loss statement is not prepared on a cash basis, a statement of changes in financial position, which the Managing Member shall use reasonable efforts to deliver to each of the Members within sixty (60) days after the end of each fiscal quarter or as soon as reasonably practicable thereafter (except no quarterly statements shall be required for the last fiscal quarter of the Fiscal Year); and

(c) Such information as may be needed, including Forms K-1, to enable the Members (and in the case of any Member that is a partnership for United States federal income tax purposes, its partners or members) to comply with any tax reporting, tax payment or tax filing obligations applicable to them or their partners or members by reason of their investment in the Company, which the Managing Member shall use reasonable best efforts to deliver no later than ninety (90) days after the end of the Company's Fiscal Year or as soon as reasonably practicable thereafter as soon as practicable to Members (but not later than thirty (30) days after the delivery to the Company of the Form K-1 from the Target if the Target is a Pass Through). For any Member that is a Pass Through, the applicable Member, and not the Company, shall have sole responsibility to deliver such information to such Member's partners or members. If a Member requests any particular format or any particular content for such reports because of the form, jurisdiction of organization, regulatory status or other attribute of such Member or such Member's direct or indirect partners or members, such Member shall reimburse the Company for any cost or expense

of providing information to such Member in such form. If not reimbursed, the Company may withhold such amount for any distribution or distributions otherwise due to such Member.

(d) The Managing Member shall cause all tax filings for the Company to be prepared and timely filed with the appropriate authorities.

(e) Each Member shall bear full and complete responsibility for its own tax obligations in all jurisdictions in which it may be subject to any tax liability.

7.6 Electronic Reporting.

(a) The Managing Member may transmit, distribution notices, the reports and statements described in Section 7.5 and any other notices required or permitted to be delivered by the Partnership or the Managing Member under this Agreement (collectively, the "Subject Reports") to one or more Members solely by electronic means, including via electronic mail or by granting such Members access to a database or other forum hosted on a website designated by the Managing Member (the "Reporting Site"), *provided that* to the extent Subject Reports are posted on a Reporting Site, an email notice of such posting will be provided to Members (a "Report Notice"). To the extent Subject Reports or Report Notices are provided to Members via e-mail, such Subject Reports and/or Report Notices will be provided to the last known e-mail address for such Members as set forth in the books and records of the Company.

(b) The Reporting Site will have such parameters regarding access and availability of information for review as the Managing Member, in its sole discretion, deems reasonably necessary to protect the confidentiality and proprietary nature of the information contained therein (including establishing password protections for access to the Reporting Site, and either (i) preventing the Subject Reports posted on the Reporting Site from being copied or otherwise print capable or requiring watermarks to be imposed on items being printed from the Reporting Site, or (ii) having such Subject Reports be printable (albeit watermarked) and available for review only for a limited period of time (but which period will in no event be less than thirty (30) days from the first date such Subject Reports are posted on the Reporting Site (a "Restricted Period")). If the Subject Reports are to be accessible for a Restricted Period pursuant to clause (ii) above, notice of removal from the Reporting Site shall be clearly provided at least ten (10) Business Days prior to it being taken down in order to allow Members sufficient time to download any such Subject Reports prior to their removal from the Restricted Site. Subject to the provisions of Section 8 and this Section 7.6, the Subject Reports shall be posted on the Reporting Site within the same number of days after the end of the applicable fiscal quarter or Fiscal Year as is required pursuant to Section 7.5.

(c) Unless the Managing Member exercises its discretion pursuant to and in compliance with Section 8 to restrict access to certain Confidential Information that may be included in a Subject Report posted on the Reporting Site or sent to Members by any other electronic means, the Subject Reports posted on the Reporting Site shall contain all of the material information included in those Subject Reports transmitted to Members by means other than a Reporting Site or other electronic means.

8. Confidentiality and Nondisclosure.

8.1 Confidentiality. All Members shall hold all information and documents regarding the Company, the Target and the Property, the terms of this Agreement and the negotiations relating to this Agreement in strict confidence and shall not disclose such information and documents to any Person other than their own officers, directors, shareholders, partners, managers, members, legal counsel, accountants or financial advisers who have a specific need to have access to such information or documents and who have been instructed and obliged to maintain the strict confidentiality of such information and documents. If for any reason a Member is or may be required to disclose Confidential Information, that Member shall promptly notify the Managing Member of the relevant facts concerning such disclosure, shall work with the Managing Member to protect from disclosure as much of the Confidential Information as can be protected from disclosure under applicable law, and shall permit the Managing Member to intervene in any legal proceeding in order to protect Confidential Information.

8.2 Destruction or Return. Subject to applicable law, the Managing Member may require the Members to return to the Managing Member or destroy all copies and other reproductions of any Confidential Information in the possession of the Member (other than (a) a copy of this Agreement and the Member's Subscription Agreement, (b) Company financial statements, (c) Company tax information, and (d) any information required to be maintained by law, in each case with are maintained for the records of the Member), whether in writing or stored or maintained in or by electronic, magnetic or other means or media of the Confidential Information.

8.3 Omission of Certain Information. Notwithstanding any provision in this Agreement of the Act to the contrary, the Managing Member shall have no obligation to disclose to any Members any information if the Managing Member reasonably believes that providing such information to the Members would be detrimental to the Company, the Target or the Property.

8.4 Exceptions to Confidentiality. The obligations of this Section 8 do not apply to:

(a) Information that becomes publicly available (other than by reason of a disclosure by a Member),

(b) the disclosure of which has been consented to by the Managing Member in writing, (iii) the disclosure of which is required by applicable law or in connection with routine tax or ERISA filings, or (iv) the disclosure of which is required by a court of competent jurisdiction or other governmental authority or otherwise as required by law. Before any Member discloses Confidential Information pursuant to clause (iv), such Member shall promptly, and in any event prior to making any such disclosure, notify the Managing Member of the court order, subpoena, interrogatories, government order or other reason that requires disclosure of the Confidential Information so that the Managing Member may seek a protective order or other remedy to protect the confidentiality of the Confidential Information. Such Member shall also consult with the Managing Member on the advisability of taking steps to eliminate or narrow the requirement to disclose the Confidential Information and shall otherwise cooperate with the efforts of the Managing Member to obtain a protective order or other remedy to protect the Confidential Information. If a protective order or other remedy cannot be obtained, such Member shall disclose

only that Confidential Information that its counsel advises in writing (which writing shall also be addressed and delivered to the Company) is legally required to be disclosed.

(c) The Members acknowledge and agree that: (i) the Company or the Managing Member and its members may acquire confidential information related to third parties (e.g., the Target) that pursuant to fiduciary, contractual, legal or similar obligations cannot be disclosed to the Members; and (ii) neither the Company nor the Managing Member and its members shall be in breach of any duty under this Agreement or the Act in consequence of acquiring, holding or failing to disclose such information to the Members so long as such obligations were undertaken in good faith.

8.5 Liability Re Advisors. To the extent a Member shares or otherwise discloses Confidential Information to any of its Advisors, such Member shall direct such Advisors to abide by the aforesaid provisions of this Section and shall be responsible for any breach of the provisions of this Section 8 by such Advisors as if such Advisors were parties to this Agreement as Members. The Company may cease to provide Confidential Information to any Member that has breached or the Company reasonably believes presents the risk of breaching any provision of this Section 8.

8.6 Equitable Relief for Breach of Confidentiality Obligations. In addition to any other remedies available at law, the Members agree that the Company shall be entitled to equitable relief, including the right to an injunction or restraining order, as a remedy for any failure by a Member to comply with its obligations with respect to the use and disclosure of Confidential Information.

9. Transfers; Withdrawals; Purchase

9.1 Transfer of Units. Except as provided in Section 9.2, no Member may (directly or indirectly through a change in control of such Member) sell, transfer, assign, pledge, withdraw or otherwise dispose of all or any part of the Member's Units (whether voluntarily, involuntarily or by operation of law) unless the Managing Member shall have previously consented to such action in writing, the granting or denying of which consent shall be in the Managing Member's sole discretion. A change in any trustee of the Member shall not be considered to be a transfer, sale, assignment, mortgage, pledge or other disposition under this Section 9.1, provided written notice of such change is given to the Managing Member within a reasonable period of time after the effective date thereof. In addition, subject to all conditions of this Section 9.1, any Specialty Member subject to ERISA may transfer less than all of its Units to a successor Specialty Member subject to ERISA in connection with a transaction described in Section 414(1) of the Code. Anything herein to the contrary notwithstanding, no transfer by a Member of any Units will be allowed if such transfer or the actions to be taken in connection with that transfer would:

(a) result in a violation of any law, rule or regulation by the Company;

(b) cause the termination or dissolution of the Company;

(c) cause the Company to be classified other than as a Company for United States federal income tax purposes;

(d) cause the Company to be classified as a "publicly traded Company" within the meaning of Section 7704 of the Code;

(e) unless consented to by the Managing Member, would result in a termination of the Company under Section 708 of the Code;

(f) result in a violation of the Securities Act;

(g) require the Company to register as an investment company under the Investment Company Act;

(h) require the Company or the Managing Member to register as an investment adviser under the Investment Advisers Act; or

(i) cause any assets of the Company to be treated as plan assets of an employee benefit plan under ERISA or the DOL Regulation.

No Person shall be admitted as a Member of the Company without the prior written consent of the Managing Member, which consent may be granted or withheld in the Managing Member's sole discretion, and unless such Person executes an agreement acceptable to the Managing Member, which agreement shall, at a minimum, include an agreement by such Person to abide by all the terms and conditions of this Agreement. To the extent a Member's Transfer of Units is permitted, the transferor and transferee shall execute such other documents and instruments and supply such opinions of counsel as the Managing Member reasonably requests (which opinions shall be delivered by counsel which is, and in a form which is, satisfactory to the Managing Member in its sole discretion). Unless an assignee becomes a substituted Member in accordance with the provisions of Section 9.3, such assignee shall not be entitled to any of the rights granted to a Member hereunder, other than the right to receive all or part of the share of the Net Income or Net Loss and cash distributions to which the assignor would otherwise be entitled.

9.2 Permitted Transfers. Notwithstanding Section 9.1, no consent of the Managing Member shall be required for a Permitted Transfer, *provided that*, (a) except in the case of death or disability, the transferring Member shall continue to have sole voting control of such Transferred Units, (b) such Transferred Units shall remain subject to all of the terms and conditions contained herein and (c) no further Transfer of such Units shall be permitted unless such Transfer complies with all of the terms and conditions of this Agreement. Prior to any Transfer to an Estate Entity, the Member shall give written notice thereof to the Managing Member, and the trustee(s) or other Persons in control of such Estate Entity shall agree to be bound by all the terms of this Agreement and shall execute all documents reasonably requested by the Managing Member. Notwithstanding the foregoing, upon the death of a Member, the heirs and/or beneficiaries that receive the Member's Units shall not become Substitute Members and shall have only a Financial Interest unless already a Member or approved in accordance with Section 9.1.

9.3 Substituted Members. An assignee of Units, or any portion thereof, shall become a substituted Member entitled to all the rights of a Member if, and only if:

(a) the assignor gives the assignee such right;

(b) the Managing Member consents to such substitution, the granting or denying of which consent shall be in the Managing Member's sole discretion;

(c) the assignor or the assignee pays to the Company all costs and expenses incurred in connection with such substitution, including specifically, without limitation, costs incurred in the review and processing of the assignment and in amending the Company's then current Certificate and/or Agreement of Membership, if required; and

(d) the assignee executes and delivers such instruments, in form and substance satisfactory to the Managing Member, as the Managing Member may deem necessary or desirable to effect such substitution and to confirm the agreement of the assignee to be bound by all of the terms and provisions of this Agreement. No consent of the Members shall be required for the admission of a Substitute Member.

9.4 Effect of Transfer of Units. Until the admission of a Member's transferee as a Substituted Member, the transferring Member shall not be released from any obligations under this Agreement. A transferee who does not become a Substituted Member shall have none of the rights of a Member in the Company but shall have a Financial Interest only. Unless admitted as a Substitute Member pursuant to Section 9.3, a transferee of a Financial Interest shall not have any of the rights of a Member in the Company. Neither the transferee of a Financial Interest nor the transferee of Units who has not been approved as a Substitute Member shall have any right to (i) vote, (ii) have any rights with respect to the management or operation of the Company's business or affairs, (iii) act on behalf of or in connection with the Company, or (iv) receive or require any information or accounting of the Company's transactions or make a Books and Records Request, except as specifically required by the Act. After the consummation of any Transfer of any part of a Member's Units, the Units so Transferred shall continue to be subject to the terms and provisions of this Agreement and any further Transfers shall be required to comply with all the terms and provisions of this Agreement

9.5 Expenses. The transferor of Units hereby agrees to reimburse the Company, at the request of the Managing Member, for any expenses reasonably incurred by the Company or the Managing Member in connection with such transfer, including the costs of seeking and obtaining the legal opinion requested pursuant to Section 9.1, if any, and any other legal, accounting and miscellaneous expenses ("Transfer Expenses"), whether or not such transfer is consummated. The Managing Member may waive the foregoing reimbursement requirement in its sole discretion. Any such waiver shall not create any obligation to waive such requirement in subsequent transfers by the transferee or in any transfers by any other Member. At its election, and in any event if the transferor has not reimbursed the Company for any Transfer Expenses incurred by the Company in preparing for or consummating a proposed or completed Transfer within ten (10) days after the Managing Member has delivered to such Member written demand for payment, the Managing Member may either (i) withhold such amount (plus interest thereon from the due date thereof at rate of five percent (5%) per annum) from any distributions to the transferor in respect of any remaining interest, or (ii) seek reimbursement of such amount (plus interest thereon from the due date thereof at a rate of five percent (5%) per annum) from the transferee of such interest and withhold any such amounts due against distributions otherwise owing to such transferee.

9.6 Record Owner. Notwithstanding a transfer or assignment of any Units, the Company and the Managing Member shall be entitled to treat the record owner of any Units as the absolute owner thereof in all respects, and shall incur no liability for distributions of cash or other property made in good faith to such owner until such time as a written assignment of such Units

has been received and accepted by the Managing Member and recorded on the books of the Company. The Managing Member may refuse to accept an assignment until the end of the quarterly accounting period in which the transfer is requested or the end of the next succeeding quarterly accounting period. In no event shall any Units, or any portion thereof, be sold, transferred or assigned to a minor or incompetent, and any such attempted sale, transfer or assignment shall be void and ineffectual and shall not bind the Company or the Managing Member.

9.7 Assignment of Managing Member's Interest; Additional or Substituted Managing Members. Except as provided in Section 5.4, without the prior consent of a Supermajority of Members: (a) the Managing Member may not sell, transfer, assign, pledge, or otherwise dispose of all or any part of its Company interest (whether voluntarily, involuntarily or by operation of law); and (b) no additional Managing Member may be admitted to the Company; *provided, however*, that, no such consent shall be required if the sale, transfer, assignment, pledge or disposition is made to an Affiliate of the Managing Member or if the additional Managing Member to be admitted to the Company is an Affiliate of the Managing Member.

9.8 Withdrawal of Members.

(a) Except as otherwise specifically provided in this Agreement, no Member shall be entitled to withdraw from the Company or request the return of all or any part of its Capital Contribution.

(b) The Managing Member, without the consent of any Member, shall have the right to compulsorily redeem the Units of any Member or otherwise require any Member to withdraw from the Company in order to avoid (i) subjecting the Company, the Managing Member, or their respective Affiliates to any governmental law or regulation which the Managing Member reasonably determines is or is likely to be materially burdensome to the Company, or (ii) a material violation of, or the breach of any duty under, any applicable law or regulation, *provided that*, with respect to clause (ii), the Managing Member shall have obtained an opinion of counsel, which shall be a Company Expense, to the effect that such redemption is necessary to avoid a material violation of law or regulation. In connection with any such redemption, the Managing Member may but has no obligation to distribute to such Member such Member's pro rata share of Company Assets in-kind.

9.9 Withdrawal of the Managing Member. In the event of a withdrawal by the Managing Member where no new managing member is appointed by the departing Managing Member pursuant to Section 5.4, a new managing member shall be appointed by a Supermajority of Members and if no such managing member is appointed, the Company shall be dissolved. Notwithstanding anything to the contrary contained in the Act, in no event shall the Managing Member be deemed to have withdrawn from the Company or ceased to be a Managing Member of the Company upon the occurrence of any of the events specified in Section 17-402(a)(4) or (5) (or any successor thereto) of the Act, or any events similar thereto, unless the Managing Member, after the occurrence of any such event, indicates in a written instrument that the Managing Member has so withdrawn. In the event of the death, disablement, incapacity, bankruptcy or withdrawal of an individual member of the Managing Member or the dissolution, bankruptcy or withdrawal of the Managing Member or any entity member of the Managing Member, the Company will continue as provided in this Agreement.

9.10 Withdrawal/Expulsion of Specialty Member.

(a) Notwithstanding any provision in this Agreement to the contrary, any Member which is a Specialty Member may elect, by written notice to the Managing Member, to withdraw from the Company, or upon written demand by the Managing Member shall withdraw from the Company, at the time and in the manner hereinafter provided, if either such Specialty Member or the Managing Member, as applicable, shall obtain and deliver to the other an opinion of counsel (which counsel shall be reasonably acceptable to both such Specialty Member and the Managing Member) to the effect that more likely than not: (a) such Specialty Member or the Company would be in violation of law, rule or regulation applicable to the Specialty Member or the Company, respectively, if such Specialty Member were to continue as a Member; or (b) all or any portion of the assets of the Company would constitute plan assets of any Person subject to ERISA or the DOL Regulation, and would be subject to the provisions of ERISA to substantially the same extent as if owned directly by such Person. The costs of obtaining or seeking an opinion of counsel for purposes of this Section 9.10 shall be borne by the Specialty Member in the event that the Specialty Member elects to withdraw hereunder, and shall be borne by the Company if the Managing Member has demanded the withdrawal of the Specialty Member hereunder. No withdrawal of a Specialty Member pursuant to this Section 9.10 shall require the approval of any Member.

(b) If a Member elects to withdraw under Section 9.10, the Managing Member shall have, if it so chooses, a period of ninety (90) days following receipt of such counsel's opinion (or delivery of notice by the Managing Member to such Specialty Member demanding its withdrawal, if applicable) to attempt to eliminate the necessity for such withdrawal to the reasonable satisfaction of such Specialty Member and the Managing Member, whether by correction of the condition giving rise to the necessity of such Specialty Member's withdrawal, by amendment of this Agreement, by effectuation of a transfer of such Specialty Member's Units to a Substituted Member, or otherwise. The Specialty Member requesting withdrawal shall cooperate with, and use reasonable efforts to accommodate, the Managing Member in such efforts. If requested to do so by such Specialty Member, the Managing Member shall use reasonable efforts to locate a purchaser of such Specialty Member's Units.

(c) If such cause for withdrawal is not cured within such 90-day period, then such Specialty Member shall withdraw from the Company as of the last day of the fiscal quarter of the Company during which such 90-day period expires or as of such earlier date as may be agreed to by the Managing Member (such date being herein referred to as the "Withdrawal Date"). Effective upon the Withdrawal Date, such Specialty Member shall cease to be a Member for all purposes and, except for its right to receive payment for its Units as hereinafter provided, shall no longer be entitled to the rights of a Member under this Agreement, including the right to receive allocations and distributions under this Agreement and the right to vote on Company matters to the extent provided in this Agreement or the Act.

(d) As promptly as practicable following the Withdrawal Date, there shall be distributed to such Specialty Member, in full payment and satisfaction of its Units, an amount equal to the amount which such Specialty Member would have been entitled to receive pursuant to Section 6.5 if the Company had been liquidated on and as of the Withdrawal Date and each of the Company's assets had been sold on such date for its fair market value as determined

by the Managing Member. For purposes of determining the amount of the distribution to be made to such Specialty Member, the value of each of the Company's assets as determined in the Company's most recent valuation, and the Company's annual or quarterly financial statements, as the case may be, for the period preceding the Withdrawal Date shall be deemed to be conclusive unless either the withdrawing Specialty Member or the Managing Member notifies the other in writing, either before ten (10) Business Days after the Withdrawal Date, of such Person's objection to such valuation, indicating briefly the reason(s) therefor. If within twenty (20) Business Days after such an objection to a determination of value has been made, a substitute value has not been agreed upon by the Managing Member and such withdrawing Specialty Member, the Managing Member shall submit the dispute to a Qualified Appraiser selected by the Managing Member and reasonably acceptable to the withdrawing Specialty Member. If there shall be more than one Member that is a withdrawing Specialty Member, the Qualified Appraiser referred to in the preceding sentence shall be reasonably acceptable to a majority in interest (based on their Percentage Interests) of such withdrawing Specialty Members. The cost of the independent appraiser shall be borne by the withdrawing Specialty Members ratably in accordance with their respective Percentage Interests.

(e) Any distribution to the withdrawing Specialty Member(s) pursuant to this Section 9.10 shall be made, at the election of the Managing Member, in cash, cash equivalents, Target securities or a limited recourse non-interest bearing note of the Company and payable only from distributions that would have been made to the withdrawing Specialty Member(s) had it or they remained Members, with a maturity no later than the final dissolution and winding up of the Company.

(f) Upon the withdrawal of any Specialty Member from the Company pursuant to this Section 9.10, the Managing Member shall amend such provisions of this Agreement as it deems reasonably necessary to reflect such withdrawal, including the provisions regarding allocations and distributions, so that the intent, spirit, operation and effect of such allocation, distribution and other provisions shall, to the maximum extent possible, be preserved after taking into account the withdrawal of such Specialty Member.

9.11 Termination for Cause. The Managing Member may, at any time and in its sole discretion, expel an Investor Member and redeem all of such Investor Member's Units for Termination Cause (as defined below in this Section 9.11). The redemption price shall be payable in cash and shall be equal to such Unreturned Capital Contribution Balance as of the end of the month preceding the month in which notice of the expulsion is given. Any such expulsion shall be effective immediately upon the Managing Member's providing written notice to the Investor Member. The Managing Member is expressly authorized to selectively redeem for Cause one or more Member(s) and shall not be required to redeem any other Investor Member's Units for the same or similar circumstances. Upon payment of the redemption price such Member(s) will no longer be considered a Member(s) of the Company. For purposes of this Section 9.11 the term "Termination Cause" shall mean, with respect to any Investor Member, any breach by such Investor Member of, or any failure to perform any obligation under, this Agreement or such Investor Member's Subscription Agreement, which breach has, or the Managing Member in good faith expects such breach could have, a material adverse effect on the Company, the Managing Member, any Affiliate thereof, or on any other Member.

9.12 Conversion to Financial Interest. Upon the occurrence of any of the following events (each a "Termination Event") with respect to any Investor Member: (a) the Units of such Investor Member shall be automatically cancelled and such Investor Member (or such Investor Member's successor in interest) shall cease to be an Investor Member and shall have a Financial Interest only; (b) such Investor Member (or such Investor Member's successor in interest) shall nevertheless remain liable for all of his, her or its obligations as a "Member" under this Agreement; and (c) such Investor Member's (or such Investor Member's successor in interest's) Units may be purchased by the Managing Member (or a designee thereof, including any of the remaining Investor Members) for cash at a value determined by a Qualified Appraiser, it being acknowledged and agreed by each Member that such termination or purchase of Units upon the occurrence of any of such events is not unreasonable under the circumstances existing as of the Effective Date:

(a) The death or legal incompetency (as declared by a final court decree) of such Investor Member, unless the same results in a Permitted Transfer;

(b) The material breach by such Investor Member of, or such Investor Member's inability to perform his, her or its material obligations under, this Agreement; or the breach of any material term of the Subscription Agreement, including the representations and warranties made thereunder;

(c) Any of the following: (i) the filing of an application by such Investor Member for, or its consent to, the appointment of a trustee, receiver, or custodian of its other assets; (ii) the entry of an order for relief with respect to such Investor Member in proceedings under the United States Bankruptcy Code, as amended or superseded from time to time; (iii) the making by such Investor Member of a general assignment for the benefit of creditors; (iv) the entry of an order, judgment, or decree by any court of competent jurisdiction appointing a trustee, receiver, or custodian of the assets of such Investor Member unless the proceedings and the person appointed are dismissed within ninety (90) days; or (v) the failure by such Investor Member generally to pay its debts as the debts become due within the meaning of Section 303(h)(1) of the United States Bankruptcy Code, as determined by the Bankruptcy Court, or the admission in writing of its inability to pay its debts as they become due;

(d) The withdrawal, retirement or resignation of such Investor Member in violation of this Section 9;

(e) The occurrence of any event that is, or would cause, a Transfer of all or part of such Investor Member's Units in contravention of this Agreement;

(f) Such Investor Member's filing of an action seeking a decree of judicial dissolution pursuant to the Act; or

(g) The failure of a Divorced Member (as defined below) to acquire any Awarded Interest (as defined below) from his or her spouse within the time and in the manner described in this Section 9.12(g). In the event the marriage of any Member residing in a community property jurisdiction shall be dissolved, such Member (the "Divorced Member") and his or her spouse hereby agree to divide their community property so that the entire Units owned directly or indirectly by the Divorced Member and/or his or her spouse become the Divorced

Member's sole and separate property. If the Divorced Member's spouse is awarded or otherwise takes any portion of such Units (even if such taking occurs before the judgment of final dissolution), the Divorced Member shall purchase, and his spouse must sell, the Units or portion thereof so transferred ("Awarded Interest") within sixty (60) days after same is awarded to the Divorced Member's spouse, on terms and conditions mutually agreed upon or, if they are unable to agree, at the value established by a Qualified Appraiser.

10. Dissolution.

10.1 Dissolution. The Company shall be dissolved upon the earliest to occur of the following (each a "Dissolution Event"):

(a) the Managing Member determines to effect such dissolution;

(b) the sale, exchange, or other disposition of all of all or substantially all Company Assets, the receipt of all proceeds therefrom (except under circumstances where (i) all or a portion of the purchase price is payable after the closing of the sale or other disposition, or (ii) the Company retains a material liability, risk or other economic responsibility with respect to the assets disposed of, in which event, the Company shall be dissolved upon the later of the full payment of the purchase price and the time at which the Company is no longer subject to any material liability, risk or economic responsibility);

(c) the withdrawal of the Managing Member without the appointment of a new managing member as provided in Section 9.9; or

(d) the entry of an order of judicial dissolution under §18-802 under the Act.

10.2 Effective Date. The dissolution of the Company shall be effective on the day on which the event occurs giving rise to the dissolution, but the Company shall not terminate until the Certificate shall have been cancelled and the assets of the Company shall have been distributed as provided herein. Notwithstanding the dissolution of the Company, prior to the termination of the Company, the business of the Company and the affairs of the Members in respect of the Company, as such, shall continue to be governed by this Agreement. The Managing Member or, if there be none, a liquidating trustee appointed by a Majority in Interest of Members (in either case, the "Liquidator"), shall liquidate the assets of the Company, apply and distribute the proceeds thereof as contemplated by Section 6 of this Agreement.

10.3 Certificate of Dissolution. Following dissolution of the Company pursuant to Section 8, when all debts, liabilities and obligations of the Company have been paid, satisfied, comprised or otherwise discharged or adequate provisions have been made therefore, and all assets have been distributed to the Members, a certificate of cancellation shall be filed if required by the Act.

10.4 Timing. All liquidating distributions shall be made, and all liabilities of the Company shall be discharged, no later than the latest of (a) the end of the taxable year of the Company during which the liquidation of the Company occurs, (b) ninety (90) days after the date of such liquidation, or (c) such longer period as may be permissible hereafter under Section 704(b)

of the Code and the regulations promulgated thereunder. Subject to the requirements of the foregoing sentence, the Liquidator shall ensure that the liquidation of the assets of the Company and the discharge of its liabilities proceed in an orderly manner, so as to minimize any possible losses attendant upon the liquidation of the Company. In the event that any part of such net assets consists of notes or accounts receivable or other noncash assets, the Liquidator may take whatever steps it deems appropriate to convert such assets into cash or into any other form which would facilitate the distribution thereof. If any assets of the Company are to be distributed in-kind, such assets shall be distributed on the basis of their fair market value (net of any liabilities) as measured on the date of distribution.

10.5 Form of Distribution. In any liquidation, the Company may distribute (after payment, or the making of reasonable provision for payment, of the Company's obligations) the assets of the Company in cash, ratably in-kind, or any combination thereof as the Liquidator shall determine; *provided, however, that* no distribution of securities, property or other assets shall be made to any Member to the extent such Member would be prohibited by applicable law from receiving such securities, property or other assets; and *provided, further, that* any distribution in-kind shall be made only in securities or other interests in corporations, limited partnerships, limited liability companies or other entities that provide for the limited liability of the holders of such securities or other interests. If a Member is prohibited by applicable law from receiving the in-kind distribution, the Liquidator shall segregate the share of the in-kind assets that would otherwise be distributable to that Member and, acting as agent for that Member, shall use reasonable efforts (which may include sale by a broker-dealer chosen by the Liquidator) to sell such in-kind assets within a reasonable period, and shall distribute the proceeds from such sale, less any expenses reasonably incurred by the Liquidator in connection with such sale and distribution, to that Member. For all purposes of this Agreement, the Company shall be deemed to have distributed all such in-kind assets to that Member at the same time and at the same value as the applicable in-kind assets were distributed to the Members other than that Member, regardless of the amount of cash actually received by that Member. To the extent deemed desirable by the Liquidator, distributions may be made into a liquidating trust or other appropriate Entity, and reserves may be established for contingencies, all subject to the priorities set forth in this Section 10 and Sections 6.5 and 6.6 of this Agreement.

10.6 Report. Upon the completion of the liquidation of the Company, the Liquidator shall provide each Member with a report showing the financial statement information required under Section 7.5 for the period from the date of the last annual financial statements prepared under Section 7.5 to the date of the final distribution.

10.7 Power of Attorney. In the event of liquidation hereunder, each Investor Member hereby makes, constitutes and appoints the Liquidator, with full power of substitution, such Member's true and lawful attorney for such Investor Member and in such Investor Member's name, place and stead and for the Liquidator's use and benefit, to have, with respect to the property and assets of the Company, all the powers of the Managing Member hereunder. To evidence the appointment of the Liquidator as attorney-in-fact for the Investor Members hereunder, each Investor Member shall execute, acknowledge and deliver such other power of attorney or instrument as is reasonably requested by the Liquidator. The foregoing grant of authority is irrevocable and constitutes a power coupled with an interest binding upon the successors and assigns of each Investor Member.

10.8 Deemed Distribution and Recontribution. Notwithstanding any other provisions of this Section 10, in the event the Company is liquidated within the meaning of Treasury Regulations §1.704-1(b)(2)(ii)(g) but no Dissolution Event has occurred, the Company Assets shall not be liquidated, the Company's liabilities shall not be paid or discharged, and the Company's affairs shall not be wound up. Instead, solely for United States federal income tax purposes as required by Treasury Regulations §1.708-1(b)(4), the Company shall be deemed to have contributed all of the Company's property and liabilities to a new limited liability company in exchange for interests therein and, immediately thereafter, the Company will be deemed to liquidate by distributing such interests to the Members (with the Managing Member receiving the Managing Member interest therein). Such deemed distributions shall not be treated as actual distributions for the purpose of this Agreement.

11. Exculpation and Indemnification

11.1 No Liability. No Indemnified Person and no Person sponsoring or otherwise involved in the Company's investment in Target shall be liable in damages or otherwise to any Member, the Company or a third party for any Loss arising out of, or in connection with: (a) any mistake in judgment; (b) any action taken or omitted to be taken in good faith and within the scope of the authority conferred on an Indemnified Person by this Agreement, except by reason of acts or omissions of the Indemnified Person found by a court of competent jurisdiction upon entry of a final judgment to be due to the fraud, willful misconduct, or gross negligence of the Indemnified Person, or the material breach of this Agreement by the Indemnified Person which has not been cured within thirty (30) days after written notice to the Managing Member and such Indemnified Person (if the Indemnified Person is not the Managing Member); (c) the termination of the Company and this Agreement pursuant to the terms hereof; (d) the performance by an Indemnified Person of, or the omission to perform, any acts on advice of legal counsel, accountants or other professional advisors to the Company; (e) for any Loss due to the mistake, action, inaction, negligence, dishonesty, fraud or bad faith of any Person in which the Company invests (including the Target) or with which the Company does business which was selected by the Managing Member with reasonable care; and (f) for any Loss due to the mistake, action, inaction, negligence, dishonesty, fraud or bad faith of any employee, consultant, broker or other agent of the Company, the Managing Member, *provided that* (i) such Persons shall have been selected, engaged or retained by the Managing Member or other Indemnified Person with reasonable care, (ii) the Loss is not determined by a final judgment of a court of competent jurisdiction to be primarily attributable to the fraud, willful misconduct, or gross negligence of the Indemnified Person, and (iii) with respect to any criminal action or proceeding, the Indemnified Person had reasonable cause to believe the action or conduct was lawful. Indemnified Persons may consult with legal counsel and accountants in respect of Company affairs and shall be fully protected and justified in any action or inaction which is taken or omitted in good faith, in reliance upon and in accordance with the opinion or advice of such counsel or accountants, provided that they have been selected with reasonable care. Notwithstanding anything to the contrary in this Section 11.1, indemnification shall not exceed the maximum level permitted under applicable Federal, state or other laws and this Section 11.1 does not act to waive any non-waivable rights that a Limited Member may have under applicable law.

11.2 Indemnification. To the fullest extent permitted by law, the Company shall, out of its assets and not out of the assets of any Member, indemnify and hold harmless each Indemnified

Person who was or is a party or is threatened to be made a party to any threatened or actual claim, action, suit or proceeding, whether civil, criminal, administrative or investigative (including any action by or in the right of the Company or any of the Members), either during the Indemnified Person's incumbency or thereafter, by reason of the Indemnified Person's direct or indirect involvement with the Company (including any investment decisions), against all losses for which such Indemnified Person has not otherwise been reimbursed and which are actually and reasonably incurred by such Indemnified Person in connection with such action, suit or proceeding ("Losses"), provided that:

(a) such activities were performed in good faith or in furtherance of the interests of the Company and in a manner reasonably believed by such Indemnified Person to be within the scope of the authority conferred by this Agreement, law or consent of the Investor Members;

(b) any Indemnified Person, other than the Managing Member, shall have obtained the written consent of the Managing Member prior to entering into any compromise or settlement which would result in an obligation of the Company to indemnify such Person; and

(c) no such Indemnified Person shall be indemnified hereunder for any Loss determined by a final judgment of a court of competent jurisdiction to be primarily attributable to the fraud, willful misconduct or gross negligence of such Indemnified Person;

(d) no such Indemnified Person shall be indemnified hereunder for any Loss determined by a final judgment of a court of competent jurisdiction to be primarily attributable to a material breach of this Agreement by such Indemnified Person that has not been cured within thirty (30) days after written notice to the Managing Member and such Indemnified Person (if the Indemnified Person is not the Managing Member); and

(e) with respect to any criminal action or proceeding, the Indemnified Person had reasonable cause to believe the action or conduct was lawful.

11.3 No Presumption. The termination of any action, suit or proceeding by judgment, order, settlement, conviction, or upon a plea of nolo contendere or its equivalent, shall not, of itself, create a presumption that an Indemnified Person did not act in good faith and in a manner which the Indemnified Person reasonably believed to be in or not opposed to the best interests of the Company.

11.4 Advances. Expenses, including attorneys' fees, incurred by an Indemnified Person in defending any claim, action, suit or proceeding will be paid by the Company in advance of the final disposition of such claim, action, suit or proceeding upon receipt of a written undertaking by or on behalf of the Indemnified Person to repay such amounts if it is ultimately determined that indemnification of such Indemnified Person with respect to such expenses is not authorized hereunder.

11.5 Insurance; Other Indemnity. The Company shall have the power to purchase and maintain insurance on behalf of any present or future Indemnified Person against any liability asserted against such Indemnified Person by reason of actions or omissions or alleged actions or omissions taken or to be taken by the Indemnified Person in connection with the Company and its

business and affairs (including insurance against liability for any breach or alleged breach of its fiduciary responsibilities), whether or not the Company would have the power to indemnify such Indemnified Party against such liability under Section 11.2, provided, however, that the Managing Member shall not be liable to the Company or the Members for its failure to purchase any insurance or for the inadequacy of any coverage.

11.6 Priority. Any insurance or indemnification provided to an Indemnified Person by Target in connection with or by reason of such Indemnified Person's investment therein, shall be applied prior to any indemnification being paid by the Company; provided that the Company may indemnify such Indemnified Person notwithstanding such other insurance or indemnity so long as the Indemnified Person provides to the Company a written assignment to the Company of any proceeds received by the Indemnified Person in respect of the other insurance or indemnity, and the Company shall be subrogated to the rights of such Indemnified Person with respect to same.

11.7 Successors. All rights of an Indemnified Person shall survive the dissolution of the Company and the death, withdrawal, removal, incompetency, dissolution, liquidation or insolvency of an Indemnified Person, and shall inure to the benefit of their heirs, personal representatives, successors and assigns.

11.8 Limitation of Indemnity. Any indemnity under Section 11.2 shall be paid from, and only to the extent of, Company Assets.

11.9 Subrogation. Each Indemnified Person shall seek to preserve all claims such Indemnified Person may have and to recover against any insurance carrier and any other third party by making a timely filing of claims and taking other appropriate action, but the failure to so act shall in no way modify the indemnification obligations set forth in Section 11.2. If an Indemnified Person has been fully indemnified under Section 11.2, the Company shall be subrogated to such Indemnified Person's rights against third parties, including rights of indemnification from such third parties.

12. Miscellaneous

12.1 Waiver of Fiduciary Duty. To the extent that, at law or in equity, the Managing Member has duties (including fiduciary duties) and liabilities relating thereto to the Company or a Member, the Managing Member acting under this Agreement shall not be liable to the Company or any Member for its good faith reliance on the provisions of this Agreement. The provisions of this Agreement shall modify the duties and liabilities of the Managing Member otherwise existing at law or in equity to the extent that such provisions so expand or restrict the duties and liabilities of the Managing Member otherwise applicable. Notwithstanding any other provision of this Agreement or in any agreement contemplated hereby or applicable provisions of law or equity or otherwise, whenever in this Agreement or the Subscription Agreements, the Managing Member is permitted or required to make a decision (A) in its "sole discretion", the Managing Member shall be entitled to consider such interests and factors as it desires, including its own interests, and shall, to the fullest extent permitted by applicable law, have no duty or obligation to give any consideration to any interest of or factors affecting the Company or the Members, or (B) in its "good faith" or under another expressed standard, the Managing Member shall act under such express standard and shall not be subject to any other or different standards.

12.2 Power of Attorney.

(a) Appointment. Each Investor Member, including any additional or substituted Investor Member, by the execution of this Agreement or any counterpart thereof, does hereby irrevocably constitute and appoint the Managing Member and any Person which becomes an additional or substituted Managing Member of the Company, and any of the foregoing acting alone, in each case with full power of substitution, such Investor Member's true and lawful agent and attorney-in-fact, with full power and authority in its name, place and stead, for the purpose of:

(i) executing, delivering and filing this Agreement and such other agreements (including amendments to this Agreement), certificates and other instruments as said attorney-in-fact shall deem necessary or appropriate in order to offer and sell interests in the Company and to admit subscribers therefor to the Company as Investor Members in accordance with the terms of this Agreement;

(ii) preparing such amendments to the Members Schedule as may be necessary or appropriate from time to time to reflect additional Capital Contributions, the admission of Investor Members to the Company and the agreed upon amounts of their respective Capital Contributions, and any withdrawals by an Investor Member and any other modifications permitted pursuant to this Agreement;

(iii) effecting any purchase of Units or implementing any other remedies provided for in this Agreement;

(iv) making, executing, acknowledging, swearing to, delivering, filing and recording such documents and instruments as may be necessary or appropriate to carry out the provisions of this Agreement, including such documents and instruments necessary or appropriate to adopt and implement (i) amendments to this Agreement which are duly adopted in accordance with this Agreement, and any amendments to the Certificate which are necessary to effectuate the provisions of this Agreement or to admit to the Company a substituted or additional Investor Member pursuant to this Agreement or a substituted Managing Member pursuant to Section 9.9, (ii) a cancellation of the Certificate pursuant to Section 10.3, (iii) amendments to the Certificate to reflect the terms of this Agreement or any amendment hereto, if required by the Act, (iv) any action deemed advisable by the Managing Member to permit the Company to become or to continue as a limited liability company wherein the Members have limited liability in the jurisdictions where the Company may be doing business, and (v) fictitious or assumed names, including certificates required or permitted to be filed on behalf of the Company; and

(a) taking the actions provided for in this Agreement and effectuating the provisions of this Agreement.

(b) Irrevocable Power. The foregoing power of attorney is coupled with an interest and shall be irrevocable and survive the death, dissolution, bankruptcy or incapacity of any Investor Member. Any schedule, any amendments thereto or any amendments to this Agreement, when prepared by said attorney-in-fact, shall be deemed a part of this Agreement and incorporated herein.

12.3 Amendment. This Agreement may be amended from time to time in writing by the Managing Member and a Majority-in-Interest of the Investor Members and may not be otherwise amended except as provided in Section 5.1(q).

12.4 Governing Law. This Agreement shall be governed by and interpreted under the laws of the State of Delaware without giving effect to the choice or conflict of laws principles of Delaware or any other jurisdiction.

12.5 Entire Agreement. This Agreement and the Subscription Agreements represent the entire agreement in respect of its subject matter and supersede all prior agreements, including any description of the Company and this Agreement in any offering documents relating to the Units issued by the Company, and including any other prior documents or information exchanged between the parties hereto, and shall benefit and bind the successors and assigns of the Company and the successors, personal representatives and assigns of the Members.

12.6 Headings. The descriptive headings herein are inserted for convenience only and do not constitute part of this Agreement.

12.7 Notice. All notices and other communications required or permitted under this Agreement shall be deemed sufficient if sent by electronic mail to such address as provided for the Member on the records of the Company. Any such notice or communication shall be deemed to have been delivered and received on the first business day following that on which the electronic mail has been sent (assuming that there is no error in delivery). Member shall send all notices required by this Agreement to the Company via electronic mail at legal@equitymultiple.com.

12.8 Execution of Documents. Each Member agrees that it shall execute such instruments as may be necessary or appropriate to carry out the terms of this Agreement and the actions contemplated thereby.

12.9 Separate Counsel. Each of the Members acknowledges that it has had the opportunity to review this Agreement, any exhibits and the schedules attached hereto with its own legal counsel and is relying solely on its own legal counsel and not any statements or representations of the Managing Member or the Company for legal or tax advice with respect to this Agreement.

12.10 Legal Counsel. Each Member hereby agrees and acknowledges that (a) the Managing Member has retained Pepper Hamilton LLP as legal counsel (the "Legal Counsel") in connection with the formation and operation of the Company and the Managing Member and certain Affiliates thereof, including with respect to the Company's offering of Units, (b) in such capacity has provided legal services to the Company and the Managing Member and such Affiliates, (c) the Managing Member may retain the Legal Counsel to provide legal services to the Company and the Managing Member and such Affiliates in connection with the management and operation of the Company and (d) the Legal Counsel does not conduct due diligence on any third party service provider of the Company and specifically disclaims any obligation to do so; (e) the Legal Counsel does not and will not represent the Investor Members in connection with the formation of the Company, the offering of Units, the management and operation of the Company or the Managing Member, and may represent the Company or the Managing Member in any

dispute which may arise between the Investor Members on the one hand and the Company or Managing Member on the other hand (each a "Company Legal Matter"), and (f) the Managing Member may change such legal counsel at any time in its sole discretion. Each Investor Member will, if it wishes counsel on a Company Legal Matter, retain its own independent counsel with respect thereto and will pay all fees and expenses of such independent counsel. Each Investor Member agrees that the Legal Counsel may represent Company and/or the Managing Member in connection with any and all Company Legal Matters (including any dispute between the Managing Member and one or more Investor Members) and waives any present or future conflict of interest with the Legal Counsel regarding Company Legal Matters. The waiver stated in this Section 12.10 hereunder will equally apply to any future legal counsel to the maximum extent permitted by law.

12.11 Creditors. None of the provisions of this Agreement shall be for the benefit of or enforceable by any creditor of any Member or of the Company other than a Member who is such a creditor of the Company.

12.12 Severability. If any one or more terms or provisions contained in this Agreement, or any application thereof, is deemed by a court of competent jurisdiction to be invalid, illegal, or unenforceable in any respect, the validity, legality, and enforceability of the remaining provisions of this Agreement and all other applications of any such provision will not in any way be affected or impaired. Upon such determination that any term or other provision is invalid, illegal or incapable of being enforced, the parties to this Agreement shall negotiate in good faith to modify this Agreement so as to effect the original intent of the parties as closely as possible in a mutually acceptable manner in order that the contents of this Agreement be effectuated as originally contemplated to the greatest extent possible.

12.13 Jurisdiction. Any action to enforce, arising out of, or relating in any way to this Agreement may be brought and prosecuted in any state court located in the State of New York or in any Federal Court having jurisdiction over the courts in the State of New York and each Member hereby (a) consents to the jurisdiction of any such state or Federal Court and to service or process by registered or certified mail, return receipt requested, or by any other manner provided by law, (b) agrees not to object to venue of any such court, and (c) agrees not to bring any proceeding or action arising out of or relating to this Agreement or the transactions contemplated hereby in any other court.

12.14 WAIVER OF JURY TRIAL. EACH OF THE MEMBERS IRREVOCABLY WAIVES ALL RIGHT TO TRIAL BY JURY IN ANY PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT AND THE TRANSACTIONS CONTEMPLATED HEREBY.

12.15 Consent to Service of Process. Each Investor Member who has disclosed to the Company that such Investor Member is neither a citizen or resident of the United States or a Person organized under the laws of the United States or a state within the United States hereby designates the Managing Member as such Investor Member's agent for service of process with respect to all matters governed by this Agreement.

12.16 Waiver. The Managing Member may waive performance of any obligation hereunder of any Investor Member without any obligation engendered thereby to offer the same

treatment to any other Investor Member. The failure of the Managing Member to insist upon strict performance of a covenant hereunder or of any obligation hereunder, irrespective of the length of time for which such failure continues, shall not be a waiver of the Managing Member's right to demand strict compliance in the future. No consent or waiver, express or implied, to or of any breach or default in the performance of any obligation hereunder, shall constitute a consent or waiver to or of any other breach or default in the performance of the same or any other obligation hereunder.

12.17 Interpretation. Each reference herein to a particular Person shall include a reference to such Person's successors and permitted assigns. A reference to any document or agreement shall include such document or agreement as amended, modified or supplemented from time to time in accordance with its terms. A reference to any law, rule, regulation or statute includes any amendment or modification thereto. The words "*herein"* "*hereof,"* "*hereunder,"* "*hereto,"* and words of like import shall refer to this Agreement as a whole and not any particular article, section or subdivision of this Agreement. The schedules and exhibits hereto shall be deemed as fully a part of this Agreement as if set forth herein in full. In this Agreement, the singular includes the plural and the plural includes the singular, pronouns stated in the neuter gender shall include the masculine, the feminine and the neuter, and the words "*including,*" "*include*" and "*includes*" shall be deemed to be followed by the words "*without limitation*." The use of the term "sole discretion" means sole and absolute discretion.

12.18 Signatures. The electronic signature of a party to this Agreement (or to a Subscription Agreement wherein the purchaser agrees to be a party to this Agreement and be bound by the terms and conditions of this Agreement) shall be as valid as an original signature of such party and shall be effective to bind such party to this Agreement. The parties hereto agree that any electronically signed document (including this Agreement) shall be deemed (a) to be "written" or "in writing," (b) to have been signed and (c) to constitute a record established and maintained in the ordinary course of business and an original written record when printed from electronic files. No party hereto shall contest the admissibility of true and accurate copies of electronically signed documents on the basis of the best evidence rule or as not satisfying the business records exception to the hearsay rule. For purposes hereof, "electronic signature" means a manually signed original signature that is then transmitted by electronic means or a signature generated by a party electronically; "transmitted by electronic means" means sent in the form of a facsimile or sent via the internet as a "pdf" (portable document format) or other replicating image attached to an e mail message or submitted through the use of a web-based application or platform; and, "electronically signed document" means a document transmitted by electronic means and containing, or to which there is affixed, an electronic signature.

IN WITNESS WHEREOF, and intending to be legally bound, the Managing Member and the Initial Members have executed this Limited Liability Company Agreement as of the day and date first above written.

EM MANAGER, LLC

By: _____

Print Name: Charles Clinton

Title: CEO

MEMBERS

[Subscription Agreement Signature Page Acts as Counterpart Signature Page of Members]

EXHIBIT A
PREFERRED RETURN & FEES

The Company shall pay the Managing Member the following fees:

1. Annual Service Fee. The Company shall pay to the Managing Member an annual service fee (the "Annual Service Fee"). The Annual Service Fee shall be payable each year and shall equal 1.0% per annum of the aggregate Capital Contributions made by the Investor Members (regardless of whether any such Capital Contributions are returned to the Investor Members pursuant to Section 6.3(a)(i) or Section 6.3(b)(i) or otherwise). The Annual Service Fee shall be payable at such time and in such amount or installments as the Managing Member reasonably determines; provided, however that in the event that the Managing Member determines that the Company does not have sufficient funds to pay the Annual Service Fee during a particular year, then such unpaid Management Fee shall accrue and shall be payable at such time as the Managing Member reasonably determines. The Annual Service Fee payable to the Managing Member shall reduce (without duplication) the Distributable Net Cash Flow and/or Distributable Net Transaction Proceeds otherwise distributable to the Members.

The Managing Member may waive the Annual Service Fee in whole or in part, with respect to individual investors or generally, with respect to one or more fiscal years, as it determines in its sole discretion.

For purposes of this Agreement, notwithstanding the Managing Member's right to receive the foregoing fees, the Managing Member shall not be treated as a Member or holder of a Financial Interest solely by reason of the Managing Member's right to receive such fees.

2. Current Preferred Return. 10% percent per annum, cumulative, non-compounding.

3. Accrued Preferred Return. 3% percent per annum, cumulative, non-compounding.

EXHIBIT B
BOOK AND TAX ALLOCATIONS

B.1 Definitions. The following terms, which are used predominantly in this Exhibit B, shall, have the meanings set forth below for all purposes under this Agreement.

"Adjusted Capital Account Deficit" means, with respect to any Member, the deficit balance, if any, in the Member's Capital Account as of the end of the relevant fiscal year, after giving effect to the following adjustments: (a) the Capital Account shall be increased by the amounts which the Member is obligated to restore under this Agreement or is deemed obligated to restore pursuant to Regulation Sections 1.704-1(b)(2)(ii)(c), 1.704-2(g)(1) and 1.704-2(i); and (b) the Capital Account shall be decreased by the items described in Regulation Sections 1.704-1(b)(2)(ii)(d)(4), (5) and (6). This definition of Adjusted Capital Account Deficit is intended to comply with Regulation Section 1.704-1(b)(2)(ii)(d) and shall be interpreted and applied in a manner consistent with that Regulation.

"Book Depreciation" means, with respect to any Company Asset for each Fiscal Year, the Company's depreciation, amortization, or other cost recovery deductions determined for federal income tax purposes, except that if the Book Value of an asset differs from its adjusted tax basis at the beginning of such Fiscal Year, Book Depreciation shall be an amount which bears the same ratio to such beginning Book Value as the federal income tax depreciation, amortization, or other cost recovery deduction for such Fiscal Year bears to such beginning adjusted tax basis; provided, that if the adjusted basis for federal income tax purposes of an asset at the beginning of such Fiscal Year is zero and the Book Value of the asset is positive, Book Depreciation shall be determined with reference to such beginning Book Value using any permitted method selected by the Managing Member in accordance with Regulation Section 1.704-1(b)(2)(iv)(g)(3).

"Book Value" means, with respect to any Company Asset, the adjusted basis of such asset for federal income tax purposes, except as follows:

(a) the initial Book Value of any Company Asset contributed by a Member to the Company shall be the gross fair market value of such Company Asset as of the date of such contribution, as reasonably determined by the Managing Member;

(b) immediately prior to the distribution by the Company of any Company Asset to a Member, the Book Value of such asset shall be adjusted to its gross fair market value as of the date of such distribution, as reasonably determined by the Managing Member;

(c) the Book Value of all Company Assets shall be adjusted to equal their respective gross fair market values, as determined by the Managing Member, after consulting with the Company's accountant, as of the following times:

(i) the acquisition of additional Units by a new or existing Member in consideration of a Capital Contribution of more than a *de minimis* amount;

(ii) the distribution by the Company to a Member of more than a *de minimis* amount of property (other than cash) as consideration for all or a part of such Member's Units in the Company;

(iii) grant to a service provider of any Units; and

(iv) the liquidation of the Company within the meaning of Regulation Section 1.704-1(b)(2)(ii)(g);

provided, that adjustments pursuant to clauses (i), (ii) and (iii) above need not be made if the Managing Member reasonably determines that such adjustment is not necessary or appropriate to reflect the relative economic interests of the Members and that the absence of such adjustment does not adversely and disproportionately affect any Member;

(d) the Book Value of each Company Asset shall be increased or decreased, as the case may be, to reflect any adjustments to the adjusted tax basis of such Company Asset pursuant to Code Section 734(b) or Code Section 743(b), but only to the extent that such adjustments are taken into account in determining Capital Account balances pursuant to Regulation Section 1.704-1(b)(2)(iv)(m) and subparagraph (f) of the definition of "Net Income" and "Net Loss"; *provided, however, that* Book Values shall not be adjusted pursuant to this paragraph (d) to the extent that an adjustment pursuant to paragraph (c) above is made in conjunction with a transaction that would otherwise result in an adjustment pursuant to this paragraph (d); and

(e) if the Book Value of a Company Asset has been determined pursuant to paragraph (a) or adjusted pursuant to paragraphs (c) or (d) above, such Book Value shall thereafter be adjusted to reflect the Book Depreciation taken into account with respect to such Company Asset for purposes of computing Net Income and Net Loss.

"Capital Account" means, with respect to each Member, the Capital Account maintained for such Member in accordance with the following provisions:

(a) Each Member's Capital Account shall be increased by the amount of: (i) such Member's Capital Contributions, including such Member's initial Capital Contribution; (ii) any Net Income or other item of income or gain allocated to such Member; and (iii) any liabilities of the Company that are assumed by such Member or secured by any property distributed to such Member.

(b) Each Member's Capital Account shall be decreased by: (i) the cash amount or Book Value of any property distributed to such Member; (ii) the amount of any Net Loss or other item of loss or deduction allocated to such Member; and (iii) the amount of any liabilities of such Member assumed by the Company or which are secured by any property contributed by such Member to the Company.

(c) In the event Units are Transferred in accordance with the terms of this Agreement, the transferee shall succeed to the Capital Account of the transferor to the extent it relates to the Transferred Units.

(d) In determining the amount of any liability for purposes of subparagraphs (a) and (b) above there shall be taken into account Code Section 752(c) and any other applicable provisions of the Code and Regulations.

The foregoing provisions and the other provisions of this Agreement relating to the maintenance of Capital Accounts are intended to comply with Regulations Section 1.704-1(b), and shall be interpreted and applied in a manner consistent with such Regulations. In the event the Managing Member determines that it is prudent to modify the manner in which the Capital Accounts, or any debits or credits thereto (including, without limitation, debits or credits relating to liabilities which are secured by contributed or distributed property or which are assumed by the Company or any Members), are computed in order to comply with such Regulations, the Managing Member may make such modification. The Managing Member also shall (i) make any adjustments that are necessary or appropriate to maintain equality between the Capital Accounts of the Members and the amount of capital reflected on the Company's balance sheet, as computed for book purposes, in accordance with Regulations Section 1.704-1(b)(2)(iv), and (ii) make any appropriate modifications in the event unanticipated events might otherwise cause this Agreement not to comply with Regulations Section 1.704-1(b).

"Company Minimum Gain" means "partnership minimum gain" as defined in Section 1.704-2(b)(2) of the Regulations, substituting the term "Company" for the term "partnership" as the context requires.

"Fiscal Year" means the calendar year, unless the Company is required to have a taxable year other than the calendar year, in which case Fiscal Year shall be the period that conforms to its taxable year.

"Member Nonrecourse Debt" means "partner nonrecourse debt" as defined in Regulation Section 1.704-2(b)(4), substituting the term "Company" for the term "partnership" and the term "Member" for the term "partner" as the context requires.

"Member Nonrecourse Debt Minimum Gain" means an amount, with respect to each Member Nonrecourse Debt, equal to the Company Minimum Gain that would result if the Member Nonrecourse Debt were treated as a Nonrecourse Liability, determined in accordance with Regulation Section 1.704-2(i)(3).

"Member Nonrecourse Deduction" means "partner nonrecourse deduction" as defined in Regulation Section 1.704-2(i), substituting the term "Member" for the term "partner" as the context requires.

"Net Income" and "Net Loss" mean, for each Fiscal Year or other period specified in this Agreement, an amount equal to the Company's taxable income or taxable loss, or particular items thereof, determined in accordance with Code Section 703(a) (where, for this purpose, all items of income, gain, loss or deduction required to be stated separately pursuant to Code Section 703(a)(1) shall be included in taxable income or taxable loss), but with the following adjustments:

(a) any income realized by the Company that is exempt from federal income taxation, as described in Code Section 705(a)(1)(B), shall be added to such taxable income or taxable loss, notwithstanding that such income is not includable in gross income;

(b) any expenditures of the Company described in Code Section 705(a)(2)(B), including any items treated under Regulation Section 1.704-1(b)(2)(iv)(i) as items described in Code Section 705(a)(2)(B), shall be subtracted from such taxable income or taxable loss, notwithstanding that such expenditures are not deductible for federal income tax purposes;

(c) any gain or loss resulting from any disposition of Company Asset with respect to which gain or loss is recognized for federal income tax purposes shall be computed by reference to the Book Value of the property so disposed, notwithstanding that the adjusted tax basis of such property differs from its Book Value;

(d) any items of depreciation, amortization and other cost recovery deductions with respect to any Company Asset having a Book Value that differs from its adjusted tax basis shall be computed by reference to the property's Book Value (as adjusted for Book Depreciation) in accordance with Regulation Section 1.704-1(b)(2)(iv)(g);

(e) if the Book Value of any Company Asset is adjusted as provided in the definition of Book Value, then the amount of such adjustment shall be treated as an item of gain or loss and included in the computation of such taxable income or taxable loss; and

(f) to the extent an adjustment to the adjusted tax basis of any Company Asset pursuant to Code Sections 732(d), 734(b) or 743(b) is required, pursuant to Regulation Section 1.704-1(b)(2)(iv)(m), to be taken into account in determining Capital Accounts, the amount of such adjustment to the Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis).

"Nonrecourse Liability" has the meaning set forth in Regulations Section 1.704-2(b)(3).

"Regulations" means the income tax regulations, including any temporary regulations, promulgated under the Code as such regulations may be amended from time to time (including corresponding provisions of succeeding regulations).

B.2 Allocation of Net Income and Net Loss.

(a) For each Fiscal Year (or portion thereof), except as otherwise provided in this Agreement, Net Income and Net Loss (and, to the extent necessary, individual items of income, gain, loss or deduction) of the Company shall be allocated among the Members in a manner such that, after giving effect to the special allocations set forth in Section B.3, the Capital Account balance of each Member, immediately after making such allocations, is, as nearly as possible, equal to (i) the distributions that would be made to such Member pursuant to Section 8.2 if the Company were dissolved, its affairs wound up and its assets sold for cash equal to their Book Value, all Company liabilities were satisfied (limited with respect to each Nonrecourse Liability to the Book Value of the assets securing such liability), and the net assets of the Company were

distributed, in accordance with Sections 6.3 through 6.5, to the Members immediately after making such allocations, minus (ii) such Member's share of Company Minimum Gain and Member Nonrecourse Debt Minimum Gain, computed immediately prior to the hypothetical sale of assets; provided, however, that for purposes of clause (i) above, each Fiscal Year the Managing Member shall determine the manner in which distributions were or will most likely be made to the Members pursuant to Sections 6.3 through 6.5.

(b) Except as provided below, no Net Loss shall be allocated to any Member pursuant to Section B.2(a) if the allocation causes the Member to have an Adjusted Capital Account Deficit or increases the Member's Adjusted Capital Account Deficit. All Net Loss in excess of the limitations set forth in this Section B.2(b) shall be allocated to the other Members until each Member is subject to the limitation of this Section B.2(b), and thereafter, in accordance with the Members' Percentage Interests. If any Net Loss is allocated to a Member because of this Section B.2(b), then all subsequent Net Income shall be allocated to the Members on a pro rata basis based on Net Loss allocated to them pursuant to this Section B.2(b) until each Member has been allocated an amount of Net Income pursuant to this Section B.2(b) equal to the Net Loss previously allocated to that Member under this Section B.2(b).

B.3 Regulatory and Special Allocations. Notwithstanding the provisions of Section B.2:

(a) If there is a net decrease in Company Minimum Gain (determined according to Regulations Section 1.704-2(d)(1)) during any Fiscal Year, each Member shall be specially allocated Net Income for such Fiscal Year (and, if necessary, subsequent Fiscal Years) in an amount equal to such Member's share of the net decrease in Company Minimum Gain, determined in accordance with Regulations Section 1.704-2(g). The items to be so allocated shall be determined in accordance with Regulations Sections 1.704-2(f)(6) and 1.704-2(j)(2). This Section B.3(a) is intended to comply with the "minimum gain chargeback" requirement in Regulation Section 1.704-2(f) and shall be interpreted consistently therewith.

(b) Member Nonrecourse Deductions shall be allocated in the manner required by Regulations Section 1.704-2(i). Except as otherwise provided in Regulations Section 1.704-2(i)(4), if there is a net decrease in Member Nonrecourse Debt Minimum Gain during any Fiscal Year, each Member that has a share of such Member Minimum Gain shall be specially allocated Net Income for such Fiscal Year (and, if necessary, subsequent Fiscal Years) in an amount equal to that Member's share of the net decrease in Member Nonrecourse Debt Minimum Gain. Items to be allocated pursuant to this paragraph shall be determined in accordance with Regulations Sections 1.704-2(i)(4) and 1.704-2(j)(2). This Section B.3(b) is intended to comply with the "minimum gain chargeback" requirements in Regulations Section 1.704-2(i)(4) and shall be interpreted consistently therewith.

(c) In the event any Member unexpectedly receives any adjustments, allocations or distributions described in Regulations Section 1.704-1(b)(2)(ii)(d)(4), (5) or (6), Net Income shall be specially allocated to such Member in an amount and manner sufficient to eliminate the Adjusted Capital Account Deficit created by such adjustments, allocations or distributions as quickly as possible. This Section B.3(c) is intended to comply with the qualified income offset requirement in Regulations Section 1.704-1(b)(2)(ii)(d) and shall be interpreted

consistently therewith.

(d) The allocations set forth in paragraphs (a), (b) and (c) above (the "Regulatory Allocations") are intended to comply with certain requirements of the Regulations under Code Section 704. Notwithstanding any other provisions of this Exhibit B (other than the Regulatory Allocations), the Regulatory Allocations shall be taken into account in allocating Net Income and Net Loss among Members so that, to the extent possible, the net amount of such allocations of Net Income and Net Loss and other items and the Regulatory Allocations to each Member shall be equal to the net amount that would have been allocated to such Member if the Regulatory Allocations had not occurred.

(e) The Company and the Members acknowledge that allocations like those described in Proposed Regulation Section 1.704-1(b)(4)(xii)(c) ("Forfeiture Allocations") result from the allocations of Net Income and Net Loss provided for in this Agreement. For the avoidance of doubt, the Company is entitled to make Forfeiture Allocations and, once required by applicable final or temporary guidance, allocations of Net Income and Net Loss will be made in accordance with Proposed Regulation Section 1.704-1(b)(4)(xii)(c) or any successor provision or guidance as may be reasonably determined by the Managing Member.

B.4 Tax Allocations.

(a) Subject to Section B.4(b) through Section B.4(e), all income, gains, losses and deductions of the Company shall be allocated, for federal, state and local income tax purposes, among the Members in accordance with the allocation of such income, gains, losses and deductions among the Members for computing their Capital Accounts, except that if any such allocation for tax purposes is not permitted by the Code or other applicable law, the Company's subsequent income, gains, losses and deductions shall be allocated among the Members for tax purposes, to the extent permitted by the Code and other applicable law, so as to reflect as nearly as possible the allocation set forth herein in computing their Capital Accounts.

(b) Items of Company taxable income, gain, loss and deduction with respect to any property contributed to the capital of the Company shall be allocated among the Members in accordance with Code Section 704(c) and any permitted method set forth in Regulation Section 1.704-3 that is selected by the Managing Member, so as to take account of any variation between the adjusted basis of such property to the Company for federal income tax purposes and its Book Value.

(c) If the Book Value of any Company Asset is adjusted pursuant to Regulation Section 1.704-1(b)(2)(iv)(f) as provided in clause (c) of the definition of Book Value, subsequent allocations of items of taxable income, gain, loss and deduction with respect to such asset shall take account of any variation between the adjusted basis of such asset for federal income tax purposes and its Book Value in the same manner as under Code Section 704(c).

(d) Allocations of tax credit, tax credit recapture and any items related thereto shall be allocated to the Members according to their interests in such items as determined by the Managing Member taking into account the principles of Regulations Section 1.704-1(b)(4)(ii).

(e) The Company shall make allocations pursuant to this Section B.4 in accordance with any permitted method set forth in Regulation Section 1.704-3 that is selected by

the Managing Member.

(f) Allocations pursuant to this Section B.4 are solely for purposes of federal, state and local taxes and shall not affect, or in any way be taken into account in computing, any Member's Capital Account or share of Net Income, Net Loss, distributions or other items pursuant to any provisions of this Agreement.

B.5 Allocations in Respect of Transferred Units. In the event of a Transfer of Units during any Fiscal Year made in compliance with this Agreement, Net Income, Net Loss and other items of income, gain, loss and deduction of the Company attributable to such Units for such Fiscal Year shall be determined using the interim closing of the books method or such other permissible method selected by the Managing Member.

B.6 Curative Allocations. In the event that the Managing Member determine, after consultation with counsel experienced in income tax matters, that the allocation of any item of Company income, gain, loss or deduction is not specified in this Exhibit B (an "Unallocated Item"), or that the allocation of any item of Company income, gain, loss or deduction hereunder is clearly inconsistent with the Members' economic interests in the Company (determined by reference to the general principles of Regulations Section 1.704-1(b) and the factors set forth in Regulations Section 1.704-1(b)(3)(ii)) (a "Misallocated Item"), then the Managing Member may allocate such Unallocated Items, or reallocate such Misallocated Items, to reflect such economic interests; provided, that no such allocation will be made without the prior consent of each Member that would be adversely and disproportionately affected thereby; and provided, further, that no such allocation shall have any material effect on the amounts distributable to any Member, including the amounts to be distributed upon the complete liquidation of the Company.

B.7 Discretion Regarding Elections. Any elections or other decisions relating to the allocations under this Exhibit B, the Member's Capital Accounts or any other elections provided for in the Code or other applicable law shall be made by the Managing Member.

B.8 Authority to Vary Allocations to Preserve and Protect Members' Intent.

(a) General. The Members intend that each Member's distributive share of income, gain, loss, deduction, recapture or credit (or item thereof) shall be determined and allocated in accordance with this Exhibit B to the fullest extent permitted by Section 704(b) of the Code. In order to preserve and protect the determinations and allocations provided for in this Exhibit B, the Managing Member may allocate income, gain, deduction, recapture or credit (or item thereof) arising in any year in a manner different from that otherwise provided for in this Exhibit B if, and to the extent that, allocating income, gain, deduction, recapture or credit (or item thereof) in the manner provided for in this Exhibit B, would cause the determinations and allocations of each Member's distributive share of income, gain, loss, deduction, recapture or credit (or item thereof) not to be permitted by Section 704(b) of the Code and any Treasury Regulations promulgated thereunder. Any allocation made pursuant to this Section B.8 shall be deemed to be a complete substitute for any allocation otherwise provided for in this Exhibit B and no amendment of this Agreement or approval of any Member shall be required.

(b) Modifications Allowed. In making any allocation under this Section B.8, the Managing Member may act only after having been advised in writing, either by counsel to the Company or the Company's accountant, that in their reasonable judgment, after examining Section 704(b) of the Code and any current or future proposed, temporary, or final Treasury Regulations thereunder, (i) the new allocation is necessary, and (ii) the new allocation is the minimum modification of the allocations otherwise provided for in this Exhibit B necessary in

order to assure that, either in the then current year or in any preceding year, each Member's distributive share of income, gain, loss, deduction, recapture or credit (or item thereof) is determined and allocated in accordance with this Exhibit B to the fullest extent permitted by Section 704(b) of the Code and the Treasury Regulations thereunder.

(c) Reliance Allowed. New allocations made by the Managing Member in reliance upon the written advice of the attorneys or accountants described above shall be deemed to be made pursuant to the fiduciary obligation of the Managing Member to the Company, and no such new allocation shall give rise to any claim or cause of action by any Member.

(d) New Allocations. If the Managing Member is required to make any new allocations that are less favorable to the Members than is otherwise provided for in this Exhibit B, the Managing Member shall be, and hereby is, directed, insofar as permitted by Section 704(b) of the Code, to allocate income, gain, loss, deduction, recapture or credit (or item thereof) arising in later years in a manner so as to bring the proportion of income, gain, loss, deduction, recapture or credit (or item thereof) allocated to the Members as nearly as possible to the proportion otherwise contemplated by this Exhibit B.

(e) Authority of Managing Member. The Managing Member has the power as provided in this B.8, limited as provided in the following sentence, to make such allocations and to take such actions necessary under the Code or other applicable law either to effect and maintain the substantial economic effect of allocations made to the Members under Section 704(b) of the Code or to maintain the Members' Capital Accounts in accordance with their Units. The preceding sentence does not give the Managing Member any power to make any allocation or take any other action which alters the rights or preferences of, or allocations or distributions to, any Member. All allocations made and other actions taken by the Managing Member under this Section B.8 will be consistent to the maximum extent possible with the provisions of this Agreement.

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